

SBFC Finance (SBFC)

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Call: Sep 2023

Registered Office: Unit No. 103, 1st Floor, C&B Square, Sangam Complex, Andheri Kurla Road, Village
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2nd September, 2023

To
National Stock Exchange of India
Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai –
400051
NSE Symbol: SBFC

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

Pursuant to applicable provisions of
Regulations, 2015, as amended, please
was held on 30th August, 2023.

The transcript shall be uploaded on website of the Company at
under the section ' Disclosures under Regulation 46 of the LODR

Kindly take the same on your records.

Thanking You
Yours faithfully,
For SBFC Finance Limited
(Erstwhile SBFC Finance Private Limited)

Jay Mistry
Company Secretary & Chief Compliance
ICSI membership no. ACS34264

SBFC Finance Limited
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CIN No : U67190MH2008PLC178270

National Stock Exchange of India
No. C/1, G Block,

To
BSE Limited
Phiroze Jeejeebhoy Towers,
21st Floor, Dalal Street,
Mumbai – 400001
BSE Scrip Code: 543959
Earnings Conference Call
provisions of the SEBI (Listing Obligations and Disclosure Requirements)
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The transcript shall be uploaded on website of the Company at at <https://www.sbfc.com/for>
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(Erstwhile SBFC Finance Private Limited)
Compliance Officer

Chakala, Andheri (East) Mumbai - 400 059 Phiroze Jeejeebhoy Towers,

the SEBI (Listing Obligations and Disclosure Requirements)
earnings conference call which
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"SBFC Finance Limited
Q1 FY2024 Earnings Call"

August 30, 2023

ANALYST: M R. RENISH BHUVA – ICICI SECURITIES
LIMITED

MANAGEMENT: M R. ASEEM DHURU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – SBFC FINANCE
LIMITED
M R. MAHESH DAYANI – CHIEF BUSINESS
OFFICER – SBFC FINANCE LIMITED
M R. NARAYAN BARASIA – CHIEF FINANCIAL
OFFICER – SBFC FINANCE LIMITED
M R. PANKAJ PODDAR – CHIEF RISK OFFICER –
SBFC FINANCE LIMITED

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Page 2 of 14 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2024 Earnings Call of SBFC Finance Limited hosted by ICICI Securities. As a reminder, all participants' line will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Renish Bhuva from ICICI Securities. Thank you and over to you Sir.

Renish Bhuva: Thanks Dorwin. Good evening all and welcome to SBFC Q1 FY2024 earnings conference call. On behalf of ICICI Securities I would like to thank SBFC team for giving us the opportunity to host this call. Today with us, we have the entire top management team of SBFC represented by Mr. Aseem Dhru, MD & CEO, Mr. Mahesh Dayani, Chief Business Officer, Mr. Narayan Barasia, Chief Financial Officer and Mr. Pankaj Poddar, Chief Risk Officer. I would now hand over the call to Mr. Aseem for opening remarks and then we will open the floor for Q&A. Over to you Aseem.

Aseem Dhru: Thank you Renish. Good evening ladies and gentlemen. Welcome to the first earning call of SBFC Finance Limited. Like for us this call is the first experience post list

ing. Most of you

are veterans at this and therefore on a lighter note, I request you to be a little more understanding if we make some beginner Faux Pas during this call. We believe every business if it has to have a license from society to survive generations, at its heart, it has to have goodness in it. Profit cannot be the only purpose of its existence. We would like to measure SBFC first by what it does for society. There are four pillars very dear to the

institution that we are building.

Here number one a lot has been written about under penetration of credit in India. We notice two India. One that is being chased by multiple financials with open cheque books and the other that still continues to borrow at high rates of interest. The micro enterprises or the small businesses are at the heart of this segment and this quarter we are delighted to have served 18,874 such customers.

Pillar number two. When we told that India lives in its villages, but even after so many years of independence, we see those living in smaller towns to migrate to larger ones in search of greater opportunities. SBFC focuses on small businesses in small towns for which we opened 10 new branches this quarter taking SBFC closer to where these small businesses are.

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Page 3 of 14 Pillar number three. What our country needs most are jobs and not just ordinary jobs, but one that really develops skill and makes it marketable. We realized that when one individual who did not get such opportunities over time, we are contributing to lifting his family out of circle of denials. SBFC has generated 314 new jobs this quarter and we focus on hiring those that do not have a job yet but at least not in the formal sector, so that these families may have less impact.

Pillar number four. If God gives us the ability to generate profits, Through CSR we are able to give a small part back and impact lives. This quarter we focused on Shree Swaminarayan School in Manipura Village in Viramgam district of Gujarat, and a dilapidated school was remade. This impacted 117 existing school going children, but the school was able to enroll 44 new girls that came because now the school has hygienic washroom facilities. Now the infrastructure has been done, we will try to improve educational delivery and create employment opportunities for the kids passing out of that school. We believe in the goodness of this. Every business has to have a heart and a head. I covered our heart and request Mahesh Dayani, Pankaj Poddar, and Narayan Barasia to take you through the numbers highlights of this quarter. I would like to leave you with two things that have been a little different this quarter to help you with the context. As bankers we are always uncomfortable accruing interest on an NPA asset, but in INDAS as you know we had no choice. However last year we effectively stop the interest meter after 12 months post NPA but what this quarter we have moved it to 90 days. This change meant that we had to reverse the entire interest accrued for these assets over 12 months and take a hit to our interest earnings. If we take this one time hit out, our spreads and yields have actually grown. As you know in our business problems come from the unknown and unknowable and hence it is prudent to provide for a rainy day especially when you find yourselves in bright sunshine as financial services is in India today. We do not really have to do this, but it is just that we can all sleep more comfortably at night. Secondly, we as had an infusion of Rs.150 Crores of pre-IPO in the dying days of Q1, so you will have to keep that impact in mind while understanding our numbers. Over to you Narayan.

Narayan Barasia: Good evening ladies and gentlemen. I welcome you all in this first concall of SBFC. As you have seen the results and the presentation, the AUM of the company is Rs.5327 Crores which has grown at 47% o

n a year-on-year basis and 7.8% on a Q-o-Q basis. Our MSME disbursement which is our focus category was about Rs.655 Crores for the quarter, which has grown at 3.6% on a Q-o-Q basis and 32% on a year-on-year basis. We have seen a sharp increase in the interest rate in FY2023. However, we have been able to maintain the spread. The spread for FY2022 was about 7.5% and around the same number throughout FY2023. As Aseem was mentioning, we have stopped accruing the interest on the NPA account once it achieved 90 days and hence had to reverse about Rs.6.2 Crores in Q1. This

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Page 4 of 14 is a onetime impact. Adjusting to this impact, the spread which is reported at 7.09% adjusting to the impact is about Rs.7.63%. So, in a way the spread has been maintained throughout the cycle at the high interest rate. We continuously add branches in a small way. We added about 10 new branches in the quarter and in all we have now about 162 branches. The operating leverage of the company has been improving consistently. The opex to AUM ratio has come down from 6.09% in Q1 of last year to 5.42% in Q1 of this year. Our GNPA remains steady at 2.54%. Our total delinquency, which is 1 plus has been steadily decreasing and stands at 5.51% of the AUM. The credit cost is again steady at about 0.8%, which is also the number throughout FY2023. We have reported a PAT of about Rs.47 Crores which is an increase of about 10% on a Q-o-Q basis and 46% on the year-on-year basis. The CRAR of the company as on June 30, 2023, is 33.5% and the debt equity ratio is

about 2.3. With that the ROE the return on tangible equity is about 12% as of Q1 2023. We have sufficient liquidity in the company. We maintain a high PCR of 39.5% and also a substantial LCR, the liquidity coverage ratio in the company. With that I open the call for questions and answers. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Renish Bhuva from ICICI Securities Limited. Please go ahead.

Renish Bhuva: Sir just two questions, so one on the drop in NPA so this quarter we have seen a marginal improvement on the gross NPA side, but if you could throw some light on the flow forwards given our 1+ DPD at 5%, so what is the fresh slippages for this quarter versus last quarter?

Pankaj Poddar: Yes, so basically overall if you look at at zero plus number or one plus DPT percentage has been improving quarter-on-quarter for the last few quarters and the number stands at 5.5% as of June 2023. We expect the number to stabilize and improve from here on and overall, on the GNPA side also the number has improved and is stable at now 2.54%. We expect this number to remain steady and improve. This leads to a credit cost of 80 basis point which is what is a steady state number, and we expect this number to remain steady.

Renish Bhuva: Okay and Sir sequentially, what is the fresh slippages last quarter versus this quarter?

Pankaj Poddar: So, in terms of value if you look at it is around Rs.7 Crores.

Renish Bhuva: Sorry.

Pankaj Poddar: Rs.7 Crores on the NPA side.

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Page 5 of 14 Renish Bhuva: This is fresh slippages or net slippages?

Pankaj Poddar: Net slippages in Rs.6.5 Crores.

Renish Bhuva: Okay versus last quarter?

Pankaj Poddar: Last quarter was around similar range Rs.6.2 Crores.

Renish Bhuva: Rs.6.2 Crores so it is broadly flat sequentially?

Pankaj Poddar: Yes.

Renish Bhuva: Got it and Sir the second question is on the growth side, so sequentially we have seen a good growth despite being the fact that Q1 is seasonally the weak quarter, so would you like to throw some light on let us say which geography and which state is driving this growth and how confident you are to sustain this kind of a growth rate going forward?

Mahesh Dayani: So, if you look at distribu

tion mix, our distribution is very largely evenly spread out between North, West and South and even if you probably look at the distribution mix to an average distribution split, they almost mirror almost one third between all the zones so the growth has been pretty even across all the zones. We do not really have a big concentration risk in any of those states. A single state does not constitute more than 17% to 18% odd as of now. So, the growth that has come in the Q1 what we have seen at 7.8% seems to be a sustainable number. We have always said this 5% to 7% is something that we are comfortable turning around and we are hopeful that we will continue with the trend moving forward as well.

Renish Bhuva: Got it Sir. That is it from my side Sir. Thank you and best of luck.

Moderator : Thank you. We have the next question from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Good afternoon. My first question is from the presentation? There is a slide where you mentioned customers with greater than 100 CIBIL scores are almost 82.9 so I think I see the evolution of the graph? My question was how many new to credit customers are you taking and what sort of assessments are you doing to sort of increase the customer base overall?

Pankaj Poddar: So, on the new to credit, but the number is 7.8% which is reflected as 0 - 1 score and from a credit assessment standpoint we have a localised credit model which is very, very specific

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Page 6 of 14 to this statement. Over a period of last five plus years we have created the complete underwriting model starting from origination which is in house where the salesperson goes visits the customer. We have localised credit with the local understanding of the market as well as the collateral and based on that we have a dedicated team with full authority and supervisory structure at the state level which basis which the origination is done and based on the platform which we have created is on the LOS side. It is in-house and core origination platform which we have created, it is a complete end to end workflow in which ones the file comes to the local level which typically today is in physical format gets digitized and then the entire workflow is digital.

Satadru Chakraborty: Very helpful. The second question I have is on the borrowing mix? I also see that has

changed drastically during the Q1 of two financial years? My question really is not that the mix will be but really what kind of the yields and then what kind of let us say cost of borrowing can we expect? So, is there any guidance that you can provide on these two aspects?

Narayan Barasia: So, we believe given the macroeconomic picture the interest rate in the market has peaked and so is our cost of borrowing as well. We have already seen quite a sharp rate of interest increase as repo has gone up by 250 basis points. MCLR has generally gone up in the range of about 170 to 180 basis points. We have seen a slightly lower increase by about 140 to 145 basis points. I think we believe the cost of borrowing stood at peak now and if the macroeconomic picture turns out to be favorable, we will all get the benefit of the lower interest rate, but having said that what we believe is the spread. What we control is the spread so what we have done throughout this cycle is hold the spread. As you would see, the spread which was about 7.5% prior to increase in the repo rate is still maintained today at this level.

Satadru Chakraborty: Okay very helpful. Maybe just one quick question on the accounting piece as well? In the standalone financial results, can you give us a bit of flavor on what constitutes fees and commission income because I see this has drastically changed quarter-on-quarter and I also see that the number is no insignificant for the last financial year? What scope do you have to increase

or decrease this maybe?

Narayan Barasia: So, the fee and commission income essentially has a co-origination fee so you would have seen that there is a substantial business we do on the co-origination programme. It is in the range of 16% to 18% per month and so there a fee we charge to the co-origination partner which is ICICI bank in this given case and that is one fee which comes here and then there are some other fees with respect to the initial money deposit we take from the customers to do legal and other verification process. We also get some fee income on the loan

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Page 7 of 14 management service business which we do. So, all put together these are the three important fees in this line item.

Satadru Chakraborty: I remember seeing somehow that you mentioned that the co-origination business itself is increasing and I just want to have a flavor on where do you think this can land in a steady state and what exactly are the strategy in yours for this because I understand that the risk is minimized so just wanted some thoughts?

Mahesh Dayani: So currently if you look at our co-origination, our co-origination total book is close to around Rs.700 odd Crores. This has taken us the last couple of years to start building on it so at a disbursal level it is close to around 18% to 20% odd. At an AUM level, it is close to around 15%. We are pretty comfortable at the current run rate that we are at which is close to around 18% to 20% and we feel that moving forward as the base also moves up in terms of our overall origination, the co-origination percentage will also be moving in that particular direction, and we will be able to maintain at 18% to 20%.

Satadru Chakraborty: Okay very helpful and may be just the last question if I can squeeze in? Is there any steady state guidance which the company want to provide for ROA and leverage and therefore ROEs?

Narayan Barasia: So, with leverage which we are at today, our ROEs we also do an adjustment of the goodwill so what we say is the return on tangible equity is about 12%. The capital base has increased because of IPO so obviously the return on tangible equity will come down, but I think we are able to maintain the spreads and continue with the growth, etc., the leverage will improve as we go along in the future and consequently the return on tangible equity will as well improve so we all wish that all the economies of scale, etc., and the growth continue and then this number continues to improve as we go along.

Satadru Chakraborty: Very helpful. Thank you, gentlemen, and all the very best.

Moderator : Thank you. The next question is from the line of Amit Jain from Axis Capital. Please go ahead.

Amit Jain: Thanks for taking my question. Sir the first question pertains to your AUM mix so what we see is that MSME mix has increased from 74% to 81% so what is heading to this, and do you see this further increasing to say closer to 90% or do you have a specific AUM mix in mind?

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Page 8 of 14 Mahesh Dayani: No so you are absolutely right so clearly SBFC is pretty synonymous with the MSME lending and if you really look at our trajectory, the trajectory currently is 81% is MSME.

Close to around 15% to 16% is gold and the balance is unsecured. Now unsecured is one business that we have vacated, and we are running it down so clearly moving forward you

will see the MSME portion occupying a majority portion whether it is 85% or 90% but if you just look at the number and the 3% actually runs off so by design you will have a majority of the MSME holding the book. It is more looking like 85% -15% when you do not have the unsecured outstandings with you any longer.

Amit Jain: Sure, and Sir secondly again on the AUM so this year this quarter we saw a 47% AUM growth so is it all like because of value terms or is there an element of volume a

Iso in this.

Have we seen an increase in ticket size that is what probably I am trying to ask.

Mahesh Dayani: So, I think the good part if I probably break up the entire AUM and the disbursement, the good part is that we have always maintained that the MSME which is a core of business the ticket sizes are going to be between 9 -11 lakhs and that is the ticket sizes we would want to be in. In fact, in Q1 last year our ticket sizes were 9.76 lakhs. The ticket sizes in this quarter which is June quarter is 9.84. This is marginally lower than the March quarter when it was 10.15 so the good part is that the volume growth is close to around 32% odd on a year-on-year basis and on quarter basis it is almost 7% so that gives you a good sense that we are not looking at ticket sizes. We have found a sweet spot between 9 to 11 so it is largely driven by volume all of the AUM growth that you see on the MSME side.

Amit Jain: Sure, that is helpful and thirdly on the disbursement side so we saw a run rate of around 50 Crores so do you see this increasing further or during the course of the year we can maintain this run rate.

Mahesh Dayani: Well, there has to be some growth as we move along. We have invested in the distribution over the last couple of years. As you would see our distribution, we have added close to around from 135 to 162 branches in the last one year that is close to around 27 branches so there should be some disbursement growth that will come in which should translate to more than 5-7% quarter on quarter AUM growth.

Amit Jain: Sure, and any further plans to increase the branch addition so you added 10 in this quarter so any guidance you want to give for the remaining part of the year.

Mahesh Dayani: We are pretty comfortable adding close to around 15 to 20 branches. We do not want to really go overboard in terms of adding branches. If you really look at our deck or the presentation you will see that we have added close to 27 branches in a year and these
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Page 9 of 14 branches obviously cost us money and they need to be profitable as well so clearly we are not really in a hurry to be opening more number of branches unless and until the tail which is there is also equally profitable but we would be pretty comfortable adding 15 to 20 and not more.

Amit Jain: Sure, and Sir just one last question so you mentioned something about 150 Crores of pre-IPO expense, or something could you just give some clarification on what was that.

Narayan Barasia: So, 150 Crores was the pre-IPO equity which came in.

Amit Jain: Sure, that is helpful.

Moderator: We have the next question from the line of Rajesh Vora from Jainmay Ventures. Please go ahead.

Rajesh Vora : Congrats on very good set of numbers, gentlemen. Aseem if you could give a little bit of idea about the kind of culture you have built and set up in this company and what you have written a lot about HDFC bank in the past and how you are inculcating a great culture here and how do you take this. You have zeroed down to SME side of lending which is a tough part of the business so how do you take it forward over the next 3-5 years would be wonderful to understand.

Aseem Dhru : So, the difficult part here is that culture is not what we lecture about. It is what you behave and what you behave as an organization consistently translates into what ultimately gets delivered on the ground. It begins at the senior management level it has to be felt at each level, at each branches and each locations. Obviously, no institution begins with objective of creating a bad culture or a toxic culture, but there are certain behaviors that leads to it unknowingly so what we try and do is ensure that we create a process where one we have the right team all the way down the line not just at the senior management level but at each level, we are creating the right team. We are focused enough on coaching the team and
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ringing them up to speed that everybody down the line is aware of what are the key deliverables in the organization and what kind of behavior the organization wishes to foster or not foster and then create a culture of transparency which is difficult to achieve, but one has to keep working and getting better at it. As we know in this business there are six lane highway to hell and just one narrow pathway to heaven. It is a tough act, and we are still a young organization which is six years old. As the pressure of business mount as we go by and to maintain this and to hold this is going to be the challenge. We still have a challenge

of ensuring that our team down the line walks and talks the same, talks that you want them to talk that you are fair to your customers, you are fair and transparent in your dealings with SBFC Finance Limited
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Page 10 of 14 the customers, give them a fair deal, be transparent about cost etc., because in this business some of these customers that we have made to are used to paying much higher fees so how do you ensure that you are doing it right. It is a process where we are trying our best to ensure that we are fair by the employees, we are fair by the customers and we are fair by the society that we are part of it, so a part of it is what you attain to do on a daily basis, a part of it is what you try in your process the organization does and part of it is how you identify the behaviors that you like and encourage that and identify behaviors that you dislike and discourage that so it is a long journey, it is a long process we cannot claim we have built a great culture here but we attempt and we keep attempting to get to that direction.

Rajesh Vora : That is very useful Aseem and in this SME lending between 5 lakh to 35 lakh that you focus on what is the biggest one or two risks that your company, your credit team, the under-writing team needs to focus daily and ensure that we do not get it wrong, is there something you could give little colour on.

Aseem Dhru : In any lending business ultimately, there are two things that you are looking at, the ability and the intention and that is all your credit processes that you have. Our design to try and swift out both of this, so what we have done is that we have built a model within the organization where every customers application, there are 200 odd variable that are taken out of those applications and they are mixed and matched within the algorithm that we have written and based on which we know the score that the customer application gets and based on past behavior it is a learning model so it is too young we have only tested it on 50,000 to 60,000 applications so the model keeps running from itself over time and unless it goes to 500,000 applications we do not have model so we will keep working at it to hopefully get better may be try and coordinate at different variable in a particular application to arrive at a probability of the cost and so far at least the rankings that we have done are risk ranking and so far we seem to be on the right track, but we still have a reasonable way to go. The second risk is that we have in this business is the life and health of the promoter and his family and that is something that most of our customers are not insured, almost over 90% of the cases we actually have done insurance to ensure that if something happens to their lives, the entire loan is covered and they do not have to worry about the property so there is a huge risk in here and we do not want inconvenience especially when life is going tough on them with the tragedy and secondly is the health of the promoter and the spouse that has really helped during the time of COVID so effectively what you do is that you ensure that you do not take in a customer lower leverage. You do not take in customer who will be struggling to pay the EMI and we do not take in a customer who is going to prob

ably use that money to not put into productive use and therefore create a pressure on them and us.
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Page 11 of 14 Rajesh Vora : Interesting very useful Aseem thank you so much and wish you and the team all the very best.

Moderator: Thank you. The next question is from the line of Amish Kanani from JM Financial PMS. Please go ahead.

Amish Kanani : Hi Sir. Couple of questions from my side, Sir one I just wanted to understand our comfort on our ratings which you said is recently upgraded to A plus. The question is in the segment in which we are operating do you think this rating is okay and we can have the right to have the spread of 7.5% over and above our cost of fund for a long time in the sense that we are comfortable with this rating question number one. Two Sir I wanted to understand a little bit more about co-origination model if you can explain is it return enhancing dilutive how do you look at ROE in that part of the business and third Sir, I was curious about priority sector lending status for our business whether we have the benefit for full and whether we sell those credits.

Narayan Barasia : So, let me take the first question on rating so see credit rating has a camel ways of looking at rating and there is a very structured form of doing it. The organization has to keep on performing on different matrices to maintain a rating and to get a better rating. I think we are in that journey. I think over the last few years I think we have been getting strengthened every year and hence A plus happened to us. I think as we go along in the future obviously, we would like to maintain and improve the credit ratings. In terms of maintaining the performance as we go along on terms of growth I think if you see one of the slide talks about the opportunity in the market, so opportunity is quite large and I think we still do not feel that pricing will be a challenge when we talk about the growth so I think rating is a

function of not only the pricing but also the credit quality, the growth, the capital adequacy and all other different matrices that you can talk about. Second question on co origination Mahesh will take it.

Mahesh Dayani: So the co origination the model is that 20% is with us and 80% is with the co-originating partner while we do not call out the ROE separately for the ME book and the ROEs for the co originating book but clearly by design if you were to look at it obviously the ROE on the co originating model it is going to be substantially higher than what is there on the core ME book largely because of two reasons, one risk is largely on a pari passu basis, there is no FLDG, there is no income booking upfront and obviously there is a book that is getting built and there is a trailing income that comes to us in terms of fee so clearly it is profitable and that is the reason why we have continued to maintain close to around 20% of our disbursement on a co originating model and moving forward as we keep increasing this it should probably enhance our overall profitability mix as well. The third part was related to SBFC Finance Limited
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Page 12 of 14 your priority sector almost close to 79 to 80% of our customers on the MSME side qualify for priority sector. These are again classified as micro enterprises largely on the services side as per the RBI definition.

Amish Kanani : So, Sir in that context do we earn the income out of selling those credits and is that the other income we accrue, do we create those PTCs and sell it back and stuff like that.

Narayan Barasia: So, we have done PTC securitization transaction as and when we require. We do not do it regularly but yes; we have done that so obviously the priority sector lending help the organization I think from a societal point of view as well as from a business point of view. Obviously, this is an opportunity as what you are saying the capital

raising point of view

and also the priority sector lending is something which the development fund like a lot, so I think all in all this is definitely an asset class which helps from a capital point of view.

Aseem Dhru: To answer your question in a different way to give you a little colour. Usually, we would see NBFC securitize about 25% of their total assets. We think that co origination is a better way to achieve that so for what we are doing is that whatever we need to take it off books so we will do at the start itself and not take it and then sell down. It is actually inefficient so whatever we want to sell down we will use PTCs and DA as opportunity. We would not sell down priority sector assets whereas of now we have not found the need yet but if there is a market and if there is a short fall and if we see that the yields we are getting are tempting enough so then we will look at it on a treasury basis but not really as a business model.

Amish Kanani : Yes, Sir I got it. That is why that question, my question about co origination because the guy who we are tying up with anyway will need those kind of priority sector, so we are doing that way as claim and that way is what you are saying, got it Sir. Thanks, and all the best.

Moderator: Thank you. The next question is from the line of Ojasvi Khicha from PGIM India Mutual Fund. Please go ahead.

Ojasvi Khicha : Hi I have couple of questions. First is if you could share your thoughts on how you would have chosen this 9 to 11 lakh ticket size. If you can share your thoughts there and secondly you mentioned bulk or entire growth is driven by volume particularly this quarter so what would be the new to credit customer mix for us.

Mahesh Dayani: So, if you look at the total market size that we are focused on and that is also a part of our presentation. The total secured market size is close to around 8.5 lakh Crores across various bucket and if you look at a specific segment where SBFC is focusing on which is 5 to 30
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Page 13 of 14 lakh that is 2.5 lakh Crores market and that is growing at roughly between 22 to 23 odd percent which effectively means that the market is doubling every three years or slightly above the three years. Even if you look at probably the credit or the NPA numbers in that particular category, those are in the range of close to around 4 to 4.2% this is based on the bureau data, so I think the growth is reasonable there. It is much better than what you see probably on the higher tickets where the competitive intensity is extremely high. Here you have supply arbitrage to some extent so the run way for growth is significantly high on that side and we felt that given the PAN India network that we have created, we have a significant room for growth as we move along.

Pankaj Poddar: On the second question new to credit is closer to 8% on the acquisition side.

Mahesh Dayani: We disbursed 655 Crores in Q1 and of that 8% are the ones which were first time credit.

Ojasvi Khicha : Understood. Thank you.

Moderator: We have the next question from the line of Franklin Moraes from Equentis Wealth Advisory. Please go ahead.

Franklin Moraes : Thanks for taking my question so you have hit 1 lakh customers in this quarter which is a significant milestone. I wanted to understand what is your next milestone and how long would it take to achieve that?

Mahesh Dayani: So, the way the 1 lakh customers are split, close to around 40,000 customers are on the MSME side, close to around 60,000 slightly above that are on the gold side. We add on the MSME side close to around six and half thousand customers every quarter and we are fairly comfortable in growing that run rate as we move along so we do not want to clearly call out a number that we are going to hit 2 lakh in this much period of time. We will stick with our guidance that we said that overall volume growth or the valu

e growth we are pretty

comfortable in the range of 5-7% and we will stick to that.

Franklin Moraes : Secondly on the branch account you said that you would be comfortable adding 15 to 20 branches. I wanted to understand which are the regions that we are targeting and secondly what are your targets for opex to a year?

Mahesh Dayani: So, with respect to the branches, we are currently at 16 states, so we are not adding any further states. If you look at our construct, we are covering almost 25 to 30% of the total district in a state. We will continue to invest in states which have matured. When we say matured in terms of origination, quality of origination that comes from those states and also

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Page 14 of 14 our profitability matrix so the way we derive profitability matrix is as your branches age and how is your AUM moving in those particular branches, so we measure states on all the three performances right up to a PAT level and ROE level and based on that we decide on the acquisition side. If I give you some sense in the last year the 27 odd branches that we have added most of the investments have gone into states like Bihar, Telangana, UP, and Karnataka and some part of the north.

Franklin Moraes : Thanks a lot.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Aseem Dhru for closing comments. Over to you Sir.

Aseem Dhru : Thank you everyone for time and patience. As you have studied so many finance businesses between bank and NBFC we have a comparative less of understanding, sometimes as practitioners your question will help us introspect and learn about the areas that we can improve upon. Now our life is QSQT, or I say quarter se quarter tak so see you next quarter. While fixing the call we did not realize it is Raksha Bandhan and I am especially appreciative of you taking time out on this date. Wish you all a very happy Raksha Bandhan with that this team at SBFC signing out. Thank you.

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Sep 2023

Registered Office: Unit No. 103, 1st Floor, C&B Square, Sangam Complex, Andheri Kurla Road, Village
T. : +91

2nd September, 2023

To
National Stock Exchange of India
Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra-Kurla Complex,
Bandra (East), Mumbai –
400051
NSE Symbol: SBFC

Dear Sir/Madam,

Sub: Transcript of Earnings Conference Call

Pursuant to applicable provisions of
Regulations, 2015, as amended, please
was held on 30th August, 2023.

The transcript shall be uploaded on website of the Company at
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Kindly take the same on your records.

Thanking You
Yours faithfully,
For SBFC Finance Limited
(Erstwhile SBFC Finance Private Limited)

Jay Mistry
Company Secretary & Chief Compliance
ICSI membership no. ACS34264

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"SBFC Finance Limited
Q1 FY2024 Earnings Call"

August 30, 2023

ANALYST: M R. RENISH BHUVA – ICICI SECURITIES
LIMITED

MANAGEMENT: M R. ASEEM DHURU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – SBFC FINANCE
LIMITED
M R. MAHESH DAYANI – CHIEF BUSINESS
OFFICER – SBFC FINANCE LIMITED
M R. NARAYAN BARASIA – CHIEF FINANCIAL
OFFICER – SBFC FINANCE LIMITED
M R. PANKAJ PODDAR – CHIEF RISK OFFICER –
SBFC FINANCE LIMITED

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Page 2 of 14 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2024 Earnings Call of SBFC Finance Limited hosted by ICICI Securities. As a reminder, all participants' line will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Renish Bhuva from ICICI Securities. Thank you and over to you Sir.

Renish Bhuva: Thanks Dorwin. Good evening all and welcome to SBFC Q1 FY2024 earnings conference call. On behalf of ICICI Securities I would like to thank SBFC team for giving us the opportunity to host this call. Today with us, we have the entire top management team of SBFC represented by Mr. Aseem Dhru, MD & CEO, Mr. Mahesh Dayani, Chief Business Officer, Mr. Narayan Barasia, Chief Financial Officer and Mr. Pankaj Poddar, Chief Risk Officer. I would now hand over the call to Mr. Aseem for opening remarks and then we will open the floor for Q&A. Over to you Aseem.

Aseem Dhru: Thank you Renish. Good evening ladies and gentlemen. Welcome to the first earning call of SBFC Finance Limited. Like for us this call is the first experience post list

ing. Most of you

are veterans at this and therefore on a lighter note, I request you to be a little more understanding if we make some beginner Faux Pas during this call. We believe every business if it has to have a license from society to survive generations, at its heart, it has to have goodness in it. Profit cannot be the only purpose of its existence. We would like to measure SBFC first by what it does for society. There are four pillars very dear to the

institution that we are building.

Here number one a lot has been written about under penetration of credit in India. We notice two India. One that is being chased by multiple financials with open cheque books and the other that still continues to borrow at high rates of interest. The micro enterprises or the small businesses are at the heart of this segment and this quarter we are delighted to have served 18,874 such customers.

Pillar number two. When we told that India lives in its villages, but even after so many years of independence, we see those living in smaller towns to migrate to larger ones in search of greater opportunities. SBFC focuses on small businesses in small towns for which we opened 10 new branches this quarter taking SBFC closer to where these small businesses are.

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Page 3 of 14 Pillar number three. What our country needs most are jobs and not just ordinary jobs, but one that really develops skill and makes it marketable. We realized that when one individual who did not get such opportunities over time, we are contributing to lifting his family out of circle of denials. SBFC has generated 314 new jobs this quarter and we focus on hiring those that do not have a job yet but at least not in the formal sector, so that these families may have less impact.

Pillar number four. If God gives us the ability to generate profits, Through CSR we are able to give a small part back and impact lives. This quarter we focused on Shree Swaminarayan School in Manipura Village in Viramgam district of Gujarat, and a dilapidated school was remade. This impacted 117 existing school going children, but the school was able to enroll 44 new girls that came because now the school has hygienic washroom facilities. Now the infrastructure has been done, we will try to improve educational delivery and create employment opportunities for the kids passing out of that school. We believe in the goodness of this. Every business has to have a heart and a head. I covered our heart and request Mahesh Dayani, Pankaj Poddar, and Narayan Barasia to take you through the numbers highlights of this quarter. I would like to leave you with two things that have been a little different this quarter to help you with the context. As bankers we are always uncomfortable accruing interest on an NPA asset, but in INDAS as you know we had no choice. However last year we effectively stop the interest meter after 12 months post NPA but what this quarter we have moved it to 90 days. This change meant that we had to reverse the entire interest accrued for these assets over 12 months and take a hit to our interest earnings. If we take this one time hit out, our spreads and yields have actually grown. As you know in our business problems come from the unknown and unknowable and hence it is prudent to provide for a rainy day especially when you find yourselves in bright sunshine as financial services is in India today. We do not really have to do this, but it is just that we can all sleep more comfortably at night. Secondly, we as had an infusion of Rs.150 Crores of pre-IPO in the dying days of Q1, so you will have to keep that impact in mind while understanding our numbers. Over to you Narayan.

Narayan Barasia: Good evening ladies and gentlemen. I welcome you all in this first concall of SBFC. As you have seen the results and the presentation, the AUM of the company is Rs.5327 Crores which has grown at 47% o

n a year-on-year basis and 7.8% on a Q-o-Q basis. Our MSME disbursement which is our focus category was about Rs.655 Crores for the quarter, which has grown at 3.6% on a Q-o-Q basis and 32% on a year-on-year basis. We have seen a sharp increase in the interest rate in FY2023. However, we have been able to maintain the spread. The spread for FY2022 was about 7.5% and around the same number throughout FY2023. As Aseem was mentioning, we have stopped accruing the interest on the NPA account once it achieved 90 days and hence had to reverse about Rs.6.2 Crores in Q1. This

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Page 4 of 14 is a onetime impact. Adjusting to this impact, the spread which is reported at 7.09% adjusting to the impact is about Rs.7.63%. So, in a way the spread has been maintained throughout the cycle at the high interest rate. We continuously add branches in a small way. We added about 10 new branches in the quarter and in all we have now about 162 branches. The operating leverage of the company has been improving consistently. The opex to AUM ratio has come down from 6.09% in Q1 of last year to 5.42% in Q1 of this year. Our GNPA remains steady at 2.54%. Our total delinquency, which is 1 plus has been steadily decreasing and stands at 5.51% of the AUM. The credit cost is again steady at about 0.8%, which is also the number throughout FY2023. We have reported a PAT of about Rs.47 Crores which is an increase of about 10% on a Q-o-Q basis and 46% on the year-on-year basis. The CRAR of the company as on June 30, 2023, is 33.5% and the debt equity ratio is

about 2.3. With that the ROE the return on tangible equity is about 12% as of Q1 2023. We have sufficient liquidity in the company. We maintain a high PCR of 39.5% and also a substantial LCR, the liquidity coverage ratio in the company. With that I open the call for questions and answers. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. We have the first question from the line of Renish Bhuva from ICICI Securities Limited. Please go ahead.

Renish Bhuva: Sir just two questions, so one on the drop in NPA so this quarter we have seen a marginal improvement on the gross NPA side, but if you could throw some light on the flow forwards given our 1+ DPD at 5%, so what is the fresh slippages for this quarter versus last quarter?

Pankaj Poddar: Yes, so basically overall if you look at at zero plus number or one plus DPT percentage has been improving quarter-on-quarter for the last few quarters and the number stands at 5.5% as of June 2023. We expect the number to stabilize and improve from here on and overall, on the GNPA side also the number has improved and is stable at now 2.54%. We expect this number to remain steady and improve. This leads to a credit cost of 80 basis point which is what is a steady state number, and we expect this number to remain steady.

Renish Bhuva: Okay and Sir sequentially, what is the fresh slippages last quarter versus this quarter?

Pankaj Poddar: So, in terms of value if you look at it is around Rs.7 Crores.

Renish Bhuva: Sorry.

Pankaj Poddar: Rs.7 Crores on the NPA side.

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Page 5 of 14 Renish Bhuva: This is fresh slippages or net slippages?

Pankaj Poddar: Net slippages in Rs.6.5 Crores.

Renish Bhuva: Okay versus last quarter?

Pankaj Poddar: Last quarter was around similar range Rs.6.2 Crores.

Renish Bhuva: Rs.6.2 Crores so it is broadly flat sequentially?

Pankaj Poddar: Yes.

Renish Bhuva: Got it and Sir the second question is on the growth side, so sequentially we have seen a good growth despite being the fact that Q1 is seasonally the weak quarter, so would you like to throw some light on let us say which geography and which state is driving this growth and how confident you are to sustain this kind of a growth rate going forward?

Mahesh Dayani: So, if you look at distribu

tion mix, our distribution is very largely evenly spread out between North, West and South and even if you probably look at the distribution mix to an average distribution split, they almost mirror almost one third between all the zones so the growth has been pretty even across all the zones. We do not really have a big concentration risk in any of those states. A single state does not constitute more than 17% to 18% odd as of now. So, the growth that has come in the Q1 what we have seen at 7.8% seems to be a sustainable number. We have always said this 5% to 7% is something that we are comfortable turning around and we are hopeful that we will continue with the trend moving forward as well.

Renish Bhuva: Got it Sir. That is it from my side Sir. Thank you and best of luck.

Moderator : Thank you. We have the next question from the line of Satadru Chakraborty from Chakraborty Family Office. Please go ahead.

Satadru Chakraborty: Good afternoon. My first question is from the presentation? There is a slide where you mentioned customers with greater than 100 CIBIL scores are almost 82.9 so I think I see the evolution of the graph? My question was how many new to credit customers are you taking and what sort of assessments are you doing to sort of increase the customer base overall?

Pankaj Poddar: So, on the new to credit, but the number is 7.8% which is reflected as 0 - 1 score and from a credit assessment standpoint we have a localised credit model which is very, very specific

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Page 6 of 14 to this statement. Over a period of last five plus years we have created the complete underwriting model starting from origination which is in house where the salesperson goes visits the customer. We have localised credit with the local understanding of the market as well as the collateral and based on that we have a dedicated team with full authority and supervisory structure at the state level which basis which the origination is done and based on the platform which we have created is on the LOS side. It is in-house and core origination platform which we have created, it is a complete end to end workflow in which ones the file comes to the local level which typically today is in physical format gets digitized and then the entire workflow is digital.

Satadru Chakraborty: Very helpful. The second question I have is on the borrowing mix? I also see that has

changed drastically during the Q1 of two financial years? My question really is not that the mix will be but really what kind of the yields and then what kind of let us say cost of borrowing can we expect? So, is there any guidance that you can provide on these two aspects?

Narayan Barasia: So, we believe given the macroeconomic picture the interest rate in the market has peaked and so is our cost of borrowing as well. We have already seen quite a sharp rate of interest increase as repo has gone up by 250 basis points. MCLR has generally gone up in the range of about 170 to 180 basis points. We have seen a slightly lower increase by about 140 to 145 basis points. I think we believe the cost of borrowing stood at peak now and if the macroeconomic picture turns out to be favorable, we will all get the benefit of the lower interest rate, but having said that what we believe is the spread. What we control is the spread so what we have done throughout this cycle is hold the spread. As you would see, the spread which was about 7.5% prior to increase in the repo rate is still maintained today at this level.

Satadru Chakraborty: Okay very helpful. Maybe just one quick question on the accounting piece as well? In the standalone financial results, can you give us a bit of flavor on what constitutes fees and commission income because I see this has drastically changed quarter-on-quarter and I also see that the number is no insignificant for the last financial year? What scope do you have to increase

or decrease this maybe?

Narayan Barasia: So, the fee and commission income essentially has a co-origination fee so you would have seen that there is a substantial business we do on the co-origination programme. It is in the range of 16% to 18% per month and so there a fee we charge to the co-origination partner which is ICICI bank in this given case and that is one fee which comes here and then there are some other fees with respect to the initial money deposit we take from the customers to do legal and other verification process. We also get some fee income on the loan

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Page 7 of 14 management service business which we do. So, all put together these are the three important fees in this line item.

Satadru Chakraborty: I remember seeing somehow that you mentioned that the co-origination business itself is increasing and I just want to have a flavor on where do you think this can land in a steady state and what exactly are the strategy in yours for this because I understand that the risk is minimized so just wanted some thoughts?

Mahesh Dayani: So currently if you look at our co-origination, our co-origination total book is close to around Rs.700 odd Crores. This has taken us the last couple of years to start building on it so at a disbursal level it is close to around 18% to 20% odd. At an AUM level, it is close to around 15%. We are pretty comfortable at the current run rate that we are at which is close to around 18% to 20% and we feel that moving forward as the base also moves up in terms of our overall origination, the co-origination percentage will also be moving in that particular direction, and we will be able to maintain at 18% to 20%.

Satadru Chakraborty: Okay very helpful and may be just the last question if I can squeeze in? Is there any steady state guidance which the company want to provide for ROA and leverage and therefore ROEs?

Narayan Barasia: So, with leverage which we are at today, our ROEs we also do an adjustment of the goodwill so what we say is the return on tangible equity is about 12%. The capital base has increased because of IPO so obviously the return on tangible equity will come down, but I think we are able to maintain the spreads and continue with the growth, etc., the leverage will improve as we go along in the future and consequently the return on tangible equity will as well improve so we all wish that all the economies of scale, etc., and the growth continue and then this number continues to improve as we go along.

Satadru Chakraborty: Very helpful. Thank you, gentlemen, and all the very best.

Moderator : Thank you. The next question is from the line of Amit Jain from Axis Capital. Please go ahead.

Amit Jain: Thanks for taking my question. Sir the first question pertains to your AUM mix so what we see is that MSME mix has increased from 74% to 81% so what is heading to this, and do you see this further increasing to say closer to 90% or do you have a specific AUM mix in mind?

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Page 8 of 14 Mahesh Dayani: No so you are absolutely right so clearly SBFC is pretty synonymous with the MSME lending and if you really look at our trajectory, the trajectory currently is 81% is MSME.

Close to around 15% to 16% is gold and the balance is unsecured. Now unsecured is one business that we have vacated, and we are running it down so clearly moving forward you

will see the MSME portion occupying a majority portion whether it is 85% or 90% but if you just look at the number and the 3% actually runs off so by design you will have a majority of the MSME holding the book. It is more looking like 85% -15% when you do not have the unsecured outstandings with you any longer.

Amit Jain: Sure, and Sir secondly again on the AUM so this year this quarter we saw a 47% AUM growth so is it all like because of value terms or is there an element of volume a

Iso in this.

Have we seen an increase in ticket size that is what probably I am trying to ask.

Mahesh Dayani: So, I think the good part if I probably break up the entire AUM and the disbursement, the good part is that we have always maintained that the MSME which is a core of business the ticket sizes are going to be between 9 -11 lakhs and that is the ticket sizes we would want to be in. In fact, in Q1 last year our ticket sizes were 9.76 lakhs. The ticket sizes in this quarter which is June quarter is 9.84. This is marginally lower than the March quarter when it was 10.15 so the good part is that the volume growth is close to around 32% odd on a year-on-year basis and on quarter basis it is almost 7% so that gives you a good sense that we are not looking at ticket sizes. We have found a sweet spot between 9 to 11 so it is largely driven by volume all of the AUM growth that you see on the MSME side.

Amit Jain: Sure, that is helpful and thirdly on the disbursement side so we saw a run rate of around 50 Crores so do you see this increasing further or during the course of the year we can maintain this run rate.

Mahesh Dayani: Well, there has to be some growth as we move along. We have invested in the distribution over the last couple of years. As you would see our distribution, we have added close to around from 135 to 162 branches in the last one year that is close to around 27 branches so there should be some disbursement growth that will come in which should translate to more than 5-7% quarter on quarter AUM growth.

Amit Jain: Sure, and any further plans to increase the branch addition so you added 10 in this quarter so any guidance you want to give for the remaining part of the year.

Mahesh Dayani: We are pretty comfortable adding close to around 15 to 20 branches. We do not want to really go overboard in terms of adding branches. If you really look at our deck or the presentation you will see that we have added close to 27 branches in a year and these
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Page 9 of 14 branches obviously cost us money and they need to be profitable as well so clearly we are not really in a hurry to be opening more number of branches unless and until the tail which is there is also equally profitable but we would be pretty comfortable adding 15 to 20 and not more.

Amit Jain: Sure, and Sir just one last question so you mentioned something about 150 Crores of pre-IPO expense, or something could you just give some clarification on what was that.

Narayan Barasia: So, 150 Crores was the pre-IPO equity which came in.

Amit Jain: Sure, that is helpful.

Moderator: We have the next question from the line of Rajesh Vora from Jainmay Ventures. Please go ahead.

Rajesh Vora : Congrats on very good set of numbers, gentlemen. Aseem if you could give a little bit of idea about the kind of culture you have built and set up in this company and what you have written a lot about HDFC bank in the past and how you are inculcating a great culture here and how do you take this. You have zeroed down to SME side of lending which is a tough part of the business so how do you take it forward over the next 3-5 years would be wonderful to understand.

Aseem Dhru : So, the difficult part here is that culture is not what we lecture about. It is what you behave and what you behave as an organization consistently translates into what ultimately gets delivered on the ground. It begins at the senior management level it has to be felt at each level, at each branches and each locations. Obviously, no institution begins with objective of creating a bad culture or a toxic culture, but there are certain behaviors that leads to it unknowingly so what we try and do is ensure that we create a process where one we have the right team all the way down the line not just at the senior management level but at each level, we are creating the right team. We are focused enough on coaching the team and
b

ringing them up to speed that everybody down the line is aware of what are the key deliverables in the organization and what kind of behavior the organization wishes to foster or not foster and then create a culture of transparency which is difficult to achieve, but one has to keep working and getting better at it. As we know in this business there are six lane highway to hell and just one narrow pathway to heaven. It is a tough act, and we are still a young organization which is six years old. As the pressure of business mount as we go by and to maintain this and to hold this is going to be the challenge. We still have a challenge

of ensuring that our team down the line walks and talks the same, talks that you want them to talk that you are fair to your customers, you are fair and transparent in your dealings with SBFC Finance Limited
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Page 10 of 14 the customers, give them a fair deal, be transparent about cost etc., because in this business some of these customers that we have made to are used to paying much higher fees so how do you ensure that you are doing it right. It is a process where we are trying our best to ensure that we are fair by the employees, we are fair by the customers and we are fair by the society that we are part of it, so a part of it is what you attain to do on a daily basis, a part of it is what you try in your process the organization does and part of it is how you identify the behaviors that you like and encourage that and identify behaviors that you dislike and discourage that so it is a long journey, it is a long process we cannot claim we have built a great culture here but we attempt and we keep attempting to get to that direction.

Rajesh Vora : That is very useful Aseem and in this SME lending between 5 lakh to 35 lakh that you focus on what is the biggest one or two risks that your company, your credit team, the under-writing team needs to focus daily and ensure that we do not get it wrong, is there something you could give little colour on.

Aseem Dhru : In any lending business ultimately, there are two things that you are looking at, the ability and the intention and that is all your credit processes that you have. Our design to try and swift out both of this, so what we have done is that we have built a model within the organization where every customers application, there are 200 odd variable that are taken out of those applications and they are mixed and matched within the algorithm that we have written and based on which we know the score that the customer application gets and based on past behavior it is a learning model so it is too young we have only tested it on 50,000 to 60,000 applications so the model keeps running from itself over time and unless it goes to 500,000 applications we do not have model so we will keep working at it to hopefully get better may be try and coordinate at different variable in a particular application to arrive at a probability of the cost and so far at least the rankings that we have done are risk ranking and so far we seem to be on the right track, but we still have a reasonable way to go. The second risk is that we have in this business is the life and health of the promoter and his family and that is something that most of our customers are not insured, almost over 90% of the cases we actually have done insurance to ensure that if something happens to their lives, the entire loan is covered and they do not have to worry about the property so there is a huge risk in here and we do not want inconvenience especially when life is going tough on them with the tragedy and secondly is the health of the promoter and the spouse that has really helped during the time of COVID so effectively what you do is that you ensure that you do not take in a customer lower leverage. You do not take in customer who will be struggling to pay the EMI and we do not take in a customer who is going to prob

ably use that money to not put into productive use and therefore create a pressure on them and us.
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Page 11 of 14 Rajesh Vora : Interesting very useful Aseem thank you so much and wish you and the team all the very best.

Moderator: Thank you. The next question is from the line of Amish Kanani from JM Financial PMS. Please go ahead.

Amish Kanani : Hi Sir. Couple of questions from my side, Sir one I just wanted to understand our comfort on our ratings which you said is recently upgraded to A plus. The question is in the segment in which we are operating do you think this rating is okay and we can have the right to have the spread of 7.5% over and above our cost of fund for a long time in the sense that we are comfortable with this rating question number one. Two Sir I wanted to understand a little bit more about co-origination model if you can explain is it return enhancing dilutive how do you look at ROE in that part of the business and third Sir, I was curious about priority sector lending status for our business whether we have the benefit for full and whether we sell those credits.

Narayan Barasia : So, let me take the first question on rating so see credit rating has a camel ways of looking at rating and there is a very structured form of doing it. The organization has to keep on performing on different matrices to maintain a rating and to get a better rating. I think we are in that journey. I think over the last few years I think we have been getting strengthened every year and hence A plus happened to us. I think as we go along in the future obviously, we would like to maintain and improve the credit ratings. In terms of maintaining the performance as we go along on terms of growth I think if you see one of the slide talks about the opportunity in the market, so opportunity is quite large and I think we still do not feel that pricing will be a challenge when we talk about the growth so I think rating is a

function of not only the pricing but also the credit quality, the growth, the capital adequacy and all other different matrices that you can talk about. Second question on co origination Mahesh will take it.

Mahesh Dayani: So the co origination the model is that 20% is with us and 80% is with the co-originating partner while we do not call out the ROE separately for the ME book and the ROEs for the co originating book but clearly by design if you were to look at it obviously the ROE on the co originating model it is going to be substantially higher than what is there on the core ME book largely because of two reasons, one risk is largely on a pari passu basis, there is no FLDG, there is no income booking upfront and obviously there is a book that is getting built and there is a trailing income that comes to us in terms of fee so clearly it is profitable and that is the reason why we have continued to maintain close to around 20% of our disbursement on a co originating model and moving forward as we keep increasing this it should probably enhance our overall profitability mix as well. The third part was related to SBFC Finance Limited
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Page 12 of 14 your priority sector almost close to 79 to 80% of our customers on the MSME side qualify for priority sector. These are again classified as micro enterprises largely on the services side as per the RBI definition.

Amish Kanani : So, Sir in that context do we earn the income out of selling those credits and is that the other income we accrue, do we create those PTCs and sell it back and stuff like that.

Narayan Barasia: So, we have done PTC securitization transaction as and when we require. We do not do it regularly but yes; we have done that so obviously the priority sector lending help the organization I think from a societal point of view as well as from a business point of view. Obviously, this is an opportunity as what you are saying the capital

raising point of view

and also the priority sector lending is something which the development fund like a lot, so I think all in all this is definitely an asset class which helps from a capital point of view.

Aseem Dhru: To answer your question in a different way to give you a little colour. Usually, we would see NBFC securitize about 25% of their total assets. We think that co origination is a better way to achieve that so for what we are doing is that whatever we need to take it off books so we will do at the start itself and not take it and then sell down. It is actually inefficient so whatever we want to sell down we will use PTCs and DA as opportunity. We would not sell down priority sector assets whereas of now we have not found the need yet but if there is a market and if there is a short fall and if we see that the yields we are getting are tempting enough so then we will look at it on a treasury basis but not really as a business model.

Amish Kanani : Yes, Sir I got it. That is why that question, my question about co origination because the guy who we are tying up with anyway will need those kind of priority sector, so we are doing that way as claim and that way is what you are saying, got it Sir. Thanks, and all the best.

Moderator: Thank you. The next question is from the line of Ojasvi Khicha from PGIM India Mutual Fund. Please go ahead.

Ojasvi Khicha : Hi I have couple of questions. First is if you could share your thoughts on how you would have chosen this 9 to 11 lakh ticket size. If you can share your thoughts there and secondly you mentioned bulk or entire growth is driven by volume particularly this quarter so what would be the new to credit customer mix for us.

Mahesh Dayani: So, if you look at the total market size that we are focused on and that is also a part of our presentation. The total secured market size is close to around 8.5 lakh Crores across various bucket and if you look at a specific segment where SBFC is focusing on which is 5 to 30
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Page 13 of 14 lakh that is 2.5 lakh Crores market and that is growing at roughly between 22 to 23 odd percent which effectively means that the market is doubling every three years or slightly above the three years. Even if you look at probably the credit or the NPA numbers in that particular category, those are in the range of close to around 4 to 4.2% this is based on the bureau data, so I think the growth is reasonable there. It is much better than what you see probably on the higher tickets where the competitive intensity is extremely high. Here you have supply arbitrage to some extent so the run way for growth is significantly high on that side and we felt that given the PAN India network that we have created, we have a significant room for growth as we move along.

Pankaj Poddar: On the second question new to credit is closer to 8% on the acquisition side.

Mahesh Dayani: We disbursed 655 Crores in Q1 and of that 8% are the ones which were first time credit.

Ojasvi Khicha : Understood. Thank you.

Moderator: We have the next question from the line of Franklin Moraes from Equentis Wealth Advisory. Please go ahead.

Franklin Moraes : Thanks for taking my question so you have hit 1 lakh customers in this quarter which is a significant milestone. I wanted to understand what is your next milestone and how long would it take to achieve that?

Mahesh Dayani: So, the way the 1 lakh customers are split, close to around 40,000 customers are on the MSME side, close to around 60,000 slightly above that are on the gold side. We add on the MSME side close to around six and half thousand customers every quarter and we are fairly comfortable in growing that run rate as we move along so we do not want to clearly call out a number that we are going to hit 2 lakh in this much period of time. We will stick with our guidance that we said that overall volume growth or the valu

e growth we are pretty

comfortable in the range of 5-7% and we will stick to that.

Franklin Moraes : Secondly on the branch account you said that you would be comfortable adding 15 to 20 branches. I wanted to understand which are the regions that we are targeting and secondly what are your targets for opex to a year?

Mahesh Dayani: So, with respect to the branches, we are currently at 16 states, so we are not adding any further states. If you look at our construct, we are covering almost 25 to 30% of the total district in a state. We will continue to invest in states which have matured. When we say matured in terms of origination, quality of origination that comes from those states and also

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Page 14 of 14 our profitability matrix so the way we derive profitability matrix is as your branches age and how is your AUM moving in those particular branches, so we measure states on all the three performances right up to a PAT level and ROE level and based on that we decide on the acquisition side. If I give you some sense in the last year the 27 odd branches that we have added most of the investments have gone into states like Bihar, Telangana, UP, and Karnataka and some part of the north.

Franklin Moraes : Thanks a lot.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Aseem Dhru for closing comments. Over to you Sir.

Aseem Dhru : Thank you everyone for time and patience. As you have studied so many finance businesses between bank and NBFC we have a comparative less of understanding, sometimes as practitioners your question will help us introspect and learn about the areas that we can improve upon. Now our life is QSQT, or I say quarter se quarter tak so see you next quarter. While fixing the call we did not realize it is Raksha Bandhan and I am especially appreciative of you taking time out on this date. Wish you all a very happy Raksha Bandhan with that this team at SBFC signing out. Thank you.

Moderator: Thank you. On behalf of ICICI Securities that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Nov 2023

SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

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CIN: U67190MH2008PLC178270

2nd November , 2023

To

National Stock Exchange of India Limited,

Exchange Plaza, Plot No. C/1, G Block,

Bandra -Kurla Complex, Bandra (East),

Mumbai – 400051

NSE Symbol: SBFC

To

BSE Limited

Phiroze Jeejeebhoy Towers,

21st Floor, Dalal Street,

Mumbai – 400001

BSE Scrip Code: 543959

Dear Sir/ Mad am,

Sub: Transcript of Earnings Conference Call

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on 28th October, 2023 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Disclosures under Regulation 46 of the LODR' in due course.

Kindly take the same on your records.

For SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

Jay Mistry

Company Secretary & Chief Compliance Officer

ICSI membership no – A34264

Encl: As above

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"SBFC Finance Limited

Q2 FY2024 Earnings Call "

October 28 , 2023

ANALYST: MR. RENISH BHUVA – ICICI SECURITIES
LIMITED

MANAGEMENT: MR. ASEEM DHRU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER – SBFC FINANCE
LIMITED

MR. MAHESH DAYANI – CHIEF BUSINESS
OFFICER – SBFC FINANCE LIMITED

MR. NARAYAN BARASIA – CHIEF FINANCIAL
OFFICER – SBFC FINANCE LIMITED

MR. PANKAJ PODDAR – CHIEF RISK OFFICER –
SBFC FINANCE LIMITED

MR. SANKET AGRAWAL - CHIEF STRATEGY
OFFICER & IR– SBFC FINANCE LIMITED

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Page 2 of 13 Moderator: Ladies and gentlemen, good day and welcome to the Q 2 FY20 24 Earnings Call of SBFC Finance Limited hosted by ICICI Securities . As a reminder , all participant lines will be in the listen-only mode . There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing “*” then “0” on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr . Renish Bhuva from ICICI Securities . Thank you and over to you Sir .

Renish Bhuva : Thanks Michelle . Hi good morning everyone welcome to SBFC Q 2 FY2024 earnings call. I would like to thank management team of SBFC for giving us the opportunity to host this call. I will now hand over the call to Mr. Sanket Agrawal - Chief Strategy Officer who will take us through the introduction of the management team. Over to you Sanket !

Sanket Agrawal : Thank you Renish. Good morning everyone. It is a pleasure to have the analyst , investors, and my colleagues in the call. I hope everybody had the opportunity to go through our investor deck and press release uploaded on the stock exchanges and on our website yesterday. I have with me Mr. Aseem Dhru, Mr. Mahesh Dayani , Mr. Narayan Barasia, and Mr. Pankaj Poddar . The flow of the call will be that we start with the opening remarks from Aseem followed up with detailed financial performance update by Mr. Narayan Barasia and then we will open for Q&A. Over to you Aseem for the opening remarks please.

Aseem Dhru: Thank you Sanket and good morning everybody on the call. It is a lovely Saturday morning and you guys had an option to sit with some chilled coconut water and watch an OTT series but thank you for being on this call instead , appreciate it. Our AUM has been up 43% Y -o-Y and

9% quarter on quarter at 5800 Crores . Profit after tax at 53 Crores is up 48% Y -o-Y and 12% Q-o-Q. Opex is down 70 bps Y -o-Y and up 10 bps quarter on quarter . GNPA down 13 bps Y-o-Y and 1 7% bps Q -o-Q. So basically this led to a return on average AUM of 3.84% which is 8 bps Y-o-Y and 1 2 bps up quarter on quarter . Thanks to the capital raised, the return on average equity came down to 10.4% which is 32 bps lower Y-o-Y and 159 bps lower quarter on quarter . Hitting 100 Crores PAT, this first half of FY 2024 feels quite swell as the Americans would say . Being a banker continuing to accrue interest on a NPA account just did not feel right but that is what is the regulation for NB FCs but what we did was that from December 2022 we did not take interest into an NPA account beyond 12 months into our P &L. Q1 June 2024 we brought this down to 90 days and this quarter we have reversed the interest accrued for the 90 days for all NP A. So effectively we are now following the same reporting number procedure that banks do in India. As you would understand, this had an effect on our NIM s, spread and credit cost but we sleep easier having swallowed the frog. In September we received our equity raise. So we are sitting on SBFC Finance Limited
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Page 3 of 13 a CRAR of 45% and I have committed but yet undrawn lines from banks and other institutions. So at the moment, we are swimming in liquidity. We opened up 35 new branches Y -o-Y and nine this quarter. We are in the middle of upgrading our tech stack with a new and improved version of our LOS as well as our LMS and in the next couple of quarters they should get rolled out. Opportunity exists . We have the capital and debt lines . We continue to go deeper into the states we are present in. Credit costs are holding steady at 80 bps. We have what we need now we just need to execute as we should . With this over to you Narayan.

Narayan Barasia : Thank you Aseem. Good morning and thank you for joining the investors call. Let us go through the financials and some key metrics before we move to Q&A. The AUM is at 5,803 Crores which has grown at 43% Y-o-Y and 9% on Q-on-Q basis. We have seen a sharp increase in the interest rate globally and also in India over the last 18 months. Since majority of our secured MSME loans are on variable interest, we have been able to maintain the spreads of about 7.5% throughout the last 18 months. As a matter of prudence, interest income on the credit impaired assets, which are classified as NPA is not being recognized unless we realize it. Accordingly, the company has reversed 6.2 Crores in Q1 and about 5.1 Crores in Q2 of the current financial year for the interest already accrued as one time impact. The operating leverage has been improving consistently hence the OPE X to AUM ratio has reduced from 6.2% in Q2 last year to 5.5% in Q2 of current financial year. Our GNP A remains steady with improvement at 2.3% of its secured MSME of being of 1 plus being steady at 5.27% of AUM thereby leading to credit cost of 0.8% of AUM. Pursuing to AUM growth of 43% on Y-on-Y basis we have recorded PPOP growth of 46% on a Y-on-Y basis and PAT of 53 Crores with a Y-o-Y growth of 48%. On Q2 basis AUM has grown at 9% with a PPOP and PAT growth of 12% respectively. CRAR as of September 30th 2023 has substantially increased to 45% due to an equity raised by way of an IPO with tangible net worth of 2339 Crores as of September with sufficient liquidity of about 1000 Crores as of September 2023. Thank you. We now open for the questions please.

Moderator : Thank you very much Sir. We will now begin the question and answer session. We will take the first question from the line of Renish Bhuva from ICICI Securities. Please go ahead.

Renish Bhuva : Hello. Yes thanks for the opportunity Sir just two questions from my side.

One is on the growth, so till last quarter we have been riding at around 5 to 7% sequential growth, but now when we look at the first half or YTD growth, it is already touching 17% and considering the second half generally is better than the first half. So I mean how one should look at the guidance range of 5-7% which we always used to highlight?

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Page 4 of 13 Mahesh Dayani : No so I do not think we are changing the narrative. So the narrative remains at 5-7, so if you look at for the quarter, so the quarter was close to around 8.9. So it is not significantly different from what we have been always been talking of and if you probably look at our previous quarters as well the whole idea of a last quarter being significantly different from Q3, I do not think we will see those lumpiness over the period of time. So the whole idea is that it is going to be a lot more even as we move along and hence we have been talking about a range bound growth rate of between 5-7. The second part is I think we are pretty comfortable with this considering that the distribution that has been built up is fairly young. If you look at our branches that have come up, almost 35 branches have come up in the last 12 months. So we really do not want to accelerate too much in the first initial year. So we have been a little cautious and we are pretty comfortable. Yes, what we would want to do is that positively surprise you but the guidance would continue to be between 5-7.

Renish Bhuva : Got it and secondly again on the spread side, so last three, four quarters the spread is actually sustaining at 7% plus even after adjusting for this 7 Crores last quarter, 5 Crores this quarter interest reversal. So what sort of a steady state spread one should assume for let us say for a business like this,

Mahesh Dayani : So if you remember probably in the last call also we maintained that our book is largely floating. So our entire MSME book almost 98.5% is floating and hence what we always maintain is that we are pretty comfortable on the spreads that we are maintaining and we should be able to continue to maintain the spreads above 7%.

Renish Bhuva : Okay that is it from my side. Thank you and best of luck.

Moderator : Thank you. We will take the next question from the line of Jigar Jani from B & K Securities. Please go ahead.

Jigar Jani : Yes hi Sir. Good morning and thanks for taking my question and congrats on a great set of numbers. I just wanted to check on the asset quality front. So if we look at in terms of the stage two numbers, there has been a little bit of a spike in this quarter if you see sequentially so any particular reason why the stage two numbers have gone up?

Pankaj Poddar : Stage two number if you look at 0 plus overall there is improvement stage two number has been stable in terms of percentage. So if you look on the percentage stand we are comfortable and the numbers are stable.

Jigar Jani : I was just looking at like last quarter you were at 3.7 for Q1 and this quarter it has gone to 4.4 so nothing exceptional to read into. It seems like a seasonality impact is it.

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Page 5 of 13 Pankaj Poddar : Yes from a portfolio standpoint, we are not seeing any kind of stress.

Jigar Jani : Okay understood and just wanted to check this one DPD number that we report that is just for the MSM E segment, is it?

Pankaj Poddar : Yes.

Jigar Jani : When I have to compare it is not like to like comparable with the gross stage two and stage three numbers because that is on the whole .

Pankaj Poddar : Gross stage will include all products , so for secured MSME if you look at stage two, the percentage has improved.

Jigar Jani : Okay understood and Sir, on the margin, I just missed the last commentary. So you are mentioning t

hat spreads we will be able to maintain above the current levels of H1, which is 7.3%.

Mahesh Dayani : Yes so we have been guiding that the spreads would be above 7% and our ability to price the book is significantly higher because almost 98.5% of the book is floating. So barely 1-1.5% is fixed.

Jigar Jani : Okay understood and Sir where do you see this opex to AUM eventually settling for the business as an overall if you could guide something on the opex and the credit cost that would be great.

Mahesh Dayani : Yes so on the opex side, what we have been saying is that largely on an annualized basis, we should see the distribution sweating almost 50 basis points on a year on year basis . Last quarter we were lower by almost 12 basis points and we feel that all through the year we will be able to achieve close to around 50 basis points reduction.

Jigar Jani : Right Sir and on a steady state basis, credit cost should remain sub 1%.

Mahesh Dayani : Yes that is what we have been guiding below 1%.

Jigar Jani : Okay great Sir. Thank you so much for answering my questions and best of luck.

Moderator : Thank you. We will take the next question from the line of Ashish Sharma from Enam Asset Management Company. Please go ahead.

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Page 6 of 13 Ashish Sharma : Thanks for the opportunity. So just wanted to check on two things. One is on the branch expansion how should we see from the current number I mean from a medium to long term perspective branch expansion happening. I mean do we have a strategy to penetrate all the states just some color on that and second would be on the yields part, Sir. So again currently the yields as per presentation mentioned is 17%. So from a medium to long term perspective you see yields remaining in the same range. Just some color on that also will be helpful Sir. Thank you .

Mahesh Dayani : To answer your first point with respect to distribution, we have been maintaining that the last four years, five years in the build up, we had grown or we had built horizontally, which meant that we had invested in states and now since last year and moving forward, we need to penetrate in each of the states where we have spent significantly in building our distribution. We are very comfortable in adding 20 to 25 odd branches in a financial year. We were close to around 150 and we are now 171 in the first half. So that is around 20 odd branches. The rationale is that if you have most of the branches come up in the first half of the year, then you tend to stabilize and get the benefit in the subsequent two quarters. So if I were to guide with respect to the branches and distribution, we are not adding any further state to the existing distribution that we have, but we will penetrate deeper in the markets where we have color and comfort on the origination that we do and 20 to 25 branches in a year we are comfortable adding moving forward as well . As far as your question on the customer yields is concerned , the customer yields are roughly close to around 16.5 odd percent. The 16.5 odd percent we feel is comfortable. Some basis points here or there, but largely it is going to be in that range of 16.5 percent.

Ashish Sharma : Okay and any read through in terms of asset quality because there were few comments by other players regarding the leverage in the rural sector, anything you have touched upon as of now, you already mentioned that asset quality remains comfortable but any signs you are seeing or it is okay.

Mahesh Dayani : From our ticket sizes we are largely not in the rural markets. So if you look at our distribution, I think one of the slides in the presentation maintained our core focus segment. We are typically in a segment which is between 5 lakhs to 30 lakhs that is our core segment and we are in the non rural market. So far the portfolio

trends that are emerging tend to be stable and we are fairly hopeful of holding on to the current levels as well.

Ashish Sharma : Perfect thank you, Sir.

Moderator : We will take the next question from the line of Shubranshu Mishra from Philip Capital. Please go ahead.

Page 7 of 13 Shubranshu Mishra : Hi, good morning. Thanks for this opportunity. One is what is our NACH maintenance rate? Second, what percentage of our collections are cash collections? Third, what is the zero plus and what is their rollback rate on the first bucket thanks?

Pankaj Poddar : Can you explain when you say what is maintenance rate, what do you mean?

Shubranshu Mishra : So if we have say 100 customers who got NACH mandates, how many of them really get through on the day of banking?

Pankaj Poddar : So we have closer to 97 -98% activation rate on the NACH side on a sustainable basis and at the time of booking typically we take NACH mandates for 100% of the cases. So at later stage we see some of them drop off . From a collection standpoint, so 92% is non cash and 8% typically would be cash . On the zero plus the number has been mentioned it is 5.27%.

Shubranshu Mishra : And the rollback rate from the first bucket.

Pankaj Poddar : We will have to check and get back to you this number.

Shubranshu Mishra : Sure thank s.

Moderator : Thank you. The next question is from the line of Bhuvnesh Garg from Invest ec Capital. Please go ahead.

Bhuvnesh Garg : Hello Sir. Good morning. So thank you for the opportunity so I am looking at the presentation, I see the share of gold loan is declining consistently. So just want to understand your strategy that where do you see the product mix moving and any dynamics you can share about the gold loan and why is it declining.

Mahesh Dayani : So if we really look at from a branch distribution perspective, we have 150 odd branches which do gold out of 171. Our average AUM per branch is close to around 6 odd Crores and that is where the total number is 900 odd Crores. The whole idea around the branch strategy for gold has been that our average AUM has to start moving up and we are looking at the entire product from a profitability perspective. But moving forward, what you would tend to see is that as we keep expanding our network and branches, gold is going to be a part of it but what we have always guided is that you will tend to see almost 85% dominated by MSME and 15% is going to be gold. Why is that percentage tilting towards MSME is because obviously the ticket sizes for MSME is closer to 10 -11 lakhs whereas the ticket size for gold is close to around 80,000 or 85 odd thousand so by design what you would tend to see is that it is going to tilt towards MSME and gold is obviously going to be a lower

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Page 8 of 13 percentage on the overall AUM. But if you look at as a standalone metrics , it is going to be in line with most of the peers that you have.

Bhuvnesh Garg : So you are saying 85% eventually would be MSME and then around 15% would be gold .

Mahesh Dayani : Currently we should be around 80 to 83 odd percent is MSME and the balance is between gold.

Bhuvnesh Garg : And Sir any colour of in terms of competition basically what kind of yield we offer in gold loan and any colour on competition dynamics in gold sector?

Mahesh Dayani : So I would say compared to last year, the yields have stabilized obviously if I were to give you some colour on the overall market. So the large tickets are dominated by banks, the smaller tickets become the domain of most of the NBFCs and I guess both segments are extremely independent and mutually exclusive . Yields have largely stabilized for most of the peers and they are in the range of 17 to 18 odd percent . We are also in that particular band.

Bhuvnesh

Garg : Got it and in terms of our co origination portfolio, so if you can just share some details about the arrangement with the counterparty and is it same as co lending, I mean is it same or what is the broad contours?

Mahesh Dayani : So this is the circular one where the origination happens at a real time basis at both the organizations along with us and co origination partner. The ratio is 20 and 80 and at the time of disbursement both the disbursements happen at the same time, which is very unlike the second circular. The commercial is something that we do not call out, but clearly it is a great tool for us both on the liability side and it is an ROE enhancer for us as well.

Bhuvnesh Garg : And there is no I mean any FLDG kind of structure where you are seeking.

Mahesh Dayani : There is no FLDG and risk is on a pari passu basis.

Bhuvnesh Garg : Pari passu basis okay great. That is it from my side and thank you for the responses. Have a good day.

Moderator : We will take the next question from the line of Nilesh Jethani from BOI Mutual Fund. Please go ahead.

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Page 9 of 13 Nilesh Jethani : Hi, good morning and thanks for the opportunity. Sir my first question was on the growth side. Say hypothetically if I want to understand without even adding one branch so what can be the growth expected. Basically I just wanted to understand where the AUM per branch etc from current levels can go up to if you do not add even single branch, what can be the growth expected?

Mahesh Dayani : So if you look at 170 odd branches and you look at our total AUM currently which is close to around 5800 odd Crores, we should be closer to around 33 Crores per branch. If you look at our branches which are maturing, which are more than three years, you would see them inching more towards 43 odd Crores. If I were to answer your question that if we do not add a single branch, this 43 would probably ultimately mature anything between 45 to 50 odd Crores. So if I were to look at 170 branches and multiply that by 50 you will get 8500 odd Crores.

Nilesh Jethani : Got it Sir that was helpful. Sir second question was on this branch addition target of 20 - 25 per annum wanted to understand whether this could be newer states or we are focusing on the existing one or two states where we are more confident on.

Mahesh Dayani : Yes so we are not adding state because on the secured side, I think there is significant amount of investment that is required, right from origination, credit, risk, audit, operations. So there is a whole deal of investments that you need to do and most of those investments have already been done in the existing state. We would continue to remain invested in the states where we are already present, but now go deeper in those particular markets depending upon the credit outcomes, our behaviour, maturity of the portfolio so we are not adding any further state, but we will remain invested in the existing one.

Nilesh Jethani : Got it Sir and Sir my last question was on the NPA cycle. So just wanted to understand since our book is also very new and the growth rate has been very fast for us, but in general if you have to take the 7, 8, 10 years period typically in the segment where we operate SME or small business loan, what are the best NPA or GNPA one can expect? What is the best case provision one can expect and where are we today and what can be the outcome in a very normalized situation?

Pankaj Poddar : So in the segment we are if I take secured MSM E space typically we see the delinquency peaking at 36 months tenure so on a vintage basis, so based on that the coincidental GNPA numbers which we are seeing is in the range of 2.2 to 2.5 % and at a lag level it can be higher but at a vintage level if you look at that translates into a credit cost of

80-100 basis

point and LGD of 30%. So based on that, the model has already been baked in and we are comfortable with 7% credit cost guidance in long run.

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Page 10 of 13 Mahesh Dayani: Just to add and probably give you some colour on the industry landscape. So if you look at the segment of 5 to 30 odd lakhs, so the total size of the market is close to 2.5 lakh Crores that is growing at above 20%. So that is a good runway for growth but if you look at the peak delinquency which was probably post COVID that was the number which was closer to 5 odd percent but in that the NBFC did a better job, the banks, cooperative banks and other players in the segment probably did a poor job. So we feel that probably one of our gross NPAs are going to be significantly better than what the industry puts in and as Pankaj rightly mentioned that we have been conscious of while we are growing the book, we have been conscious on how the zero plus is moving out and our gross NPAs which ultimately translating into the credit cost and what we have been guiding is that it is going to be sub 1% so on a risk adjusted basis it spans out extremely well because if you are lending at almost 16 and a half odd percent and you manage to keep your credit cost sub 1%, this ultimately is an ROE accretive model for this segment.

Nilesh Jethani : Got it Sir and Sir one question on a very longer term basis I had with regards to yields, so when we speak to your peers they clearly come out and say that customers there are non bankable and new to credit, so charging them X percentage of yield is very convenient for them. But for someone like us SBFC, so typically we are in the peripheral of the urban areas where I believe lot of customers would not be new to credit but also would be having some bankable or the credit history. So what gives you confidence of charging the current interest rate for a longer term period.

Mahesh Dayani : If I were to split this, I do not think there is a luxury to charge customers any amount of interest rate because obviously customers are becoming increasingly sensitive. But if I were to probably break this into two parts, one is related to your ticket sizes. If you look at ticket sizes which are in the range of 2 to 4 lakh probably the yields are going to be upwards of you know 19 odd percent. As the ticket sizes keep on moving then obviously the yields keep on coming down. That is because of two reasons. One, you are getting closer to the metros where the competitive intensity from large NBF C's and banks is extremely high.

And second is obviously you have a tested customer who comes in to play . If you look at our customer profile and a lot of that information is captured in the investor deck you will realize that almost 85% of our customers have a CIBIL score of more than 700. They are borrowing against a commercial property or their own property for the first time. They have a bureau score, which means that the score could originate from a consumer durable or any asset that they would have borrowed. But there is some history, but they are borrowing against the property for the first time and that number is close to around 75 to 85%. So if you are looking at those set of borrowers, yes you have some flexibility in able to price your customers. But as you move along into the journey and they get tried and tested with you for three and four years, ultimately they will transit into larger banks with a competitive SBFC Finance Limited
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Page 11 of 13 interest rate. It is just our ability to price them in their initial journey is high, but eventually the MSME segment is going to land, which have a good track record with them into a lower pricing with the larger banks.

Nilesh Jethani: Got it Sir so directionally with the leverage etc

is slightly lower for us, but as we move in

and leverage increase what is the best outcome leverage one can work with as far as SBFC is concerned and with increasing leverage any calculation which you guys would have done with regards to how the NIM will perform as we take up more and more equity?

Narayan Barasia: So our leverage post the equity raised through IPO has reduced significantly . Our CRAR has moved pretty well. So from a medium term to long term perspective, so if you look at all the banks covenant we have given , it allows us to go to a debt equity of five but looking at the macroeconomic picture, we believe that somewhere between 3 to 3.5 is the right leverage to debt equity to achieve. I think keeping that in mind obviously the return on equity will then subsequently increase and improve from where we are today.

Narayan Barasia : And your question on NIM obviously with a high debt coming in the NIM slightly compresses, assuming that the spreads are maintained and everything is status quo, the NIM come off, but the ROEs significantly improve.

Nilesh Jethani : Sir any calculations internally you would have done with regards to how the NIM will move with every reduction in the capital adequacy ratio .

Narayan Barasia : See this is simple. So if you assume that the spreads are constant, you can work at a different leverage numbers assuming that all things remain the same how the things move is the easy explanation to be done. But the important thing is which any NBFC would like to have is the ROEs improved from where we are today.

Nilesh Jethani : Okay got it. Those were my questions and thank you so much for replying to them. All the best.

Moderator : Thank you. We will take the next question from the line of Bhuvnesh Garg from Investec Capital. Please go ahead.

Bhuvnesh Garg : Yes thank you for the follow up Sir. Just on this co origination bit, so I see that most of our RPS are either on co lending model or direct assignment model, but we are going with co origination route so just want to understand what is the thought process behind going for co origination not for co lending or direct assignment and what is the difference in terms of yield, etc in these three models?

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Page 12 of 13 Aseem Dhru : So see, the way it works is that co origination was the first circular that came from RBI and that was a very superior circular that came because what you get there is that there is a risk, there is not just a risk participation, there is also an understanding of risk that is brought into the transaction up front by both lenders. So we have an arrangement with ICICI Bank where we originate a case , we look at credit , we select the customer . It is a jointly approved product program so ICICI Bank has also applied its own thought on the product program and then it goes to their credit buyer for approval. So their credit buyer also adds value. They have a lot more experience than us. They have seen a lot more winters than us. They also add value in terms of guiding us on whether this is good credit or not good credit. So there is one more level of credit screening that happens on every case and then the transaction gets done . Also what happens here is that effectively it becomes one if we get a better credit outcome on a co origination transaction second is that the risk participation is *pari passu* because it is by logic because both the people have looked at credit up front, so therefore both have bought individual credit. They have not taken a risk on us, they have actually bought the credit of that individual transaction. However, all good things in life are difficult to do. That is the central rule of life. You know that if it is a good thing, it will be difficult to do. So co origination became very difficult to execute and I believe we are

the

only substantial co origination arrangement in the market I am not aware of any other NBFC with significant volumes on the co origination business and which is why the RBI came out with second circular which was the easier circular of co lending where it is simply direct assignment with a different name. All co lending is a direct assignment with a minimum holding period taken out so it is a much simpler transaction and therefore it took off and everybody participated but in that the bank has not really bought the risk of the transaction, it is more like a direct assignment and the bank has done a portfolio selection, so the risk outcome of that will be different. Plus there are stamp duty implications and all etc. The way we look at it, co origination is a much superior model based on both credit outcome as well as in terms of profitability it is asset light ROE happy model so we have focused on what is the more difficult thing to execute and we have worked hard on integrating technologies. So we had to do an API linkage into the bank because the bank has to see the file digitally and approve it regardless of which location, two credit banks could be in a different location. If I am originating a file in Nagao n in Assam, it is not necessary that my credit buyer could be sitting in Nagao n but ICICI Bank could be sitting in Guwahati so I should have the ability to digitally show the file to them and they are able to instantly approve the transaction or decline the transaction and we come to know of it. So based on this API linkages it is a tough thing to do . I took us time to build this but in the end it has been a happy outcome.

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Page 13 of 13 Bhuvnesh Garg: Got it Sir understood. And how does the interest rate work Sir because I understand that ICICI Bank would be having lower interest rate but our interest rate would be higher in that case in co origination model how does the interest rate works out.

Narayan Barasia: Interest rate when it goes to the borrower it is a weighted average interest rate between the NBFC and the bank so 80% weightage is to ICICI's interest rate and 20% weightage is to our interest rate and so the combination of rate is given actually to the borrower.

Narayan Barasia : So obviously our interest rate is definitely going to be higher than what ICICI Banks interest rate is.

Bhuvnesh Garg: Understood. Thank you Sir. That is it from my side. Thank you.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Aseem Dhru for closing comments. Over to you Sir .

Aseem Dhru : Thank you. Thank you everyone for being on this call and taking the time out and also incidentally tonight is the lunar eclipse and 11:30 I think while your guys daily job is to find the moon behind the clouds of data that that is there. Today you may actually get to see the earth between the sun and the moon. So it would be a wonderful sight do watch it . Thank you so much for the call and look forward to the next quarter and the next call and the interactions thereafter. Thank you very much.

Moderator: Thank you members of the management . Ladies and gentlemen, on behalf of ICICI Securities that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2024

SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

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CIN No : U67190MH 2008PL C178270

2nd February , 2024

To

National Stock Exchange of India Limited,
Exchange Plaza, Plot No. C/1, G Block,
Bandra -Kurla Complex, Bandra (East),
Mumbai – 400051

NSE Symbol: SBFC

To

BSE Limited

Phiroze Jeejeebhoy Towers,
21st Floor, Dalal Street,
Mumbai – 400001

BSE Scrip Code: 543959

Dear Sirs,

Sub: Transcript of Earnings Conference Call

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on 29th January, 2024.

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Disclosures under Regulation 46 of the LODR' in due course.

Kindly take the same on your records.

Thanking you,

Yours faithfully,

For SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

Jay Mistry

Company Secretary & Chief Compliance Officer

ICSI membership no – A34264

Encl: As above

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“SBFC Finance Limited Q3 FY2024

Earnings Conference Call ”

January 29, 2024

ANALYST : MR. RENISH BHUVA – ICICI SECURITIES

MANAGEMENT : MR. ASEEM DHRU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICE – SBFC FINANCE
LIMITED

MR. MAHESH DAYANI – CHIEF BUSINESS OFFICER
– SBFC FINANCE LIMITED

MR. NARAYAN BARASIA – CHIEF FINANCIAL
OFFICER – SBFC FINANCE LIMITED

MR. PANKAJ PODDAR – CHIEF RISK OFFICER –
SBFC FINANCE LIMITED

SBFC Finance Limited
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Page 2 of 13 Moderator : Ladies and gentlemen, good day and welcome to SBFC Finance Limited Q3 FY2024 Earnings Conference Call hosted by ICICI Securities Limited . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Renish Bhuva from ICICI Securities . Thank you and over to you Sir!

Renish Bhuva : Thank you Nirav. Good morning everyone. Welcome to SBFC Finance Q3 FY2024 earnings call. On behalf of ICICI Securities , I would like to thank the SBFC management team for giving us the opportunity to host this call. Today we have with us the entire top management team of SBFC represented by Mr. Aseem Dhru, Managing Director and CEO, Mr. Mahesh Dayani, Chief Business Officer , Mr. Narayan Barasia, Chief Financial Officer , and Mr. Pankaj Poddar , Chief Risk Officer . I will now hand over the call to Mr. Aseem for his opening remarks and then we will open the floor for Q&A . Over to you Sir.

Aseem Dhru: Thank you Renish . Good afternoon everyone and thank you for being on our concall. This is our third call post listing. This is just giving you a little bit of highlights of the quarter. We had a rating upgrade to AA minus (stable) from India Ratings . We have a stable AUM growth. We are beyond the upper end of the guidance that we have given. We have a stable asset quality for the quarter . There was stable spreads and NIMs and we do not accrue interest from the date of the NPAs . We will have to keep that in mind but it was stable both spreads and NIMS in a rising interest environment. Opex has been for the year, we began with 5.8% and we have guided a 50% glide path into the year and we

are on track. We should be on that path. We are very happy that the ROE has climbed back to 11%. That was a level we had done pre IPO and on expanded equity in two quarters we are now back to 11% ROE for the quarter and while you are looking at the profit growth , we will have to keep in mind the benefit of the fully deployed funds of the IPO proceeds during the quarter kicked in and therefore there is slightly higher than normal profit growth during this quarter , but those are the big highlights of the quarter. Will now request Narayan to take it from here.

Narayan Barasia: Thank you Aseem . Good morning and wish you a very happy and healthy year 2024. We thank you for joining this investor's call. Let me take you through some highlights of the financials for Q3 FY2024. The AUM as of December 31st 2023 is Rs.62 66 Crores which has grown 40% on a Y -o-Y basis and 8% on Q -o-Q basis . We have seen a sharp increase in the repo rate and therefore interest rates over the last two years have increased. Since the majority of secured MSME loans are on variable interest we have been able to maintain the spreads of about 7.5% throughout this last two years. The spread for nine months ending

Page 3 of 13 December 2023 are 7.47% against 7.44% for the previous period of nine months ending December 2022. We have recently got rating upgrades as Aseem was mentioning from India Rating from A+ stable to AA minus stable. The operating leverage has been improving consistently and accordingly opex to AUM ratio has reduced from 5.84% for nine months ending December 2022 against 5.48% for nine months ending December 2023. Our GNPA remains steady at 2.38% as of December 2023 therefore leading to credit cost of 0.8% of AUM with PCR of 43.5%. We have reported PPOP growth of 20% on Q-o-Q basis and 56% Y-o-Y basis for Q3. We have a PAT of Rs.64 Crores with 22% Q-o-Q growth and 63% growth on Y-o-Y basis. CRAR is at 41.5% as of December 31, 2023. Thank you for patiently hearing. We are happy to take questions from you.

Moderator : Thank you very much. We will now begin with the question and answer session. The first question is from the line of Renish Bhuva from ICICI Securities . Please go ahead Sir.

Renish Bhuva : Congratulations on a good set of numbers. Just two questions from my side. One on the asset yield expansion which stood at almost more than 30 basis points on sequential basis so can you please throw some light what is happening on the asset yield side Sir?

Mahesh Dayani : So overall if you look at our overall ticket sizes for the quarter, our ticket sizes have come down marginally to almost 9.3 and they were closer to almost 10 odd lakhs in the previous quarter. So one is obviously there is a sequential improvement as your ticket sizes goes down, your yield there is a positive movement that comes through. We have always been guiding that our ticket sizes are going to be in the range between 9% to 11%, so we have stuck on to that particular range, so there has been some bit of benefit that has come or got accrued due to movement towards the lower tickets for this particular quarter as well.

Renish Bhuva : But Sir I mean see that will be only on incremental basis but when we look at the book yield it is sharp 30 basis points so?

Mahesh Dayani : So that is also if you remember in the previous quarter so there was one time adjustment largely related to the stopping of accruals on the NPA so there was an amount of almost close to around Rs.5 Crores which was not recognized due to the accrual of interest so that will be one offset that you will see in this particular quarter which is normalized and majority of the bump up is also happening because of this.

Renish Bhuva : Got it and just a follow-up on that Sir going ahead considering the rating upgrade also and let us say this uptake continues or even

even if it remains flat like at current level how should spread let us be over the next two to three quarters Sir?

Page 4 of 13 Mahesh Dayani : So we have been maintaining that one of the key things on our ME book is that most of the book almost 98% of the book is variable and we have always been maintaining that the spreads are going to be in the range of 7% odd. We do not expect that the yields are going to move up significantly up from here but we will be able to maintain the yield. The rating upgrade which has come in and it has come in, in this particular quarter is probably going to help us reign in the increased in cost of borrowings which will also probably compliment us to maintaining the spreads that we have been maintaining.

Renish Bhuva: No Sir the thing is that though our guidance is 10% but we are actually running much higher currently and considering the fact that the rating upgrade will also lead to some bit of moderation in cost of borrowing so of course we going to remain above 10% for sure in the near term so internally how do you look at it?

Aseem Dhru: Renish at this moment the banking system liquidity is extremely tight so as you know RBI just did a VRR of almost Rs.2.5 lakh Crores so the system liquidity is deficient at Rs.3.5 lakh Crores in such an environment being able to negotiate a lower interest rate from banks does not seem to be a probability. Of course that would be the attempt, but what it would do is that it may stem the increase in the interest rate that otherwise would have come because see last quarter our cost of funds did not move up despite the 25 basis risk weight being moved up for banks for NBFC lending and we were able to defend it because of the rating upgrade so at this moment in the current situation if the rate of interest does not go up that is victory. Thinking that it will come in this market environment is little to optimistic.

Renish Bhuva : Got it Sir and just last question from my side on the one plus DPD movement so it has gone up by 30 basis points sequentially, but it still remains within the range bound let us say 5.5 to 5.6 so any color on that why there is a sequential increase?

Pankaj Poddar : So as we have guided earlier also so our model makes in 0 plus at 5.5% to 6% range so we expect that to remain in this range and we do not expect any incremental issue or risk coming from this.

Renish Bhuvra : Got it. This is very helpful Sir. Thank you and best of luck Sir.

Moderator : Thank you. The next question is from line of Nischint Chawathe from Kotak Securities Limited . Please go ahead .

Nischint Chawathe: Congrats for a good set of numbers. My first question is actually on the borrowing side which you sort of partially answered but going forward looking at the tight environment and there will be some benefit of rating upgrade? You kind of seem to be pretty confident that you will have a stable borrowing cost? Having said that I think if I look at your business

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Page 5 of 13 mix I think for some of the other NBFCs, PSU banks business , borrowing mix going up and the kind of negotiations that they have , it does give some comfort or confidence on their borrowing cost . In your case that is not really the case? I think your FIs are going up so I am just trying to understand what are your incremental borrowings and probably if you could give some color on incremental rates as well?

Narayan Barasia: So see what you said is right , the liquidity is tight in the market. The other thing which has happened is the risk weightage on NBFC has been increased right so these two combined actually gives an answer that the cost of borrowing should actually go up. Now incidentally if you see our cost of borrowing for the last two quarters let us say September quarter and December quarter you

will actually see that the cost of borrowing has remained stagnant.

The good thing which has happened is recently we have also got rating upgrade so keeping all of these in mind and also a very high CRAR we carry so the pressure is a little bit better. It is pretty low and so I think we feel that we should be able to hold this cost of borrowing but yes the liquidity is obviously tight.

Aseem Dhru: Actually Nischint as you know you the ability to negotiate the interest rates depends on the desperation you have for borrowing . At this stage we are sitting on Rs.600 Crores to Rs.700 Crores plus of approval sanctioned from various people so I do not think while liquidity will be tight it is plenty for us so I do not think that there is a problem of funds. It is now just a negotiation of rates because you guys keep needling the banks that your NIMs are less then they come after us so it is all your fault only so effectively see it is a process of give and take. It is a process of negotiation and we will hold back on our sanctions till we get the right borrowing cost that we are also comfortable with and at the end we have to manage the spreads and the NIMs which even as you have seen over the last two years that even the rising interest environment our spreads and NIMs have only gone up. They have not come down so that is the art of management and that is what we will be doing.

Nischint Chawathe: I take the point on margins but more on the borrowing cost is what I was looking at and what is the FI share that is going up in your borrowing ? I can see that public banks are coming down? In fact banks as a share of borrowing is coming down?

Narayan Barasia : No so we have not added a lot of FIs in borrowing. Possibly what you are seeing is the co-origination going up. The other thing which has gone up is , We have borrowed from FCNB so we have borrowed some money from the bank under FCNB and that is going up so the banks shares remain including FCNB if you compare and if you look at the data it is also the same but yes we would intend as we go along in the future intend to borrow more from mutual funds, DFIs and things like that but yes including everything put together we would still want our cost of borrowing to remain where it is today.

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Page 6 of 13 Nischint Chawathe: The financial institutions are going up so?

Narayan Barasia : So that I am just opening that chart here so that is possibly the FCNB borrowing you are talking about.

Nischint Chawathe: So SIDBI , Bajaj Finserv , Birla Finance , Mahindra Finance ?

Narayan Barasia: No that name was the same that percentage borrowing has not increased significantly there. It is still the same.

Aseem Dhru: See we have not really have not materially borrowed anything last quarter . We did not need to considering that we are still deploying the IPO.

Narayan Barasia: So if you look at the presentation you have it is 10.5% and 10.6% now. It is almost the same.

Nischint Chawathe: The second one is on gross stage two levels? If you could give a normalized guidance for this?

Pankaj Poddar : So stage two basically has gone up as per the numbers from Q1 to Q 3 and that is largely due to gold loan. For MSME the number is stable at 4%. For gold loan the same has seen an increase where we do not see any incremental risk coming in. We are able to resolve these customers while they go in to NPA through auction and other process .

Nischint Chawathe: How periodically do you use these options?

Pankaj Poddar : We have a month end quarterly process based on the staging of the customers so it is predefined process and we do not largely see any loss coming through auction so we do not see loss there.

Nischint Chawathe: Can you give qualitatively and that is essentially be on competition that you really see including MSME business? Do you see players who are coming

in some IPO bound

competitors who are trying to sort get more aggressive in the market? Obviously your margins speak for you and your yields are obviously speaking , how do you see the way forward?

Mahesh Dayani : So from a competitive intensity obviously you would have players. You would have players largely on the regional side. The competitive intensity was there last year. It was there in the previous quarter. It continues to be in the current quarter as well but as we have always been talking about and guiding saying that the market can accommodate enough number of players it's just that the segment is how well you define and the segment that we have

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Page 7 of 13 defined for us is between 5 and 30 and which even today is currently growing at a compounded basis of almost 22% to 23% odd so within that space I guess there is enough head room for us to grow from where we are. We are currently at Rs.6000 odd Crores and the MSME is almost Rs.5000 odd Crores so we do not see that probably the growth is going to be moderating. We feel that 5 to 7 that we have always been guiding for is sustainable and consistent from here on as well.

Nischint Chawathe: All the best.

Narayan Barasia: Coming to your last question which you asked on FI. The FI actually has gone up from 10.5% to 17.4% and that is because the incremental money coming from SIDBI and that is at a competitive price.

Moderator : Thank you. The next question is from line of Chirag Barasia from Intellect Stock Broking Limited . Please go ahead .

Chirag Barasia : In the industry we exist the presence of strong competitors like Poonawalla Fincorp and Manappuram Finance they have entered the market for MSME lending wherein the NIMs hover around 11% to 13% and ours stand at 9.3% so what is the anticipatory challenges we are going to face in the upcoming future and how well are we prepared to tackle the same ?

Mahesh Dayani : So I think the names that you just mentioned on one side as a high incidence of unsecured and on the other side you have gold which contributes the majority of the portfolio so we do not really mirror the portfolio segmentation on both the counts. For us gold contributes close to around 15% odd and MSME contributes close to around almost 85%. Currently it is 83% but in both the cases both are extremely different. We have largely a secured book. A very small unsecured book , but probably by the end of the year is going to run down so if you look at our composition of the assets that is very differently placed and hence probably there is going to be a difference in terms of the NIMs that you would look for a standalone gold or probably on a standalone unsecured book , but as we mentioned earlier I think the best way to look is the spreads that we have always been maintaining and we have always been guiding that our spreads are going to be largely we will be holding on to the spreads . Even in an environment where the rates were extremely volatile , but we stuck onto our spreads of 7% and above also the last four quarters and that is what we have been guiding for the near future as well.

Chirag Barasia : Okay and the last question Sir. You have been mentioning that the risk rate has been increased as per the RBI guidelines so what is the amount of risk capital we are maintaining and also what is the concentration ratio actually borrowing you have been like providing?

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Page 8 of 13 Aseem Dhru: So risk weightage has increased for the bank from a bank's point of view. From our point of view the CRAR we are maintaining is 41.5% so it is a pretty good equity in the organization. Your second question on cost of borrowing I think as I was saying previously we are doing enough and more to keep the cost of borrowing in control and also particularly since we have got the

recent rating upgrade from India rating to double AA minus, Our ability to keep the borrowing cost in check is pretty much there.

Chirag Barasia: Okay thank you Sir.

Moderator: Thank you. The next question is from line of Franklin Moraes from Equentis Wealth Advisory. Please go ahead.

Franklin Moraes: Thanks for taking my question. So could you share your guide path on the opex to AUM ratio and which are the regions which you are planning to focus on?

Aseem Dhru: So as I said in the opening comments we began the opex to AUM at 5.8% for the current financial year and we had guided a 50 basis points reduction over the year. We are on that path. By March as we exit March, we should be on that path and we are in 16 states and we are equally focused on all these states and some states we have performed better. Some states we have to do a better job. We are equally focused on all states to ensure that we have a balanced growth across states and do not have concentration in one or two states.

Franklin Moraes: Also beyond this 50 bps reduction is there further scope for improvement in this opex to AUM ratio or should we consider this as more stable?

Aseem Dhru: Next year also we are planning to work. Do not worry so this is not the only year. Ultimately what we have done is that we have created when you do a 16 state setup. You have created an infrastructure where you have invested up front so all the investments need to be sweated out so right now we are not a company at scale. We are still a company that is growing. We are still in the early stage of our business so there is a lot to be done before and next year also 50 basis points reduction in opex should come through and hopefully we will get after for the year after that so ultimately as the AUM grows and as the company matures and as the setup grows we do not need to make investments in people to the level that we have already done and therefore those benefits will accrue into the P&L.

Franklin Moraes: So Sir from a kind of a steady state scenario what kind of a number should we more look for your business model?

Aseem Dhru: Right now you can look at 5.3. Next year you can look at 50 basis points lower, we will see later on. You cannot play the 18 hole golf course well in advance. You play it one all at a

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Page 9 of 13 time because that is all you can see so at the moment we can see the current March hole and we can see the next March all so so that much we can tell you. Beyond that when we reach September next year then we will discuss what we will do thereafter.

Franklin Moraes: Okay great Sir. Got it.

Moderator: Thank you. The next question is from line of Umang Shah from Kotak Mutual Fund. Please go ahead.

Umang Shah: Good afternoon. Thanks for taking my question and congratulations on a good quarter. I just had two questions. One is on the AUM growth right. Clearly the growth is looking extremely stronger at this point of time. What should be a more steady state sustainable sort of a growth rate for us and also do we intend to add any new products at least in foreseeable future?

Mahesh Dayani: Our growth has been at 8% on a quarter-on-quarter and on an annualized basis that is more like 40% odd. We have always been saying that 5 to 7 looks as more sustainable and a mature growth outlook and that is what we commit and that is what we always been guiding for and that has been our current stand as well. As far as moving forward we are not adding any more products because I guess the last three to five years if you probably take off two years of COVID, a substantial amount of investments have gone in, in creating the entire ecosystem and the infrastructure of building MSME in those particular markets and states and at least for the next eight odd quarters the distribution is yet to sweat in and the growth path

is what something that we would like to demonstrate along with quality. Having said that we would like to remain focused on the MSME play where it would contribute almost 85% to 90% of the total book.

Umang Shah: Understood. That is helpful and the second was on co-origination I mean should we assume that the share of co-origination inches up in the overall mix and if so up to what extent?

Mahesh Dayani : So currently our total co-origination percentage on an AUM is close to around 18% odd. We have been talking about 15% to 20% of the disbursements is what we will co-originate and that is what we are comfortable with and moving forward you would probably see us in the similar range bound percentages as we inch up our disbursements and our AUM further from here.

Umang Shah: Okay and the last one was sort of more of an extension to the question what the previous participant asked so in terms of your branch expansion as you rightly said we have roughly about one fourth of our branch network which is currently sort of lower vintage or lesser utilized but at the same time as we keep growing at let us say 25% to 30% odd we will need

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Page 10 of 13 to keep adding more capacity as well so from that perspective should we assume that a more 5.3% to 5.5% is more like a sustainable cost to asset at least in the near term till the time the balance sheet becomes a bit more larger and only then a material improvement comes through in terms of our cost ratios. Is that a fair assumption to make?

Mahesh Dayani : I mean I would say that is a conservative assumption to make but let me just explain the context here so I guess a large amount of your investments come in at the time when you start a particular state and the investments are largely on account of the infrastructure that you create not in terms of physical infrastructure, but the ecosystem around origination, underwriting, audit, operations, fraud control, and risks that is a substantial investment that one makes. Once you have established that and you have some runway and some color of origination that you are making and you are a lot more stable on the ground then expanding your branches and expanding your roots is not a very expensive affair, so on a marginal cost basis the investments are not going to be very large except for obviously adding more boots on the ground and that is the reason why Aseem in the opening remarks and subsequently mentioned that we are fairly confident that despite adding 25 to 30 odd branches on a yearly basis, we are fairly confident that the opex as a percentage is going to come down by 50 basis points for this year and next year as well, so clearly I think the way it is even if you look at our branches, our branches which are more than three years are averaging close to around Rs. 45 Crores per branch. The branches which are between one to three years are in the range of Rs.35 odd Crores per branch which is only talking about that we are investing. We are looking at how the origination is moving in these set of branches so we are not in a hurry to 100 odd branches because we would want to add distribution, see that those set of branches are getting profitable and then probably again add the next set of branches so I guess that is what the entire philosophy is and that is what we would probably stick to for the next four or next eight quarters as well.

Umang Shah: Perfect that sounds good and just one last clarification All our sourcing is in house right? We really do not rely on third party sourcing?

Mahesh Dayani : Yes. So the 3500 head count that you see probably in our investor presentation just represents a higher number because of everything being done in house.

Umang Shah: Perfect alright great thank you so much and wish you all the best.

Moderator : Thank you. The next question is from line of Tushar Sarda from

Athena Investments Group .
Please go ahead .

Tushar Sarda: Thank you for the opportunity. This is the first time I am attending a call of SBFC . I just wanted to know what is your trajectory going to be in terms of leverage because right now

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Page 11 of 13 the leverage is low and obviously that depresses your ROE so over the next two to three years how would that play out?

Narayan Barasia: So yes you are right post IPO the debt equity has come down to 1.5 and so if you look at all the banks covenants we have signed with all the lenders is roughly five debt equity but the

liquidity markets are so tight it is difficult for us to talk about 5 but what we believe is something anywhere between three and four is something achievable and so once we start reaching three and that is where we will think about whether to raise fresh equity or to move towards four.

Aseem Dhru: The way to look at it is that from here onwards the entire growth will be debt fueled so we have done a round of equity. Now we achieved a FY2026. It has to be debt fueled a bit of growth so whatever growth that you see will come from borrowings that we will be doing so leverage automatically will kick in.

Tushar Sarda: That I follow, What I am asking is by FY2026 end what would you be in terms of leverage debt to equity?

Aseem Dhru: You come down and sit in management meetings. It is very simple. We are saying 5% to 7% quarter-on-quarter kind of growth is what we are doing. You do the math. If you are doing 5% to 7% quarter-on-quarter growth then for the next quarter till FY2026 what would be our total AUM and of that whether equity is already fixed. The balance is leverage.

Tushar Sarda: Okay thank you.

Moderator: Thank you. The next question is from line of Avinash Singh from Emkay Global Financial Services Limited. Please go ahead.

Avinash Singh: Thanks for the opportunity. A few questions, The first one is on co-lending co-origination given that you have built extensive branch network and you have about three and a half thousand strong work force, sourcing dynamics particularly in the PSL segment most of your loans will come that is where many of the banks particularly public sector banks would be very sort of an interest wherein are doing co-lending kind of arrangement so why sort of you are relatively bit guarded towards co-lending is your view there? that is number one and second you are largely into secured MSME wherein you had unsecured loan in slightly may be bigger size MSME as well that sort of business loan in demand and your understanding, your infra and ecosystem that you developed so why sort of you are not venturing into unsecured space with the same intensity thanks?

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Page 12 of 13 Aseem Dhru: See the way to look at is like this that first we need to understand that when people market this co-lending it often does not get appreciated. There are two forms of lending in the market. One is CLM1 circular. The other is CLM2. CLM1 is co-origination. CLM2 is co-lending so what we are doing is co-origination which is where it is a tri party agreement between us, ICICI bank and the consumer and the entire process is jointly vetted so even the credit looks at every transaction prior to giving a loan and both operations look at documents prior to disbursing the loan so it is a double check in a sense that happens before a loan gets disbursed and that is the process we are following and generally you would have seen that all NBFCs and securitized in the good old days 20% to 25% of their books. We think that instead of securitizing taking all your books and securitizing and doing co-origination is a much smarter way to do it and it is more ROE accretive as well so what we have decided and we also get a benefit additional benefit of ICICI bank

which is superior to

us in understanding credit, we are still a small new company. They have been around. They have seen cycles so we get their guidance on cases and on credit and if we are making mistakes they help us in identifying them and catch it early so the benefit is that we have a very asset light ROE accretive model. It is a very difficult thing to achieve because both the credit teams on the ground have to talk, both the operations teams on the ground have to talk so in the country right now we are the only game in town. There is no other working CLM1 model. We have built Rs.1000 Crores book. You will not find a single other such model in the country so clearly it is a difficult thing to achieve. It is not something that it has taken us two years and I would complement ICICI Bank for being patient and all the help they did for us. It was a big thing and for them it is water of the duck back but yet they enthusiastically participated in the entire process and made it work so it has been a lot of work getting the programs fine tuned, getting credit fine tuned, getting up the valuations, legal and so many small things are there and getting all that fine tuned system integration, reconciliation and there are so many minute details to it. It is not easy to do this with someone else. They are doing this as pleasurable as getting a root canal done so you will not do it unless you have to, so co-lending is easier. Co-lending you can have 20 partners or 30 partners because co-lending is nothing but DA without minimum holding period so we like co-origination more. We think it is more value accretive for SBFC so that is the thinking on co-origination. Sorry what was your second question?

Avinash Singh: Unsecured business loans and unsecured MSME?

Aseem Dhru: No. We are happy. We are happy doing what we are doing. We will do what we know. There are so many players doing unsecured. What will I do and compete with them. They are doing so many wonderful things. I have nothing better to offer. I do not have a right to win in their segment. We are very happy building what we are doing. We still have to do much in what we are doing and get that right rather than try to do 20 things and make a mess of all them.

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Page 13 of 13 Avinash Singh: Okay thank you.

Moderator : Thank you very much. As there are no further questions I will now hand the conference to the management for closing comments.

Aseem Dhru: Thank you everyone for being on this call. Financial services at the end of the day is a boring business and I really thank you for taking the time out and asking those questions. We have tried and made the presentation in such a way that hopefully most of the questions would be answered. After this also if you have any further clarifications or doubts happy to take calls later. Thank you very much and see you next quarter. Thank you.

Moderator : Thank you very much. On behalf of ICICI Securities Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: May 2024

SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

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CIN No : U67190MH2008PLC178270

6th May , 2024

National Stock Exchange of India Limited, BSE Limited,
Exchange Plaza, Plot No. C/1, G Block, Phiroze Jeejeebhoy Towers,
Bandra -Kurla Complex, 21st Floor, Dalal Street,
Bandra (East), Mumbai – 400051. Mumbai – 400001.
NSE Symbol: SBFC BSE Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sirs,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on 29th April , 2024 .

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Disclosures under Regulation 46 of the LODR' in due course.

You are requested to take the above on record.

Thanking you,

Yours faithfully,

For SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

Jay Mistry

Company Secretary & Chief Compliance Officer

ICSI membership no – A34264

Encl : As above

April 29 , 2024

MANAGEMENT : MR. ASEEM DHURU – MD & CEO, SBFC FINANCE LIMITED

MR. MAHESH DAYANI - CBO, SBFC FINANCE LIMITED

MR. NARAYAN BARASIA - CFO, SBFC FINANCE LIMITED

MR. PANKAJ PODDAR - CRO , SBFC FINANCE LIMITED

MR. SANKET AGRAWAL – CSO & IR, SBFC FINANCE LIMITED

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to Q4 FY 24 Earnings Conference Call of SBFC Finance Limited hosted by ICICI Securities.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Renish Bhuvra. Thank you and over to you , sir.

Renish Bhuvra : Thank you, Muskan. Good morning, everyone. Welcome to SB FC Finance Q4 FY 24 Earnings Call.

On behalf of ICICI Securities , I would like to thank SBFC management team for giving us the opportunity to host this call. I will now hand over the call to Mr. Sanket Agrawal . Over to you, Sanket.

Sanket Agrawal : Thank you, Renish. Good morning everyone, and welcome to the Q4 Earnings Call for 2024 for SBFC Finance .

We have uploaded our Presentation on Saturday. I hope you have got some time to look at it .

With me , I have Mr. Aseem Dhru - MD and CEO ; Mahesh Dayani – CBO ; Narayan Barasia - CFO and Pankaj Poddar – CRO .

We will keep the format same as the last quarter. We will start with the opening remarks from Aseem followed up with Narayan 's details on finance and then we move on to the Q &A.

Over to Aseem, t hanks.

Aseem Dhru : Thank you. Thank you, Sanket, and good morning, everyone. Thank you for taking your time out for this Call.

FY24 was a coming -of-age year for SB FC. Exactly a year back , we were on our Roadshow s meeting investors in the run up to the IPO. Investing is an act of faith, and we are really touched by the response we got . Strong mutual fund support, FI I interest, family offices, portfolio managers and more than 2 million are the highest retail applications of any Indian IPO. We are now with our report card in hand a year later standing in front of those that put their faith in us presenting you with our fourth earn ing up date.

We had indicated four things in our meetings and some of you who we had the opportunity to meet could probably recollect this :

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1. We had said that growth till FY26 would be at 5 % to 7% quarter -on-quarter . Happy that we have exceeded this by a mile in all four quarters we have reported so far .

2. Cost-to-AUM, we will see a 50-basis point reduction over the next two financial years.

We decided to invest a little more in growth this year in terms of branch expansion

and towards this we have delivered a 43-basis point reduction.

3. Credit cost will move in the band of 80 to 100 basis points . For the year , it has been steady at 80 basis points.

4. We will exit FY26 with a 15% ROE . We had gone into the IPO with an 11% ROE and have exited FY24 with an almost 12% ROE on a fully expanded capital base.

We are happy now how far we have come but super excited about where we are headed. We are building for the decade, so it is useful to track progress and it is like a milestone every quarter.

The lending business is an adventure sport , never a dull moment. Last year too did not disappoint in terms of the headwinds that came our way.

So, if you see last year :

1. Availability of funds for NBFC 's got crimped , thanks to the gravity defying CD ratio in the banking industry .

2. The cost rose thanks to the earlier point plus an increase in regulatory risk rate by 25 basis points .

3. Regulatory tightening moving towards 0 tolerance of policy breach and lack of customer fairness .

4. Post-COVID, Indian economy bounced back higher than any country which created a Goldilocks scenario in lending and robust demand with sustained credit standards.

The flip side of this was demand for trained professional

s and the industry faced the highest

attrition it has seen. Now , a good sailor doesn 't expect calm weather. If you are running a lending business, storms are the norm , calm is the exception. We anticipated that the year 's biggest challenge was to ensure cost of funds is contained. We could see that the banking system is struggling to finance its own growth and the regulators were also asking NB FC's to not be too dependent on banks . Towards this after our rating upgrade to AA -, we move towards NCD, to borrow from the market, and it is now 8% against 1% of our borrowings last year and increased the co -origination to 18 .5% against 11.6% last year.

We converted 17% of our borrowings into fully hedged FC NR loans bringing down the cost substantially. These are short tenure rollovers and subject to the bank agreeing to rollover every half year. We added foreign banks to our lender book and net of this is that we ensured we reduced our bank borrowings from 70% to 57%.

Going forward, we will add some DI Is to the lending table, further diversifying our borrowing book . Resultant our Quarter 4 24 versus Quarter 4 23 borrowing costs have gone up by 37 basis points and quarter -on-quarter has been reduced by 8 basis points. On the asset side, we increased SBFC Finance Limited

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our Quarter 4 to Quarter 4 yield by 112 basis points, ensuring our spread went up by 76 basis points during the year.

I would like to explain a change in recognizing income that we have made in the current quarter . Co-origination is a recent phenomenon and towards this the right accounting treatment has been evolving. The transaction is akin to a DA in many ways and therefore , the excess interest sharing that we get from the bank , it has been now decided to group it under the interest income. This change has a positive impact of 45 basis point increase in yield and a corresponding reduction under the head of fee and other income. If this change was not done , the Quarter 4 versus Quarter 4 yields would have still been up by 67 basis points and quarter -on-quarter it would have been stable at 17.18%. If you refer to Page #22 of the Investor Deck, it depicts this with reasonable visual clarity.

We added 31 branches against 17 last year and our business grew by 38% year-on-year. Our asset quality was stable at 2.43% at the lower end of our guiding range. Our PCR has moved up from 39% to 45% Y-o-Y. Our profits grew 58% Y-o-Y to Rs. 237 crores ending with the ROA of 4.14% and ROE of 11.28% during the year . The exit ROA is 4.56 % and ROE is 11. 9 % . We reiterate our guidance for 5 % to 7% quarter -on-quarter growth , reduction of cost by 50 bps and credit costs in the range of 80 to 100 bps.

Highlights during the year :

Our listing , rating upgrade , inclusion of the MSCI Global Small Cap Index .

Post listing , we added two Independent Directors that bring in vast experience in the fields of finance and technology . The revised board, led by an independent chairman, has five independents, thus ensuring majority board is independent . Co-origination book crossing Rs. 1,000 crores , ISO certification of our technology and other functions , upgrade to a new LOS and skill development and job creation of 400 fresh pass outs from the economically disadvantaged background.

We adopted a school under CSR, and we have rebuilt , added classes up to 10 th, next year we will take it to 12th, installing Google Classroom , computers, resulting in 101 students, including 53 girls getting better education. The highest joy we get by serving customers that hitherto did

not have access to formal finance. Being a platform of equal opportunity for all our talented staff, last year we paid almost Rs. 90 crores of income tax during the year and over and above this there would be GST, there would be local taxes, municipal taxes that we contributed. So, hopeful

y we are a good corporate citizen benefiting the society in which we live and in over 250 towns that we reach out to, we spread this joy.

I joined the 3,758 SBFCians in thanking you for your time and interest in listening to this call. I now hand it over to Narayan to take us from here. Thank you.

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Narayan Barasia : Thank you, Aseem. A warm welcome to you and a happy Monday morning.

In terms of business :

Our AUM grew by 38% of Y-o-Y basis and 9% on Q-o-Q basis. Our AUM stands at Rs. 6,822 crore s as of 31st March 24. Our MSME AUM grew 46% on a Y-o-Y basis and 9% on Q-o-Q basis to Rs. 5,704 crore s as of 31st March 24.

We added 31 branches during the year. Our average ticket size of MSME loans remains at Rs. 9.6 lakhs per loan.

In terms of borrowing, our borrowing cost has been reduced by 8 basis points Q-o-Q as Aseem has mentioned and is at 9.38% for the full year. Post our rating upgrade by India rating to AA-. We have diversified further and have raised money under NCDs from mutual funds and have added the couple of foreign banks as well. We are further looking to diversify borrowing as we go along in future.

In terms of Asset Quality :

Our NPA is stable, and range bound. It is at 2.43% as of 31st March 24. Our credit cost is steady at 0.8% for the year. Our PCR is increased further to 44.74%.

In terms of capital and return ratios, our yields on the loans are at 17.08% for the full year and 17.62% for the Q4 FY24. The spread for the full year FY24 is 7.7% and for the quarter is 8.31%.

Our OPEX is at 5.34% of AUM for the full year FY24 as against 5.77% for FY23.

OPEX for Q4 is further lower at 5.01%. Our return on average AUM for the full year is 4.14% and for the quarter is 4.56%. Our return on average tangible equity for the full year is 11.28% and for the quarter is 11.9%. Our capital adequacy remains strong at 40.5%.

Our tangible networth is at Rs. 2,518 crore s as of 31st March 24 and our debt to tangible equity is at 1.6x as of 31st March. The PAT for Q4 is Rs. 73 crores, thereby recording a growth of 15% on a sequential basis. The PAT for the full year FY24 is Rs. 237 crore s, thereby recording a growth of 58% on a Y-o-Y basis.

With that, over to the questions and answers.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Kunal Shah from City Group. Please go ahead.

Kunal Shah : First is with respect to the overall OPEX and the employees, so there have been almost like 220 odd additions to the employee during the quarter, sir, if you can just highlight in terms of maybe

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what verticals these are being added, there is almost like 6 odd branches additions and similarly maybe with respect to the overall cost, we had seen an improvement, but how do we expect the overall cost to assets to settle there?

Narayan Barasia : We have continuously been investing in infrastructure, so what you are saying is right, the number of branches has been continuously going up at a slow and steady pace. So, we added about 6 branches in this quarter. So, the investment in terms of people is happening throughout in terms of new branches, but as well as increasing more resources in the branches where we are able to do well, so it is all across. We are originating a long tenure loan and so by that meaning the operating leverages will keep on improving. We further expect that from here on the OPEX should further come down while the investment in the branches is continuing.

Kunal Shah : Sir, in terms of the addition to employees, maybe the branch oriented would be a significant part of it or these are in other verticals as well?

Narayan Barasia : No, significant will always be branch.

Mahesh Dayani : So, Kunal, I think if you look at the total structure every

quarter we have been adding close to

around 6-7 odd branches, so if you probably cumulatively look at the number, you will have close to around 14-15 branches in the last 2 quarters and roughly we have 14-15 people in a particular branch including gold and ME so that largely sums up the overall headcount, which is there, but that is largely the customer facing roles that we actually invest in. In addition, we

are also beefing up the collections infrastructure where the number of employees that have come through has come through in the last quarter . So, that largely sums up the 200 plus number that you see in the data come through in the last quarter .

Kunal Shah : And secondly, any plans on housing now , are we re-evaluating the structure , how are we looking at it, maybe obviously from the regulatory side, it was quite clear, but any revaluation on that front?

Aseem Dhru : So, housing is we are seeking the regulators nod to get the license. If that comes about, we do housing . Within the NBFC where it has been a little bit of a stretch to start housing loan because the unit economics have to add up , so we are waiting for a subsidiary nod to get into that business . As and when that happens it is fine. Until then , we stay focused on what we are doing right now.

Moderator : Thank you. The next question is from the line of Shubranshu Mishra from Philip Capital. Please go ahead.

Shubranshu Mishra : Two or three questions , the first one is on the co-origination, what is the unit economics here in terms of cost of funds sharing, OPEX sharing and credit cost sharing and where do we think we will end up in terms of percentage of AUM in the next 2-3 years ? Second is on the ALM , given the fact that we lend long, would we want to match the ALM and borrow long, which will have

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a detrimental impact on our spreads as and how we borrow long , so that is the second ? Third is on the PCR at Stage -3, so in India the PCR or Stage -3 is closer to the LGD given the fact that we have largely secured assets, this seems a high LGD if my interpretation is correct ? These are my three questions?

Mahesh Dayani : So, let me take the broad construct on the co-origination piece . I think what we have been guiding also is that we are very comfortable for our co-origination to be at almost 18 % to 20 % odd and that is the range that we have been at. This is largely at a disbursal level , so, obviously at an AUM level comes with a lag. So, if you look at our current number, you would probably see our disbursals also in the range of 20 % odd, a couple of percent here or there . Also, as Aseem in his opening remarks mentioned that now as a percentage of the overall AUM, the reliance on co-origination is now almost close to 18%, which is up from 11% from last year. Moving forward, we expect the current trajectory and the momentum to continue , we feel with a higher base we will be able to continue to build at 18 % to 20% of our disbursal and as a result, our AUM s will also move in that particular direction. I think co-origination is an excellent tool. It is a great ROE enhancer, extremely profitable and obviously from a liability construct perspective, it helps us on our overall AUM bit up as well . We don't call out the exact unit economics on the co-origination bit . That is something between us and the co-originating partner , but we will just like to leave you with saying that it is a great ROE enhancer for us and hence it is at 20% of our overall current AUM and disbursal as well . Narayan, you might want to pick it up on ALM .

Narayan Barasia : In terms of ALM, on the asset side, first the secured MSM E obviously is a long tenure asset , but at the same time gold which is a 15% of AUM is a short tenure asset. So, in a way the weighted average on the asset side comes to roughly about 4.

5 years, but on the liability side, you are right , liability in the market is not available for so long. So, what we do is number one, we don't borrow any short term , that is one what we do . We try and maximize the tenure on the liability . At the same time coupled with the liquidity we keep; I think we don't have any ALM mismatch on any bucket from ALM point of view .

Sanket Agrawal : On PCR, we have been constantly increasing the PCR. We were at 39% last year. We are at 45% now. You are right that the LGD on these assets would not be more than 20 %-25% adjusting for time value , but we create war chest for our cycle to turn and credit cycles do turn , and therefore we create double of what regulatory requirement is and we continue to strengthen our provision coverage ratio . During the quarter as well , we have created additional provisions to the tune of 1.5%, taking the overall PCR up to 45%.

Shubranshu Mishra : Just to slip in one last question, this increased PCR, is it a posturing for the credit rating agencies for a better rating?

Pankaj Poddar : On the PCR, basically as per our model, it starts at 35% and our endeavor or intent is that we keep it above 40%. So, from a model standpoint, we would like to keep our PCR in longer term above 40%.

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Narayan Barasia: And just to clarify, it is nothing from a rating perspective.

Moderator : Thank you. The next question is from the line of Rishabh Bhuva from ICICI Securities. Please go ahead , sir.

Renish Bhuva : Sir, just two questions from my side. One on the asset quality , so when we look at the gross N PA ratio, of course, it is range bound, but on sequential basis it went up by 4 -5 basis point , despite the high denominator wherein we saw the AUM growth growing by 9 % , so which essentially reflects that the forward flows are still high. So, could you please throw some light on what is happening at the underlying ground situation?

Pankaj Poddar : So, as you rightly said, the GNP A numbers is range bound and that is based on our model where we expect that to be around 2 .5%. The portfolio if you look at in last 3 years, we have seen a growth post COVID and there is a portfolio maturity curve also which is hitting. From a model standpoint, we expect the numbers to be stable and range bound, and we don 't expect any impact on the credit cost side. So, credit costs, we expect to be stable around 80 to 90 basis point s.

Renish Bhuva : And secondly, on the secured MSME disbursement side, so when we look at the ticket size, it went up pretty sharply on sequential basis and similarly the volume sort of has moderated plus when we look at, let us say the AUM vintage wise on the branch between 12 months to 36 months, a gain, there is a sharp fall from 43 to 31 , so I mean what is happening at those branches? I mean ideally the branches with more than 12 months of vintage , AUM should keep on increasing, why there is a sharp fall on sequential basis?

Mahesh Dayani : So, I will take the first one. So, largely on the co -origination bit that probably explains why the ticket size went up. So, the ticket size went up to almost 9.67 lakhs and this was at almost 9.38 lakhs, but it is still lower than probably what was recorded last year in the similar quarter of above 10 lakhs. Last quarter , it is consciously by design that we had moved our reliance on co - origination slightly higher, which explains that on an average basis, what we maintained is our average is going to be between 9 and 11 odd lakhs, so by and large it should hold up. So, that explains the disbursement and why the average ticket size has marginally been higher . With respect to the average AUM per branch , if I were to give you some comparisons with related to the branches which are matured and which are more than 36 months - there were 11 branches which moved up,

which were more than 3 years where the average is now hitting almost Rs. 50 odd crores. There were a significant number of branches for the full year, the were close to around 31 branches which got added where the averages being between Rs. 8 and Rs. 9 odd crores ; and the 12-to-36-month branches significant or high number of branches moved up into the more than 36 months bucket and that is where you see a significant bump up coming up there. So, if you look at the overall trend, even if you probably look towards the end of the year trend for the last year, you will see the 12-to-36-month bucket is moving towards or close to around Rs. 29 to Rs. 30 odd crores and that is what we have been talking about. And as the branches are maturing more than 3 odd years , you are now beginning to see it now hitting out Rs. 50 odd crores . If you were to even do a peer group analysis and probably look at it , for more than 3 SBFC Finance Limited

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years, you would see similar ticket sizes in the range of close to around Rs. 30 to Rs. 40 odd crores, so at least that bucket is doing significantly better. Even if you were to look at 12 to 36 odd months, you would see industry moving anything between 18 and 22. So, we would probably be there, but during the year as you start seeing these ages, you would probably see them gradually going up , but these are range bound and will continue to be range bound . As per our internal threshold that we maintain , we feel that in 3 years your branches on average should be Rs. 30 odd crores. That is the internal benchmark that we hit and as long as we are hitting that, we are largely comfortable.

Moderator : Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe : This is actually on the math on co-originated income, and I think in one of your slides you have shown the bump up in the yield this quarter because of co -origination income being recognized out there. I think the number works out to around something like Rs. 6 -Rs. 6.5 crores and that is approximately around 2.8% to 3% of loans outside balance sheet. So, is that a fair run rate to assume ?

Sanket Agrawal : Yes, Nischint , you are right. The amount is closer to Rs. 6.3 crore s that has been reclassified from fee income relating to co -origination to an interest income that is given a 0.45 basis uptick during the quarter and that is what you see in the bump up from 17.17 % to. 17.62%. And the yields quarter -on-quarter across the quarters have been stable at 17.2%. There are two adjustments during the year that have happened , one in quarter two that we did not book interest on NP A that was one adjustment. The second adjustment is on this co -origination interest income . Net of both of these, we continue to have yields in the range of 17.2%, which is sustainable for the foreseeable future.

Nischint Chawathe : And just very simply, if I look at loans outside balance sheet that you put, basically you have minus loan book on balance sheet and I try to kind of look at 80% of the co -originated AUMs, it doesn't fully tie up , I mean there is a small difference ?

Narayan Ba rasia: No, it cannot be. We can take it offline and take you t hrough the numbers. Th ese will exactly tie-up. This is the EIS, t he Rs. 6.3 crores which Sanket mentioned and you also mentioning is excess interest spread on the off book as what you mentioned is absolutely the same.

Nischint Chawathe : The other thing is on the asset quality, if you see gross stage two loans have increased in the last two quarters and the ratio has also gone up on a year-on-year basis. So, how should we think of it? We know that FY23 was obviously an exceptionally good year because we came out of COVID and is this going to be like a new norm or is it something which has kind of bumped up in last t

wo quarters and we are trying to reduce it ?

Pankaj Poddar : So, overall, if you look at Stage -2 assets, Quarter 4 was 3.55%, which is 4.37 %. W ithin this, if you look at MSME that is around 3% range earlier and this is around 3.2% range now. So, we

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expect this number to be range bound. There was a slight increase we have seen in gold in terms of Stage -2, but that also is based on the asset f rom a positioning stand , but earlier the Stage -2 and Stage -1 contribution used to be 90% plus current. The numbers remain the same . So, we expect the numbers to be stable from here on. So, on Stage -2, if you look at MSME remains stable.

Nischint Chawathe : And gold when was the last time you did auctions?

Pankaj Poddar : We do quarterly as an exercise, so based on the aging, when customer hits 90 plus as the process, the auction process gets conducted.

Nischint Chawathe : So, basically the bump up in GS2 is basically gold , that is w hat am I reading it?

Pankaj Poddar : Yes.

Nischint Chawathe : And anything on the outlook on the MSME b usiness, given the fact that this year you have kind of exceeded your guidance, how do you see the economy going forward , we are sort of just getting into an election, so some of your peers have kind of given a little bit of a caution. So, just wanted to get your sense, how comfortable are we to kind of have the current run rate ?

Aseem Dhru : Nischint, we are just coming out of a Goldilocks scenario for lending that was there last year and this year the headwinds are clear . Now, how we navigate is a different story, but the

headwinds are clear that here the regulator is basically guiding the industry for a lower growth.

I mean it is all but telling the banks that it would want them to soften down and improve the CD ratios over time . So, one is that the regulator has been guiding a lower growth and eventually the industry always moves to what is regulatory guidance. So, we will see a slowdown of loan across the system next year in my opinion . The second is that NIM s would be consistently under pressure as the scramble for liabilities will continue. The stock market continues to be buoyant, then the banks will continue to struggle for deposits and then the price of the deposits will move up. The US Fed has crossed 5% and when US Fed crossed 5% and the dollar is also getting stronger, Yen has moved towards toward its historical weakness and we are seeing that the Indian rupe e, I mean you saw Indonesia also trying to defend its currency. So, if the RBI will still have its act to ensure that the currency remains under control and with that there is no chance in my opinion of an interest rate decrease happening in the US as well , forget what would happen in India. So, the likely scenario is that the repo rate will continue where it is for the year. Bank MCL Rs will continue to leak into our cost of funds and NIMs will be a challenge that all of us will have to address . And we are coming out of an extremely low credit cost as an industry and from this kind of low, chances of it going lower are ruled out. Chances of it inching up a little are more likely, so I would say 3 clear headwinds for the industry and for us as well protecting NIMs , ensuring growth and ensuring the credit cost is under control.

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Nischint Chawathe: Just one last point here is one of the large private sector banks has significantly raised lending rates in business loans and does that mean that it gives you tremendous pricing power to kind of maintain your margins as well?

Aseem Dhru: So, we are a very small company and generally the GDP, the economy doesn 't affect us. We are solving a very small problem for a specific set of customers which are the small customers , we are solving for excess. We are not solving for speed , etc., or c om

petitive pressure because most

of the customers we lend to are first-time commercial borrowers in a sense . They have a CIBIL score which has come out of small assets loan they have taken. So, these set of customers are not so price sensitive, and you are able to price what is reasonable and we also want to ensure that the IRR of the business should be sufficient to price it, because the minute you price it beyond what the IRR of th e business is, you are inviting trouble eventually. So, we have to be

cautious and it is not that we have unlimited pricing ability, but we have to be cautious, but wherever we see that there is an opportunity to price something which is within range we would go for it. If you see our results last year, we have increased our yields across the year and we have to see how the year pans out and how do we navigate the year, how do we ensure that the right jaw between the yields and cost of funds is maintained, and it doesn't clench down. So, that is going to be the challenge which we think we will handle as the year goes by.

Moderator: Thank you. The next question is from the line of Laxmi Narayanan from Tunga Investment. Please go ahead.

Laxmi Narayanan: This is Laxmi Narayanan here. Couple of questions. First, I just want to understand what kind of loan rejection ratio you have. I just want to understand your funnel, how many people apply for and how many goes through the check and then finally, how many people end up getting the loans disbursed?

Pankaj Poddar: So, on the approval rate, typically we look at the credit login, typically 50% is the approval ratio. What comes to the credit from a login standpoint, 50% goes through.

Laxmi Narayanan: And second, in terms of the MSME, so can you just give us some little details on how the various sectors in MSME? What kind of break up you actually have, either in terms of the size of the business or in terms of the industry they operate in?

Mahesh Dayani: So, these are largely consumption related businesses, these are the mom & pop stores and obviously when your ticket sizes are between Rs. 9 and Rs. 11 odd lakhs, so these are largely non-manufacturing. So, if you look at our target customers, these would largely be classified as Micro Enterprises, but most of them would be typically under the service enterprises. These would be your retailers across segments. These could be converters. These could be salons. Any establishment that you can probably find in your neighborhood would be a different customer.

Laxmi Narayanan: And what kind of balance transfer out happens in your customer segment and you mentioned that most of them are maybe first time formal borrowers and who you actually lose your assets

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to in general, if you look at in the last 3 years or 2 years, where actually it goes and what are your plans to arrest it?

Mahesh Dayani: So, if you look at the entire secured segment, which is largely by property, almost 80%-85% of our customers are borrowers for the first time against their commercial or residential property.

So, they would have a typical credit score, but they would be borrowing against their property for the first time, so almost 85% of our customers who we disburse are of that category. So, we don't take over those set of customers. We would tend to take over some of the customers, which would be in the range of between 10% and 15% odd. That is on the incoming customers. In terms of outgoing what we typically say is that while our door-to-door tenure of loans would range from anything between 7, 12 and 15 years, but behaviorally, these customers are with us for largely 5 years and as these customers are credit tested their scores obviously move up with the right kind of repayments. Ultimately, they would migrate, and they would migrate into the private banks or some of the public sector banks

banks who can offer them significantly lower rates.

So, we have seen an entire spectrum, so not any particular bank per se, but you would have the different banks in the different geography who would probably want these customers over a period of time.

Laxmi Narayanan: And you have a clear exit thing for your customers, right, so they have to pay their penalty on the total disbursement amount or something like that?

Mahesh Dayani: Not all. So, it is a part of the agreement that, wherever it is applicable, they would pay, but we have not put in a minimum clause that they have to be with us for 3 years. It is not a part of agreement. So, you can't technically do that.

Laxmi Narayanan: And then one last question, once you disburse the loan, how do you, is this a typical practice I see that till the loan is disbursed, most of the finance institutions due diligence and post that as long as the money comes, they leave the pedal, they just don't do it. So, do you do something differently where you actually after the loan get disbursed, you keep corroborating the GST or you do subsequent analysis whether the particular borrower is doing better, the cash flow is improving or some process you have in place, so how do you do that?

Mahesh Dayani: So, unlike banks, who operate overdraft account or cash credit account which are largely operative accounts where you probably can look at the end-use even post disbursements, unfortunately for NBFC, we don't have operative accounts, but what we typically do is something which is called hindsighting where we look at all customers who have been disbursed as to how the pattern has been. Second is obviously we keep evaluating the valuation of the property and do some kind of checks, but on a transactional basis that obviously doesn't happen. Most of our customers aren't really the GST range customers, if you are considering the total borrowing that they do is Rs. 9 to Rs. 10 lakhs. So, they are largely out of that, and it is very unlikely that those kind of variables and the transaction monitorable are going to be there.

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Pankaj Poddar : Just to add, as part of portfolio management exercise we also do bureau scrub and trend analysis that also tells us how the portfolio is behaving and if there is any area where we have to look into that gets actioned .

Moderator: Thank you. The next question is from the line of Laxmi Narayanan from Tunga investment. Please go ahead.

Laxmi Narayanan: So, there has been a sounding by the regulator saying that the microfinance institutions have to bring their interest rates slightly down right , now, how does that impact a player like you, whether how positively it would impact or negatively it would impact ?

Aseem Dhru: Ultimately , what the regulator seeks is that there is a fair practice code that you put with customers in all its true spirit. So, it would want that you are lending at a rate which is not usurious, it would want that you are transparent to the customer and there are no hidden charges, or nothing not disclosed to the customer . It has to be fair to both parties. So, at the moment what we are doing is that we are pricing it for risk and if you look at our lending category and look at our peers we are not at the higher end of the lending. There are several peers of ours who are lending at a much higher rate to a similar set of customers. We are lending where we believe is a fair rate to both of us . And I don't think that any move being planned there is going to have any impact for now as what we understand.

Laxmi Narayanan: And if you look at risk going forward in the next 3 to 5 years, what are the key risks you actually foresee for you as well as the industry , I think for the industry you talked about NIM compression and also little lower asset growth, but for you per se,

what do you look at as risk and what kind of efforts you are making to counter them?

Aseem Dhru : If I tell you the risks, how much time do you have? I can go until afternoon. So, the reality is that in the lending business everything affects you because lending is a derived demand. It is not a principal demand. Nobody needs a loan for the sake of it. People need things and therefore they take a loan for it. So, eventually, it depends on which end of the spectrum you are. We are not on the consumer end of the spectrum. In the consumer end of the spectrum, the worry would be whether the money is going into creating assets or money going into consumption which could not be a good growth of loan to have. We are in the business loan segment where we are lending to small businesses who are not leveraged, it is the first time borrowing that they are doing against property. So, to that extent we are doing what is very traditional finance and ultimately the risks come more from our own operating efficiencies . The risk comes more from our own credit judgment because ultimately the borrower is not somebody who has been wonderful tax audited statutory reports and none of our borrowers file GST, they are way below that threshold . So, the ability to really understand the customers and shift out data points which give you the confidence to lend is data -driven with a fair amount of judgment also in it and whenever you are doing even a little element of judgment , the risk of the lending goes up which is justified with the higher interest rate that we charge , then it makes RAROC efficiency . So really the risks to us, one comes from the environment which is what I mentioned earlier , the

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second risk comes from our own foolishness and mistakes and the third in misreading the environment or taking steps like too faster growth, for example, now we have to take a growth rate that we are comfortable with in terms of managing the outcomes and we have to keep watching our portfolio for what signals it is giving us. So, still at the end of the day just a 6.5-year-old company and we have to be careful. We have to watch many cycles to be able to be confident that yes , now we have we have got it well. So, we are still figuring ourselves out, we are learning, we are making mistakes , we are correcting and hopefully we are improving.

Laxmi Narayanan: And in terms of the gold portfolio and the MSME portfolio, what is the yield you get on gold?

Mahesh Dayani: So, in terms of the yields, we are now closer to 18 % odd and in terms of the MSME, we are in the range of 16 .75% to 17 % odd.

Laxmi Narayanan: And from a top up loan point of view, what kind of retention you have on the gold loan in terms of the repeat gold loan because as you said it is a short -term loan, so that is one in terms of retention ? And second in terms of the top up loans , what percentage of your borrower's did MSME avail top up loans and what is your criteria to do that?

Mahesh Dayani: So, typically what we do is that we wait for at least a year before we consider him for a top up. And obviously the top up has a lot of considerations to be looked at, whether his income has moved in line with his requirement, because that is where your FOIR is linked with and whether there is sufficient margin available on this property side for us to give him that particular loan. So, as I mentioned earlier that our overall top up doesn 't exceed more than close to around 15% odd. So, that is largely range bound in that particular case. With respect to the gold, it is a short

tenure product, it is between 3 and 6 odd months that we on board . We on-board close to around 3000-3500 customs every month . A lot of these customers, typically even after they close the loan, end up coming back after a few months and typically we see some bit of repeat custome

rs

come in . They would be roughly close to around 30 % to 35% would be repeat customers that would eventually come back to you.

Moderator: Thank you. As that was the last question for today, on behalf of ICICI Securities that concludes this conference. Thank you for joining us and you may now disconnect your line s. Thank you.

Call: Aug 2024

SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

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CIN No : U67190MH2008PLC178270

Date: 2nd August , 2024

National Stock Exchange of India Limited ,

Exchange Plaza, Plot No. C/1, G Block,

Bandra -Kurla Complex,

Bandra (East), Mumbai – 400051.

NSE Symbol: SBFC BSE Limited,

Phiroze Jeejeebhoy Towers,

21st Floor, Dalal Street,

Mumbai – 400001.

BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sirs,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on 29th July , 2024.

The transcript of the earnings conference call shall be uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Disclosures under Regulation 46 of the LODR' in due course.

You are requested to take the above on record.

Thanking you,

Yours faithfully,

For SBFC Finance Limited

(Erstwhile SBFC Finance Private Limited)

Jay Mistry

Company Secretary & Chief Compliance Officer

ICSI membership no. ACS34264

Encl: a s above

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"SBFC Finance Limited

Q1 FY25 Earnings Conference Call"

July 29, 2024

MANAGEMENT : MR. ASEEM DHRU – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER – SBFC FINANCE LIMITED
MR. MAHESH DAYANI – CHIEF BUSINESS OFFICER –
SBFC FINANCE LIMITED
MR. NARAYAN BARASIA – CHIEF FINANC E OFFICER –
SBFC FINANCE LIMITED
MR. PANKAJ PODDAR – CHIEF RISK OFFICER – SBFC
FINANCE LIMITED
MR. SANKET AGRAWAL – CHIEF STRATEGY OFFICER
AND INVESTOR RELATION S – SBFC FINANCE LIMITED

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIE S

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Moderator: Ladies and gentlemen, good day and welcome to the S BFC Finance Limited Q1 FY25 Earnings Conference Call hosted by ICICI Securities . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on yo ur touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Renish Bhuva from ICICI Securities . Thank you and over to you, sir.

Renish Bhuva Hi, thank you Neha . Good morning , everyone. Welcome to SBFC Finance Limited 's Q1 FY25 Earnings Conference Call . I will now hand over the call to Sanket for the introduction and take this call forward. Over to you, Sanket.

Sanket Agrawal: Thank you, Renish . Good morning, everyone. Thank you for joining the call early in the morning. I have with me the management of SBFC , Mr. Aseem Dhru, Mr. Mahesh Dayani , Mr. Narayan Barasia and Mr. Pankaj Poddar. We will start with opening remarks from Aseem, followed up with financial details from Narayan and then we'll open the floor for questioning. Over to you, Aseem.

Aseem Dhru: Thank you, Sanket. Good morning, ladies and gentlemen and thank you for taking this time out on a wonderful monsoon morning. If there is one thing BFSI companies and their investors cannot complain of, i s boredom. There is always something interesting happening around us all the time. And while some of us could be o ur doing, most of us isn't o ur doing to start with. It's been an interesting quarter where we faced three headwinds, a long drawn electoral process that affects smaller towns more specifically. And also , those that need to deal with government machinery like us when we have to register mortgages. Climate change is real and summers are getting hotter and monsoons more volatile and temperamental. The exceptional heat wave created its own challenge. And thirdly, the regulatory recognition of dis bursals at the RTGS stage was the biggest change we had to adapt to. And this resulted in a 5% AUM growth, which is at the lower end of our guided range. These factors are transient and it's back to business as usual. In a rising interest rate environment, our cost of funds has moved up by just one basis point Q-o-Q. We have seen opex to AUM come down by 21 basis points Q-o-Q.

NPAs move up 17 basis points quarter on quarter and credit costs go up by one basis points. Spreads and NIMS have held. This has resulted into a profit growth of 7.2% Q-o-Q. ROA has remained steady at 4.56 %, while ROE has moved up by 40 basis points to 12.3%. Nothing has changed in the environment for us to revisit our guidance. We maintain our guidance of 5 % to 7% Q-o-Q AUM growth and a credit cost in the 80 to 100 basis points corridor .

We will also continue to maintain PCR above 40%, which is double of our LGD . We do not accrue interest on NPAs. Once an account turns NPA, even as we provide higher for LGD , we believe it is more conservatively reflecting the reality. For us, it's a decadal journey and quarters are just milestones marking our progress. So, with your permission, I would like to get back to business at hand, over to you Narayan.

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Narayan Barasia : Thank you Aseem. A very good morning to you. In terms of business, our AUM grew by 35% on a Y oY basis, 5% on a Q oQ basis to INR7,167 crores. Out of which almost 99% of the AUM is secured either by property or by Gold . Our MSME AUM grew by 38% on a Y oY basis, 4% on a Q-o-Q basis to now INR5,954 crores. We added three branches during this quarter. Our average ticket size of MSME loan remains at about INR9.2 lakhs. In terms of borrowing, our

borrowing costs remain constant

at 9.32% for the full year. We have received a rating upgrade from CARE in this quarter from A + positive to AA - stable.

We have diversified further and have raised money by issuance of listed NCDs from mutual funds. We are further looking to diversify borrowing as we go along in future. In terms of asset quality, our GNP A has slightly increased to 2.6% as of June 24 with a PCR of 42.6%. Our credit cost is steady at 0.86% for the quarter. In terms of capital and return ratios, our yields on loans and spreads are stable at 17.58% and 8.26% respectively. Our opex for the quarter is 4.8% of AUM which is lower by 25 bps against Q4 of FY24.

Our return on average AUM for the quarter is stable at 4.6% while return on average tangible equity has increased to 12.3%. Our tangible net worth is INR2,604 crore s as of 30th June 24 with capital adequacy ratio of 40.8% and debt equity of 1.42%. The PAT for the quarter is INR79 crore s thereby reporting a growth of 7.2% sequentially against the AUM growth of 5%. With this, we open the floor for questions and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shubhranshu Mishra from Philip Capital. Please go ahead.

Shubhranshu Mishra: Thanks for this opportunity. I just wanted to understand, one, what are the pitfalls in technology onboarding across various functions that we have done? Second is, what are the pitfalls in co - origination that we do?

Aseem Dhru: Is your question, what are the pitfalls in technology and pitfalls in co - origination? Am I right?

Shubhranshu Mishra: Correct.

Aseem Dhru : See, what happens is that technology, as much as it enables, also creates its own risk in the process. And while as your dependence on technology goes up, any hitch in how the technology flows , I mean, we all saw what happened that one day Microsoft upgrade happened and the Cloud fare issue popped up. So, to that extent, all modern institutions are vulnerable to technology outages and more and more we invest, more and more is this risk.

However, what has happened over the years is that there is a fair amount of preparedness for both in terms of DPDP, data privacy and data protection. Because there is a risk of attacks coming onto a network. There is a risk of ransomware coming onto a network. There is a risk of data disappearance from your setup, etc. So, duplication of data, for example, even in a live server, every half an hour it goes and backs itself up to ensure that there is no loss of data. Or the loss of data is limited to that 15 -30 minutes at best. So, it's easy for us to restore.

We have also invested in a DR/BCP , which is based in Hyderabad on a different tectonic plate to ensure that we have a fallback on that. So, while we recognize that this is a risk , we are doing

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our best to ensure that this risk, even if it does materialize, is well managed. The risk of co - origination, I mean, there is no risk in co - origination. It is just that you will have to taper it to a level that you believe is sustainable and good for the organization.

Over -dependency on co - origination , over -dependency on anything is a problem. So, as a prudent lender, you need to diversify across every risk that you have. So, you cannot be dependent only on one setup. You cannot be dependent on too much of a high percentage that if for some reason the partner disengages or the law changes, the regulations keep evolving , so, if the regulation changes, it shouldn't be that you are exposed to that risk. So, we ensure that we only take on as much as what we can handle , in case events come up which question the continuity of what has been built.

Shubhranshu Mishra : Thank you. I'll come back.

Moderator: Thank you. The next question is from Renish B huva from ICICI Securities. Please go ahead.

Renish B h

huva: Sir, just 2 -3 questions from my side. One on this ticket size. So, when we look at the disbursement ticket size, it is falling consistently from the last 3 -4 quarters and now sitting at about 9.2 lakhs. So, what is happening there? I mean, essentially with inflation, this ideally should go up. I'm just wondering, are we changing customer segment or what is happening there?

Mahesh Dayani : So, Ren ish, hi. So, as we were mentioning on our calls and as you would see as our distribution keeps on getting deeper in every state, our incremental origination is going to be away from tier 2 towns and nearing more towards tier 3 towns where the ticket sizes are going to be obviously lower. So, on a marginal origination basis, the ticket sizes would come in.

What we've also maintained is that between 9 -11 lakhs is what the ticket sizes are going to be. Last quarter we were closer to 9.6 and this quarter we are closer to 9.2. But by and large, we should be between 9 -11 lakhs . It also gives us some benefit in terms of our yields and to maintain our spread as we move along on the lower ticket size because obviously the yields comparatively are a lot better.

So, if you really look at both the engines in terms of co-origination, where the ticket sizes are slightly larger, yields slightly on the lower side. But that's more than compensated with the lower ticket sizes but compensating for the high yields. So, on an overall profitable mix, you will see a very stable spread that comes through and yields are also pretty much at almost 17.6% on a Q-o-Q basis.

Renish Bhuvra: So, sir, I mean, if we go by what you've just said that the ticket size will remain between 9-11 lakhs. We are already at 9.2. So, going ahead, do you feel this ticket size will remain where it is currently? Or it should further go down?

Mahesh Dayani: At this point, sure, there but largely within the set guided range. So, I don't think it's going to go down to 6.5 or 7.5. But yes, between 9-11 is something what we are comfortable. We don't tend to do technically anything below 5 lakhs or 5.5 lakhs. So, we are not really treading on that particular trajectory. So, you really won't see the ticket sizes falling from the cliff.

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Renish Bhuvra: Got it. And, sir, my second question is on this asset quality metric. So, when we look at 1+ DPD, which has been steadily increasing from 5.5% in June 23 to 6.4% in June 24. And simultaneously, when we look at the customer profile, that in terms of the CIBIL score, the share of more than 700 CIBIL score customers are actually going up. So, I'm just not able to connect the dots here. I mean, at one end, the share of quality customer is increasing. At the same time, on a Y-o-Y basis, 1+ DPD portfolio is increasing.

Pankaj Poddar: So, for Q1, we have seen a muted collection efficiencies and that has impacted the portfolio into 0+ and 90+ in that sense. We expect the same to stabilize in coming quarters. And this is not a sequential impact as per our assessment.

Renish Bhuvra: No, but, sir, if we look at last 7-8 quarters, in fact 10 quarters, the 1 plus DPD as on June 24 is highest.

Pankaj Poddar: It has been stable with 5% around. So, if you look at last 3-4 quarters, it has seen volatility in that sense. Even if you take quarter 1 of last year, we have seen an increase from Q4 of previous year. So, Q1 has seen an increase. This quarter, we have seen a higher increase in collection efficiency impact in particular and we expect that to stabilize. And we don't expect that to impact our credit cost range, which we have guided. And we expect that to remain between 80-100 basis points.

Renish Bhuvra: Okay. Got it, sir. Thank you and best of luck.

Moderator: Thank you. Ladies and gentlemen, you may press star and 1 to ask a question. The next question is from the line of Nischint Chawathe from Kota

k Institutional Equities. Please go ahead.

Nischint Chawathe: Thanks for taking my question. Just curious, you started off citing 3 reasons for some sort of weakness in disbursements this quarter. I want to sit in the lower end of your guidance. Just curious, how do we see the next 3 quarters? And more specifically, if you could spell out the contribution of the RTGS rule change, basically, the RTGS disbursements rule. And how much would that have contributed? And let's hypothetically say that if that were not the case this quarter, how much growth could have been?

Mahesh Dayani: So, Nischint, hi, good morning. So, as in the opening remark, Aseem rightly articulated, the key reasons. So, if I were to numerically translate that, it was roughly a month's disbursement that was impacted. If you were to look at our overall volumes and even probably take the lowest possible denominator for last year's numbers. So, we had close to around 2,000 to 2,500 odd customers. So, if you were to translate that particular number, we would have been closer to 7,800 odd customers for the quarter, which would have been technically higher than the previous quarter. Having said that, yes, the month of May was impacted. And partly also because of the circular and also because of operational limitations that we had during that particular electoral season.

Having said that, the good news is that June was back to where the business was. So, whenever you do a process change and probably adjust to the new norm, there is going to be a one-month impact. But then it gets back to its role from the next quarter. So, which gives us the confidence of saying that it should be business as usual from the current quarter onwards and our guidance

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with respect to our growth rates continue to remain the same. So, there has been no change as such. The only minor tweaks which I mentioned earlier could be on the ticket sizes moving, but that's also going to be largely in the same range.

Nischint Chawathe: But ticket sizes moving, does it sort of enrich the yield mix?

Mahesh Dayani : That is so. If you probably look at our yields and spreads, given the current season that you would probably observe in, our spreads have held on, our yields also have held on, despite our co-origination percentage being 22% on a higher base. So, if we've managed to maintain the yields at roughly at 17.6 % and our spreads at 8.25 % or whereabouts, which goes on to say that it's been largely more than compensated with the better yields on the lower ticket size.

Nischint Chawathe: And this is a trend which we probably think should continue, right?

Mahesh Dayani : Yes. So, as our distribution tends to go deeper, we will get enriched in terms of the yields or at least hold on to the yields despite continuing with the current percentages on co-origination.

Nischint Chawathe : Sure. And just one technical question, this interest on co -origination, co -originated loans this quarter would have been how much? I think last quarter was around INR6.6 crores.

Narayan Barasia : So, interest on co -origination remained as where it is in the last quarter. Our share in that structure goes up based on the portfolio we originate. So, as the volume increases there, our share just keeps on going up. But it just remains where it was in the last quarter.

Nischint Chawathe : Sure, that number just helps us to sort of model spreads better and I think that's where I was asking this question. Anyway, thank you very much and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Thank you so much. A couple of questions. First is that there has been a push from RBI as well as other eminent people in the government, saying that we need to bring down the rate that is being c

harged to the end customer. So, how does that affect a company like us? I mean, how do we demonstrate that we are charging a reasonable rate to our end customers? That is the first question I have.

The second question is that, given there will be changes in the way in which debt schemes or a lot of taxation things have got changed. How does that change your treasury operations in a short term or a long-term perspective?

Aseem Dhru: So, see, the regulator basically is trying to strike a fine balance between what is fair interest rate and what is a usurious interest rate. Now, it is anybody's guess in terms of exactly where this line is drawn. But as long as what is charged is not unreasonable, they have been largely leaving interest rates to the lenders to decide. Now, the point that they were making, that was mentioned by the governor as well several times in his speech, that it was specifically aimed at microfinance and the yields therein. So, what we believe is that our yields are there and that is something we have to continuously be sensitive about, that we don't end up crossing the line.

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Somewhere it is between striking the right yield for the business that we strike for, in terms of the ROA, as well as balancing that from the customer's viewpoint, it doesn't become unfavourable or too burdensome. So, at the moment, we believe that we are holding that balance. But you are right, that is something that we have to be mindful of.

On your second question on treasury operations, again, we are doing our best to diversify our exposures away from any dependence on one class of lender. So, if you see two years back, 77% of our funding used to come from banks. That number has moved to 54% last year. And the number may move to under 40% this year. So, we are diversifying away from banks. Within banks, we are diversifying between foreign banks, PSU banks, private sector banks, etc. to ensure that even within banks, we are well diversified and we don't have dependency on a large lender. After our upgrade to AA - ratings, we have opened up the NCD platform where we have borrowed from almost all the large mutual funds that you can mention. And we will now be borrowing from DIIs shortly to diversify our lending more. And explore ECBs, etc. as well down the road.

In terms of, yes, the flow into debt schemes anyway wasn't material. So, that anyway hasn't been material even before the budget. Post that, the flow may get muted a little more. However, we are a small company, we are not seeking those large levels of finance. And whatever we are seeking, that seems to be reasonably easily available and there is appetite for our paper at the moment.

Lakshminarayanan : So in terms of your branch extensions, we have around 186 branches. What is the approximate number of branches we intend to open this year?

Mahesh Dayani : So, what we have been always guiding is that, in a year we would be opening close to around 20 odd branches, where about. And these would largely be in states where we are already present.

So, we are not adding any new state, but the existing states where we have been reasonably covered, we will only go deeper in those particular markets.

Lakshminarayanan : And do you actually do branch -wide profitability? And if so, at what point in time a branch becomes profitable or it will at least break even?

Mahesh Dayani : Yes. So, what we do is that for the purpose for our investor deck, we call out the AUM at a

branch with their agings. But internally, we do have profitability metrics driving it down to a branch level.

Lakshminarayanan : And typically, how long it takes for a branch to break even? Is it less than 18 months or more than 18 months?

Mahesh Dayani : So, we have got two products. We have got gold and the other which is backed by property. So, both have different metrics, but to pr

obably answer your question in a different way. A gold

branch at INR6.5 crores, INR 7 crores gives us the required ROE and an ME location or an ME

branch at an AUM of close to around INR33-34 crores gives us the required ROE. The break -

even period could be anything between 12 -18 months, depending upon the location and the branch metrics that we operate in.

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Lakshminarayanan : And in terms of your book, typically at what point in time you actually find that the book can actually potentially get into a stress? Is it that at the end of 12 months, in general, what is the pattern? When does a typical loan, if you just take the entire cohort, you start getting bounces?

Pankaj Poddar : So, this is a mortgage loan. So, typically, we see the vintage curve kicking in at a 36 -month kind of time frame. So, that is the majority that we look at , and based on that, we have built 80 -100 basis point credit costs in the month.

Lakshminarayanan : And one last question, what kind of hike you have actually affected for your employees? And what has been the attrition at the mid and the junior level staff for us for the last year?

Sanket Agrawal : On the blended basis, you would have 8 %-10% of increment at a company level. We have most of our staff that are incentive based because of being frontline employees. Those get a combination of increment and incentives. The other staff would get increments that would be in the range of 10 %-20%, but the blended at a company level comes to around 8 %-9% of increment.

Lakshminarayanan : My question is related to employee attrition at the lower -level management, mid -level management or the senior level management? I assume senior level management is negligible.

I just want to look at what is the mid management, essentially branch heads and so on and then the lower management, lower grade staff. What has been the attrition?

Sanket Agrawal : Internally, we grade the employees in three bands. So band 1 is obviously AVP and above where you would have negligible attrition. The managerial level, which is the band 2, would be roughly around 20% attrition and the front line would be at a higher attrition rate. For our permanent employees, we roughly see right now at 40 %-45% of attrition rate in the front line. We continue to do training , we continue to try and make efforts towards reducing this number. This has been high from last three years, both in industry and for us. We endeavour to reduce it further. It was upwards of 50% as of last year. This year, it has stabilized slightly, but we intend to bring this lower going forward.

Lakshminarayanan : Got it. Thank you so much.

Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Mutual Fund. Please go ahead.

Himanshu Taluja: Sure. Thanks a lot for the opportunity. Just a couple of questions. I actually initially missed your comment, so probably I may be repeating. Sir, when we see the collection efficiency dip in the quarter and some bit of surge in the 1 + and the GNPA ratio trend, is there anything to read or is it just a first quarter phenomena which has happened and probably things will revert to normalization in the second quarter? So what is your thoughts around this ?

And the second part of the question, is there any signs of deterioration in the ticket size which you are operating from an industry practice in the secured MSME? And is there a need to tighten the risk model or the credit underwriting model further on thi s now, given some signs of normalization is also happening from an asset quality? And if you tighten anything, is there a

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risk to growth? Probably what you are guiding of 6 %-8% Q-o-Q growth, probably that is a trend which you wanted to see over the next couple of years. Is there any change to that?

Aseem Dhru: So I

think you missed the opening comments. We are not changing our guidance. There is nothing that has happened in the environment that leads us to believe that that is not deliverable anymore. So we are sticking to what we had said. So if you had heard my previous calls last year as well, we had mentioned three things. I think Nishchint you may remember this was an answer

to your question earlier, that the Goldilocks scenario of banking is going to be questioned this year and the regulator also wants a slowdown of growth. And what the regulator wants, happens. There is going to be an increase in credit costs across the industry. And there is going to be a compression of NIMs across the industry. And I expected it to be a little later, but in the first quarter itself, if you read the results of all lenders, you can see a combination of all three emerging. So that is point number one.

Point number two is that if you see CIBIL data, it tells you that the deterioration of prime and super prime has been very sharp. So you can see that there have been more downgrades in the people rated prime and super prime. In fact, the good thing for us is that there has been more upgrades in the quality of lenders that we lend to, quality of buyers, borrowers we lend to. But the prime and super prime is coming down, which basically means that there is over leverage that is happening of those customers. Too many people are chasing the 750 plus CIBIL customers. And that is what is creating a challenge. So one, the environment is raising questions. Two, one sparrow does not make a summer.

So, at the moment, we are not taking a conclusion that there is a huge challenge ahead. One, first quarter, there is a little bit of softening across everything. There is a normal softening that happens in the first quarter.

Generally, people work up to March and then there is a little bit of relaxation that creeps in, in the industry and I've seen it over the years. So, the second is that there have been specific reasons in this quarter whereby it has not been a normal quarter, both in terms of delinquencies as well as in terms of delinquency. So we expect that from this quarter, we should be back to business as usual. We'll have to watch it for a couple of quarters before we see a trend emerging. At this moment, it looks pretty in control. And in a long journey, you will have some amount of bumps here and there along the road. But there is nothing that is happening that is causing us any big concern.

And ticket sizes, we don't seek a ticket size. We are in the business of seeing what is coming through our door and what is acceptable as a credit risk. So they will bounce around a little up and down the alley. And it is a fine balance that we also have to seek, that there is a particular ROA that also we need to drive because we are in an environment where after IL & FS, it has been a permanent change in the environment where all NBFCs' leverage has fallen off a cliff. So which means that unless an NBFC is able to sustain and deliver a high ROA, it will struggle to deliver the ROEs. We are in the business of delivering the ROEs. So for us, it's a fine balance that we have to seek the right yield by the right risk and manage that risk through cycles. So that is what we are aiming to do.

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Himanshu Taluja : Sir, just last two questions. If your credit cost guidance of 1% which you wanted to hold for a long period of time, is that still on hold? And the second is, according to your model, basically, when do you expect to reach around a 14%-15% closer ROE and the levers to attain the same?

Mahesh Dayani : So what we've earlier also guided is that in the last quarter of next financial year is what we had guided for achieving a 15% ROE. A couple of metrics that is going to come through. So if you probably look at our ROE tree, since

we've invested in our entire distribution, which means people and branches, a lot of those costs were loaded up front.

And then as you start building the momentum, the distribution tends to sweat. So if you look at probably our cost structure, that's slightly elevated, but that's by design. And as we move along, you will see a lot of that cost beginning to sweat and that's what's beginning to come down.

So what we've guided is that on a yearly basis, you will see a cost or a ROA coming off by almost 50 basis points. I think since most of our book is largely variable, except for gold, we are confident of holding the spreads and that's what we've demonstrated over the quarter that our spreads have held on. And our fee income remains robust. So clearly moving forward, given the current run rate at what we're operating and the profitability metrics that we've been maintaining, we're pretty hopeful that we will hit our 15% ROE by the last quarter of next financial year.

Himanshu Taluja : And the credit cost guidance of 100 bps still holds for the FY25 as well?

Mahesh Dayani : Yes.

Himanshu Taluja : Thanks a lot.

Moderator: Thank you. The next question is from Abhisar Jain from Monarch AIF. Please go ahead.

Abhisar Jain: Hi sir, thanks for the opportunity. I have a question on your more than 36-month branches. As we see in the PPT, the AUM for these branches has moved up year on year from INR39 crores to around INR50 crores. So I was just curious to know what would be the opex to AUM trending for these branches. I'm assuming obviously it should be much lower than the whole company level of 4.8% and how much leverage can play out as we build the AUM in these branches as well as build the number of these branches?

Mahesh Dayani : So in terms of number of branches, that's been mentioned in slide 12 of the PP T. But you're right, the opex in these branches obviously largely because of the size is significantly below 3%. We don't call out the exact number, but largely if we were to guide you on a percentage, it would be less than 3%.

As you can see that on a Y-o-Y basis that's growing roughly at 25%. The number of people in those branches, as we had maintained, that the staircase for these set of branches which are more than 3 years, so if you're into a new location, a new market, which starts with 4 or 5 people, which moves to 7 to 8, and then ultimately moving to 11 or 12. So this is based on the kind of origination, the color of origination, and as Pankaj mentioned that we'd like to see the maturity of the profile before we start investing in it. So once we have a good amount of comfort with these set of branches, that's where largely the investment starts to happen.

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Abhisar Jain : Understood. And can you indicate that in some of the much more old and mature branches, what would be the AUM per branch like? Is it a significantly higher number than this average of 50 cr?

Management : Yes, so you would have some branches who would be upwards of INR65-70 odd crores. There would be some of the branches which would be at INR40-45 crores. But then it's a combination.

A INR45 crore s branch could be as profitable as a INR65-70 crore s branch because the cost and the OpEx structure for both the branches may be really different. But as I mentioned earlier that as long as our branches beyond INR33 crores to INR34 crores on the ME side starts delivering, the required ROE tends to come through.

Abhisar Jain : Understood, sir. Okay, and the second question I had was on the HFC license that we were, I think, looking for and also other plans to make a meaningful entry in that segment. So, sir, can you update on the status and also your plans there for medium to long term?

Aseem Dhru: See, that is a little two bird in the bush. It is not in hand. We have applied for the license. We don't know what time it would take.

ke. As and when we hear from the regulators, we will then come to you with specific plans. At the moment, as things stand, it is just business as usual at SBFC .

Abhisar Jain : Okay, sir, understood. For the co -origination book, I'm seeing that the percentages have been building, I think, over time from mid -teens to now it's 21%. So, is there a level that you want to take this to at which you will be, comfortable? Or is it like the way it is building, it is more of an outcome rather than a target?

Mahesh Dayani : So, what we are comfortable with, and that's what, we've been guiding over the last four quarters, that co -origination is going to be between 15 % to 20%, and we run the circular one and not circular two. It gives us the comfort of planning our origination, and it helps us in both in terms of origination and also to maintain the right profitability metrics . So, from a guidance perspective, we are happy to be around 20 odd percent, even at a slightly higher base.

Abhisar Jain : Understood, sir. And last question, on the gold loan book, it is around 16%. So, again, that percentage also you want to maintain or grow it slower or faster than MSME ?

Mahesh Dayani : Yes. So, broadly, we were at 85: 15, largely by the ticket sizes. So, if you really look at our gold loan business, that's got a bump up largely because of a good gold price. And so, there's been some momentum there. But from a long-term perspective, we would expect 85 :15, but slightly it's going to tilt towards the ME, going slightly higher than the gold, largely on account of the ticket sizes. So, our ticket sizes are in the range of 9 to 11 lakhs on ME, and gold is close to around 1 lakh.

Abhisar Jain : Understood. Thank you so much, sir. Best wishes.

Moderator : Thank you. The next question is from the liner, Raajesh Bhojwani from RBB Ship Chartering Pvt. Ltd. Please go ahead.

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Raajesh Bhojwani: Good morning. I want to understand the long -term plans of SBFC. And the second question is, any dividend policy?

Aseem Dhru: So, long -term plan is to continue growing 5 % - 7% Q-o-Q. And, you know, the business of financing is the business of compounding, and nothing changes to the fundamental stuff. We don't want to do anything new or different. We'll continue doing the boring , hopefully over long periods of time. As long as, in an NBFC, as long as your growth is higher than your ROE, there is no question of paying dividends.

You want to reinvest in that growth because you are maintaining your ROEs and growing , so,

we would be needing capital. We are a capital -hungry business. So, generally, NBFC s at the early stage of their operations do not declare dividends until they get to a stage where the growth matures, ROEs stabilize, and your logic of giving dividends kicks in. At this stage, we prefer to reinvest our profits into our growth because that is also delaying the next capital raise in some sense , and thereby, pushing up our ability to move the leverage up.

Raajesh Bhojwani: Thank you.

Moderator: Thank you. The next follow -up question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Just two small data -keeping questions. How many of your customers have Udyam registrations?

And what was the headline attrition rate that you mentioned in one of the questions?

Pankaj Poddar : So, Udyam registration would be upwards of 75% customer base from a n origination standpoint.

Sanket Agrawal : And attrition is different at a different band. Band 1 was negligible. Band 2, closer to 20%, which is a managerial grade and the front -line permanent employees would be around 40 %-45%.

Nischint Chawathe: So, you said band 2 is how much?

Sanket Agrawal: Band 2, roughly 20%.

Nischint Chawathe: Okay. And at the overall company level?

Sanket Agrawal: I'll have to ge

t back, Nischint .

Aseem Dhru: Front -end is the majority. So, it will be around 40%, for sure.

Nischint Chawathe : Okay, got it . So, those were my questions. Thank you very much.

Moderator: Thank you. The next follow -up question is from the line of Shubhranshu Mishra from PhillipCapital . Please go ahead.

Shubhranshu Mishra: Hi, thanks for the opportunity for follow -up. Just wanted a bit of details on the gold loans. What kind of ticket sizes are we doing? The average ticket sizes. What's the behavioural tenor on the balance sheet? And what is the customer segment split between self -employed and salaried? Or maybe if you can give a split between salaried and micro -SMEs. Thanks.

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Mahesh Dayani : So, the ticket sizes are slightly above a lakh. And largely because the ticket sizes are slightly larger than most of the traditional gold loan companies. Most of the customers actually fit into the self -employed bucket. Your third question related to the average tenor. The average tenor is between three to four months is what they hold up.

Shubhranshu Mishra : And any benefit of one of the players having a regulatory restriction and anything that has had a detrimental impact because of the disbursement regulation for anything more than 20,000?

Mahesh Dayani : So, in fact, it's worked the other way for us. Because there was these cash disbursement s and restrictions on cash disbursement. If you probably see the gold disbursal numbers, not only for this quarter, but even for the previous quarter, they were slightly up. Some benefit, yes, it does come in, which is there. But I would say if you were to split our growth, the split in growth was also on account of the gold price momentum that we got and obviously, some part of it, almost a 50-50 split between the vol ume and the value.

Shubhranshu Mishra: Got it. Thank you.

Aseem Dhru: Cash is actually a headache for us. So I would wish the regulator makes it zero.

Shubhranshu Mishra: Sure. This was very helpful.

Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan : Thank you. If I just look at your IT expenses, it has almost gone up 50% last year, FY24 over FY23. I just want to understand, do you expect the kind of momentum to continue? What is the budget for IT and where exactly is it being spent?

Aseem Dhru: So last year, we upgraded our new LOS , we upgraded a new LMS and we invested in data warehouse, as well as build a DR/BCP , etc. And we went for ISO certification and that had its own set of investments to do. So it was a year where we beefed up hardware, software, as well as security infrastructure. We also moved on the data protection side on Sentinel, which is what we use for data protection as well. So , we upgraded our infrastructure last year majorly. Now it is business as usual. So, t here are no immediate further investments that we are looking at, material ones. Maintenance and health investments will continue. So we will be near about where we are now.

Lakshminarayanan : All right. There has been a fluctuation in gold prices due to the custom duty reduction. What does it entail s to gold borrowers in general and particularly you? Did you adjust the LTV , or have you actually called for more capital?

Mahesh Dayani : So largely what tends to happen is we follow a daily MTM process. And clearly while at the time of origination, you are expected to maintain a 75% LTV all through. In case there is a variance in the value, we do call on to the customers to either put in ex tra gold and with some bit of time lag, then we put up the gold for auction.

So clearly from a gold price perspective, we are not really in a business of looking at the gold price and then speculating how this is going t

o unfold or probably project that it is going to give us a higher margin of safety. We work on a real -time basis, on a daily basis. If there is any fluctuation on it, we would go ahead and take the right appropriate steps to maintain our margins. If you look at our overall delinquency numbers and 90 + in particular, we have a very strict norm of ensuring that those auctions get conducted the moment the MTM breaches happen. And that now is consistently being followed on a Q-o-Q basis.

Aseem Dhru: Also, we knew that gold prices were a little overheated, so we were pricing it lower to start with. We were not giving market rates in the lead -up to the budget. To that extent, our customers are also are in better shape , thanks to that.

Lakshminarayanan : Got it. That was very helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question. I would now like to hand the conference over to the management for closing comments.

Sanket Agrawal : Thank you for joining the call. We will continue to engage Q-o-Q. Thank you.

Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Oct 2024

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Date: 31st October, 2024

National Stock Exchange of India Limited ,
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NSE Symbol: SBFC BSE Limited,

Phiroze Jeejeebhoy Towers,

21

st Floor, Dalal Street,

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BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which

was held on 28

th October, 2024.

The transcript of the earnings conference call is also being uploaded on the website of the Company at
<https://www.sbfc.com/investors> under the section 'Investor Presentation – Call Transcripts'.

You are requested to take the above on record.

Thanking you,

Yours faithfully,

For SBFC Finance Limited

Namrata Sajnani

Company Secretary & Chief Compliance Officer

Encl: as above

Page 1 of 18 "SBFC Finance Limited Q2 FY25 Earnings Conference Call" October 28, 2024 MANAGEMENT: MR. ASEEM DHURU – MD & CEO MR. MAHESH DAYANI – CHIEF BUSINESS OFFICER MR. NARAYAN BARASIA – CHIEF FINANCIAL OFFICER MR. PANKAJ PODDAR – CHIEF RISK OFFICER MR. SANKET AGRAWAL – CHIEF STRATEGY OFFICER MODERATOR: MR. RENISH BHUVA – ICICI SECURITIES

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Moderator: Ladies and gentlemen, good day and welcome to SBFC Finance Limited Q2 FY25 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Renish Bhuvra. Thank you and over to you, sir. Renish Bhuvra: Thank you, neha. Good morning, everyone. I will now hand over the call to Sanket for "Management Briefing." Over to you, Sanket. Sanket Agrawal: Thank you, Renish. Good morning everyone, and welcome to the Q2 FY25 Conference Call of SBFC Finance. Thank you for joining early in the morning. Along with me I have the management of SBFC, Mr. Aseem Dhru - MD and CEO; Mr. Mahesh Dayani – CBO; Mr. Narayan Barasia - CFO and Mr. Pankaj Poddar – CRO. We will start with the Opening Remarks from Aseem followed up financial detailing from Narayan and then we will open the floor for questions.

Over to you Aseem. Aseem Dhru: Good morning everyone, and never a dull moment in Financial Services, is there? So, there are times when the ball nicely comes on to the bat, the pitch is flat, the bounce is even. Those points in time, the scoreboard keeps kicking along. Then there are pitches that test the batter's mettle. If you go back to our con-calls in April and July, you'll remember that I had mentioned that the industry will have three challenges: 1. Slowing growth. 2. Compressed margins due to the rising cost of funds. 3. Rising credit cost. If you see the results that have come out so far from cement to FMCG, paints to retail. Consumption growth is slowing, and this is an outcome of three things: 1. A "K" shaped post-pandemic recovery. 2. Inflation taking a bite into consumer wallets. 3. EMI's of loans biting even deeper into that wallet. It is the proverbial tide going out showing us who was swimming with what trunks on.

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We just declared our 2nd Quarter FY25 Results. Growth has been slightly above our guided range of 5% to 7%. Reduction of costs have been above the guided range of 50 basis points for the full year and credit costs have been at the upper end of our guided range of 80 to 100 basis points. In these times of rising cost of funds, we have managed to increase our spreads by 14 basis points. Even as leverage increased, we have preserved our ROA at 4.56% while increasing our ROE by 37 basis points. We've added six branches during the quarter. In a Finance business, we aren't paid to manage growth, anyone can do that. We are paid to manage the risks that come visiting in cycles. At this moment, there are 4 clear and present risk that the industry is battling with: 1. Credit cycle is at our door and managing this is going to be our challenge. 2. We have tightened our credit underwriting since February and finding lendable customers has become that much more of a challenge. 3. Our base case is that we aren't likely to see a rate cut anytime soon, and even if that does happen, as long as banks scramble for deposits, MCLR leakages will keep pushing up our cost of funds. 4. The regulator has a zero tolerance policy, and as a regulated entity we have to tighten our belts and clean up any process weaknesses we have to behave in line with the letter and spirit of the regulation. While we recognize these challenges, I also think, like what happens in the stock market, we often move from irrational exuberance to overblown fears. At SBFC, no matter what is the weather outside, we are always cautiously optimistic. In good times, we told you the same thing we are telling you now. We will endeavor to grow at 5% to 7% quarter-on-quarter. As economies of scale b

uilt, our cost to income ratio will keep dropping by 50 basis points annually and credit costs will largely remain contained in the 80 to 100 basis point range, although there could be a quarter where it may brush above it marginally. We finance small businesses in small towns and have to balance their interest with ours. Ask any batter which innings he remembers, and chances are it will be the one he played against all odds. As a banker, I'm excited that this pitch is going to test us, but then that is the point of the whole thing, isn't it? A good surfer doesn't fight the waves, he rides them and that's what is our ask. With this, I turn it over to Narayan for taking us through the numbers. Narayan Barasia: Thank you Aseem. Very good morning to you. I will take you through the Financials of the Quarter Ended September 2024. Our AUM as of September '24 is Rs. 7,715 crore with a reported growth of 33% on a YoY basis and 8% on a QoQ basis. 99% of our book is secured by properties and gold.

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We added 6 branches during the quarter with total branch count now at 192 as of September 2024. Our borrowing cost has reduced marginally to 9.32% for Q2 FY 24-25, which is similar to Q2 FY 23-24, in spite of rising MCLR by Banks. The yields and spreads continue to remain stable at 17.69% and 8.37% respectively for the quarter. Our OPEX continued to reduce and is at 4.6% for the quarter due to improved operating leverage, while we continue to increase our investments in branch network. Our return on average AUM for the quarter is 4.56% and return on average equity further improves to 12.67%. In terms of Asset Quality – our GNPA has inched up slightly by 9 basis points in Q2 for FY 24-25 to 2.69%. Our 1+ DPD, however, for secured MSME declined marginally during this quarter by 4 basis points to 6.33%. Our credit cost is slightly above 1% to 1.03% for the quarter. We maintain a very healthy PCR of 40.17% as of September 2024. Our capital adequacy ratio is 38.6%. Our tangible net worth is Rs. 2707 crore as of September '24. We reported a profit after tax of Rs. 84 crores for the quarter, thereby reporting a growth of 60% on a YoY basis and 7% on a QoQ basis. With this, we open the floor for question and answer. Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shubhranshu Mishra from Phillip Capital. Please go ahead. Shubhranshu Mishra: Two questions. The first one is any signs of stress that we are seeing in unsecured business loans, especially in the ticket size of maybe 5 to 15 lakhs, and if so then from what kind of industries? The second is, are we seeing customers coming and pledging their gold to fulfill their due for unsecured loans, they may have outstanding somewhere else? Thanks. Aseem Dhru: Thanks, this is not applicable to us. We don't do unsecured lending. Shubhranshu Mishra: Right, the second one. Aseem Dhru: Your second question is that do people pledge gold to pay an unsecured loan, but since we don't do that it doesn't happen. But it could happen that people have pledged gold to pay EMI somewhere else. That could happen, that we would not be able to exactly know. Moderator: Thank you. The next question is from the line of Anaga Rana from E91 partners. Please go ahead.

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Anaga Rana: I just wanted to understand the bounce rate for this quarter and just how have we seen that move over the last two to three quarters maybe? Pankaj Poddar: So, in our segment actually we track 0+, 90+ and collection efficiency data and the data of the same has been provided. This segment according to us that is the key for us to track and we are watchful of the same in the current environment. Anaga Rana: But would you be able to maybe give some color on what the bounce rate has been like? Aseem Dhru: What has happened in this environment is that the bounce rate isn't go

ing up. The bounce rate has been pretty steady all through. In fact, in some cases there is marginal decline. So, the challenge isn't the bounce rates going up, but the challenge has been once the customer, slips to bring the customer back has become that much extra difficult. The way we look at it is that the environment has become tighter and now in the current market environment usually what happens is that when unsecured lenders tighten the belts, the secured lenders do face some

impact which naturally comes thereafter. So, what we are likely to see and what we'll have to watch for is that the bounce rate may not change, but the difficulty to bring the customer back once slip, once he goes to 60 DPD then he keeps being stable, but we find it difficult to bring him back to normalcy which was a little easier earlier. So, that curve got inclined a little but nothing really material is changing. See these are the cycles of the economy that they keep playing. It's a slightly more inclined curve right now, but nothing really material or dramatic and which is why we are not changing our credit cost guidance for the year. We are not seeing anything that is really concerning us to that level. But yes, we are watchful, the environment is elevated risk and therefore we would be watchful. Moderator: Thank you. The next question is from the line of Nishchint Chawathe from Kotak Institutional Equities. Please go ahead. Nishchint Chawathe: I think the first one, just data keeping one is if you could share the interest on co-originated loans, we've been giving in the call for last two quarters. Narayan Barasia: So, we don't give out individual interest rate. So, our strategy has been to maintain the co-origination book at 20% of our total book and we have been doing co-origination with CLM-1 which is very rare in the market. People have generally tended to use CLM-2 which is assignment post-disbursement. We have used CLM-1, which we believe is a far superior product in terms of delivery and execution. Nishchint Chawathe: No, just the interest income broken up into it because it just helps us to kind of calculate things a little more accurately, which is what we've done in the last quarter. Sanket Agrawal: So, that's roughly 40-45 bps as we discussed in the March con-call. So, the yield of 17.7 would have 45 basis point of co-origination fee income that goes at the top line.

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Nishchint Chawathe: The other thing is that I believe we are not changing the credit cost guidance for the year, but going forward on the growth rate, I know you have been delivering better than what you have guided, but do you see the overall growth momentum changing or, I know you have already tightened the screen, but beyond that do you see the growth momentum really changing for the year? Mahesh Dayani: So, overall, if you look at our overall guidance, what we've been giving is close to around 5% to 7% and for a moment, even if you were to look at the lower end, which is close to between 5% to 6%. And if we continue with the current momentum and it doesn't drop, we will be in the guided range at least through this particular financial year. So, what we've been talking about despite probably tightening and the current disbursal momentum which is there, you would see us delivering on the same growth pattern that we've been guiding for. Nishchint Chawathe: And you also mentioned about your cost of funding going up, which is fair, but incrementally are we able to really pass it on to customers because I think in the 1st Phase of the rate hike you are able to maintain your spreads very well. Do you see that incrementally while the cost is going up, it's a challenge to pass it on. Mahesh Dayani: So Nishchint what typically happens is that we have a category of customers which range anything between 5 lakhs to 30-odd lakhs, and towards the higher end of the ticket sizes and for the higher end is 15 lakhs

and above, we tend to co-originate those loans, which effectively means that only 20% of those loans are with us and 80% is with the co-originating partner. And then you have enough flexibility to move in the way that you would want your yields to move. So, if you look at even our current quarter you would see co-origination as a percentage is at 17%-odd and the balance is on the SBFC book so you would see a positive impact there. So, it's just the way that we are now managing our spreads, are managing our yields and as we've been maintaining that and largely the book is on a variable rate so our ability to pass on is extremely high on the book. Narayan Barasia: So, Nishchint one clarification our cost of borrowing has been very steady. If you look at the cost of borrowing of Q2 last year and Q2 this year it is absolutely flat so it has been at the same level.

Nishchint Chawathe: But I believe that as banks are raising their benchmarks for their MCLR, it is bound to increase Aseem Dhru: SBI has raised, for example, in the last four months their MCLR 3 times, but even during that quarter where all banks raised their MCLR, our spreads have gone up by 17 basis points, so that sort of answers the question that even when we have not technically done a rate increase, we have been able to maximize yields. Is that a challenge going forward, yes. And again, going back to the three challenges that I have outlaid several times over the last one year that maintaining margins is going to be a key challenge and as bank's NIMs come under pressure, NBFC NIMs will also come under pressure. Our ability to manage is what will get tested.

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Nishchint Chawathe: No, the point is that if banks NIMs come under pressure and they pass on rate hikes to NBFCs or their MSME borrowers then to that extent you can also pass it on to your borrowers, right? Aseem Dhru: That is of course an option available, we have a variable portfolio. But we also have to be cognizant of the fact that we deal with customers who are vulnerable to EMI increases. So, we don't want to do it as much as possible. We will do it if we have to. But as much as possible, we would rather find innovative ways to reduce our cost of fund. So, we have diversified our holding away from banks, we have been continuously dropping our percentage borrowing from banks and we have gone to the NCD market which is giving us a better yield. We are now going to raise it from multilateral financial institutions shortly. So, we have to find ways to battle it. But yes, the pressure on the cost of funds will come. Two ways to do it – one is to just take it and pass it on, but that's lazy banking. I would rather that we work harder to reduce or keep our cost of funds flat even in an inclining environment. But if we cannot keep it flat then we have no choice but to pass it on. Nishchint Chawathe: Got it. And just one last thing is the regulator has been talking about end use monitoring on especially asset classes like LAP. Are you able to do that or are there any changes being made to be able to do that. Aseem Dhru: So, yes, this is a requirement that we have to be in compliance with. We have devised ways in which we will be achieving the same. So, again as I said in my call earlier that regulatory asks have gone up and we have to be in compliance with both the letter and spirit. We have devised the plan to actually fall in line and ensure that we have end-use monitoring, though for an NBFC it is a lot more challenging because we don't have view on the customers' bank transactions unlike a bank. But we'll have to be in compliance, and we have devised a method by which we will fall in line with what is asked. It is not going to be easy. Nishchint Chawathe: Any other points made by the regulator, not necessarily for you, but for the industry which probably we need to be work on? Aseem Dhru: No. So, see the ask is very clear. One is that the "Customer Fair

Practice Code" is prime on the agenda that all lenders will have to ensure that whatever practices you are following from lending to interest rate to collection, etc., have to be fair and the disclosure to the customer has to be transparent. And there can be no hidden charges inside whatever you are charging. So, one is "Customer Fair Practice Code.", in that a lot of things that changed of late in terms of at what point of time your interest gets booked, etc., that you only book interest once you have given the money out to the customer and not when you sanction the loan. So, one is "Customer Fair Practice Code." The second is the governance and compliance is within the organization and ensuring that your liquidity management is correct, high quality cash requirement is appropriate, ensuring that you are following all the processes that have been laid out for lenders to follow. And third is how you are managing your risk, because the regulator has also been guiding that growth has to be in line with all the risk governance and operating practices at the NBFC or the bank, and we have to ensure that our risk management frameworks are in line with the growth

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that we are seeking, and that we are not growing at the cost of everything else. So, ultimately, what they are driving is prudent practices, and we have to be compliant of what is the ask. Moderator: Thank you. The next question is from the line of Pranav Gupta from Aionios Alpha Investment Advisors. Please go ahead. Pranav Gupta: Just a couple of questions. Firstly you mentioned that while bounce rates are not going up, but once a customer slips, it's becoming more and more difficult to cure the customer even though the customer remains stable in the bucket that they are present in. Just wanted to get a qualitative sense on that statement. What I am trying to understand is, is it because of the inflation that has been eating up into the customer surplus or is it very anecdotal in terms of specific business impacts that they might face? What is the trend that we are seeing in these buckets and why are these customers not able to pull back? That's the first question. Aseem Dhru: It's not that there is a whole hoard of customers that have fallen in, it is just that the regular customers who used to bounce and pay, their the ability to collect has declined to some extent, only within that cohort of customers. And when two EMIs pile up, it becomes a little difficult for the customer to pay 2 EMIs because, of course, see, the post-pandemic inflation has been quite substantial, and the incomes haven't really kept pace. So, it's very logical, and we are not dealing with the top-end of customers in the space, we are dealing with customers who are managing to keep their ends meet. So, there is a demand on their incomes, more than what their incomes are in line. Also, see, small businesses have their own challenges. As India gets more organized, some of the small businesses find the competitive intensity quite a lot. And today, if you see corporate results, they show pain of growth. Now, obviously, that same growth is also affecting the small businesses. It's just that they don't come in newspapers, and there is no data readily available as to what impact they have. So, nothing really dramatic. It is just that a slight slowdown in their income or a slight increase in their cost, they find it a little difficult to service, but these come back. These are cycles. They will be brought back. It will take some time, but they will all be brought back. Pranav Gupta: I appreciate that. Just a follow-up on that. Like you mentioned, I think like most lenders have mentioned in the past couple of quarters that obviously inflation has crept up and incomes haven't kept pace. Is it then logical to assume that our rejection rates have been going up steadily over the last couple of years given that more and more customers would probabl

y breach the FOIR requirements that we would have? Aseem Dhru: So, I think you missed the opening comments that I made. I covered all of this in the opening comments. Pranav Gupta: I am sorry about that.

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Aseem Dhru: Yes, it's been covered that, yes, the rejection rate has gone up. Pranav Gupta: Will you be able to quantify that, say, maybe now versus two years ago, if that's possible? Pankaj Poddar: Yes, around 5% to 7%. Pranav Gupta: So, just one last question. You know, you mentioned again in the opening remarks that as the AUM scales up logically you will see operating efficiencies kick in, and we will see the cost to average assets come off. Do you have any number in mind where you believe that this can settle in the long term, say, 3, 4, 5 years down the line? You mentioned 50 basis points is what we can see in terms of benefit every year. Where do we settle eventually given that our business model is going to remain a high touch, feet on street different business models? So, where do we see this settling in the longer term? Aseem Dhru: In the long run, everybody is dead. Nobody can play the full 18-hole golf course at the same time. You play it a hole at a time. At this moment, we are confident that we can keep reducing this cost by 50 basis points. Somewhere around when we get to an AUM of about 3.5% is where, till then scale efficiency will kick in, after that we will have to get operating efficiencies to come in. So, scale will give us that advantage to get to those numbers. At the moment, we are operating at a 40% cost-to-income ratio. We would like to see it get to the 30s. After that, we would like to see it get to the 20s. But that plan we don't have right now. But that's our job. We will work towards making that happen. Moderator: Thank you. The next question is from the line of Divyansh Gupta from Latent Advisors. Please go ahead. Divyansh Gupta: Couple of data point questions. So, what would be our write-off during this quarter? And if you can split it between, let's say, gold and MSME? Pankaj Poddar: So, we have not done any write-off in this quarter. Divyansh Gupta: And the Stage-3 AUM, if you can break it between MSME and gold? Sanket Agrawal: We don't call out the number between the products. We holistically disclose it. If you look at the holistic numbers, the Stage-3 has gone up from 2.6% to 2.69%. That's the marginal increase that has happened. We don't disclose the separate numbers for the products. Divyansh Gupta: One clarification question on the collection efficiency that we mentioned. So, we mentioned this is the standard secured MSME collection efficiency. So, is it fair to assume it is the DPD 0 at the start of the month and that is the collection efficiency that we are reporting? Pankaj Poddar: So, this is non-NPA, non-NPA collection efficiency, standard efficiency.

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Divyansh Gupta: And what would be our overall collection efficiency? Pankaj Poddar: So, that is largely stable and range bound. So, we are not seeing any further deterioration there. Sanket Agrawal: See, we don't look at the collection efficiencies of NPA assets. There you actually go and look at the absolute recoveries. The collection efficiency is more on the denominator effect of 0 bucket, and then obviously 1 and 2 from 0 to 89 is what we look at. And there it's been stable around 97% to 98% across quarters. NPAs we generally look at the absolute recoveries that we do and the gross flows against that,

that has happened. Divyansh Gupta: And just one last question. So, if I look at our borrowings to our AUM ratio, right, so that has largely remained similar in the range of 65, and actually it has been coming down, so 65%, 66%, 67%, 65.7%. Given that we are underleveraged, my assumption or expectation would have been that all of the growth in AUM should have been funded through debt and therefore this number

should have been going up. But the number is actually flattish or going down. So, are we seeing any challenges in raising liability? Narayan Barasia: No, so liabilities are more than plenty. I don't think there is any challenge of liabilities in the market. Also, if you see, while the MCLR is going up and the cost of borrowing in the markets are going up, but we have been able to maintain our cost of borrowing. So, that also in a way says that since we have enough liquidity, our ability to negotiate and bargain a good price is there. So, I think there is no problem from a liquidity point of view. For your other question as to in terms of leverage, you are absolutely right. As we go along, the entire growth is going to be funded through debt till the time we achieve a respectable leverage. The reason you are seeing sometimes in a quarter-to-quarter basis is there is a profit which also kicks in, which adds to the net worth of the company. And that's the reason the leverage sometimes may look optically similar. But all the growth is getting funded through debt. Aseem Dhru: We are sitting on a lot more cash than we need to, just to ensure that we have a good night's sleep. So, we are sitting on excess liquidity. So, that also is a factor. Divyansh Gupta: And just one last question. Given that RBI has declined our housing loan application or HFC application, so is there a next step that we are thinking of doing secured housing in the NBFC or anything else? Aseem Dhru: No. At the moment, no such plans. If we had got the housing finance license, we would have, within this, there are several disadvantages. So, competing with the housing finance companies would be tough without having access to NHB finance, without having access to SARFAESI, without having access to the risk weights that they have. So, there is a regulatory arbitrage that is there and we had sought the license.

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However, the regulator has taken a view that they do not want to approve any regulated entity under a regulated entity. So, that's the principal call they have taken. So, it's not nothing to do with SBFC, it is the policy level decision that has been taken. And to that extent, that's a business that at the moment we won't be addressing. Moderator: Thank you. The next question is from the line of Sonal Minhas from Prescient Cap Investment Advisors. Please go ahead. Sonal Minhas: Sir, I am new to this call basically. So, there will be some questions which I want to just understand the nuts and bolts of the business. I wanted to understand like what percentage of your portfolio or in absolute terms you would have written off in the last three years. And if you could add that to your disclosure going further, or you do, I will be happy to understand that. Sanket Agrawal: See, in secured assets, overall in the last three years, we have just written off around 10, 12 crores. So, it's immaterial to that extent. In unsecured portfolio, we would have done some write-offs, but that's a rundown portfolio, now only 55 crores is left. So, from an overall perspective, there has been hardly any write-offs, and we will do the disclosures as required going forward. Sonal Minhas: Also wanted to understand the average tenure of your MSME loan would be what? Because on your website, it says 15 years, but roughly, what is the weighted average at the portfolio level if we are talking about as we see it right now? Sanket Agrawal: See, at the portfolio level it is 10.2 years contractually the average tenure and the behavioral tenure should be around 6 years. Sonal Minhas: And sir, from a maturity profile of the asset quality, the peak NPAs or the peak behavior in terms of bad asset quality starts hitting the numbers after 2-3 years. Is that a fair assumption? Pankaj Poddar: So, yes, for a mortgage business, typically the maturity happens between 24 to 36 months. Sonal Minhas: So, if I were to understand, let's

say, the NPA profile of your business, if hypothetically, let's say, the NPAs right now are 2.7%, basically if I do a T-3 years kind of book, which is maybe half of your book or even lower, that would be a good way to understand what if Rs. 100 you have lent out back then, then maybe 2.7x into 2 or thereafter basically would be your GNPA from that maturity profile. So, I am just trying to understand after 2-3 years, your peak NPAs of a portfolio would be 5%-5.5% or thereabouts? Pankaj Poddar: So, see, there are a lot of moving parts and since we are talking in terms of portfolio level, our model basically we have baked in that from a model standpoint, we have seen, let's say, NPA at any given point in time is what we are baking in sub 3% and the credit cost should be in the range which we have guided. So, that comes from the model and then based on the maturity of books and the growth and other things, there are different moving parts which then drive the numbers from a portfolio standpoint.

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Sonal Minhas: No, I understand that, sir, but that's why I was trying to understand from a maturity profile. Let's say, when you said 24 to 36 months, what is the NPA basically number which the portfolio hits at when the portfolio is maturing? Because the current numbers as we see right now would have a very high denominator. Pankaj Poddar: No, so to your point, post COVID, in fact, the majority has already hit in. So, what you are seeing right now is the portfolio which already has baked in more than 24 months of books which have already kicked in post-COVID growth. So, largely, if you look at some of the maturity aspects are already baked in, in the portfolio, which you are seeing since last quarter. So, that's the reason one of the factors which you are seeing across portfolio is the maturity curve hitting in the portfolios from a growth standpoint. Aseem Dhru: Logically, if you technically stop this disbursing, roughly it would be double of what you are right now that would be a lifetime kind of a number. Sonal Minhas: Yes, not picking the number, but just want to understand that and that is why I was coming to that. This is helpful. The second question also is just to understand that if you have let's say 100 clients, how many of them would you have given more than one loans? Pankaj Poddar: So, we see we look at portfolio in a manner that 85% of the customers typically, we would say have not taken any commercial loans or mortgage loans in our business and in our customer segment because they would not have more than a single property and all. Only 15% to 20% typically you would have mortgage or some decent commercial loans outside of us. Aseem Dhru: One of the challenges of our segment is that we don't cross-sell to these customers because when you cross-sell, you actually give more loans out and that's not something that is recommended for our segment. So, generally we don't do more than one loan and even while taking the customer in, if he already has loans taken from others the income simply won't qualify for a loan from us. This is what we are

watchful off, which is why our portfolio is on civil watch if any customer tries to take a loan after we have given a loan. So, that's something that we proactively watch for and try and act before it hits. Sonal Minhas: And just on a strategic perspective. There are some other MSME listed, small scale banks and other companies as well, MSME has come out of a period of stagnation where the asset quality was not something which encouraged bankers to actually lend aggressively or grow aggressively and I think the situation has improved over the last 8-9 months. Since this is my first call with you, I just wanted to understand that between growth and asset quality, as you said going forward you will be more cautious, if there is a position where you see the quality of customers or the asset quality in the market basically deterioratin

g, would you be okay to just basically on an outside case, I won't grow the business for one year and this is what is my business call. Just trying to understand the way you think, the way you behave as a team to know you more.

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Aseem Dhru: We have covered this earlier that since February, we have tightened our credit standards, which has basically has led to a 5% to 7% reduction in approval rates. So, you don't really take a call based on what you see, you take calls of tightening credit norms and improving the gates of entry. So, the exam to get in becomes tougher as the market environment becomes tougher, so in fact if the environment becomes tougher, that is why you end up writing good credit in bad times and bad ones in good times. So, sometimes it is good that the environment allows you to be a little more watchful because growth hides a lot of mistakes. So, even as an organization where you often are in the thick of things, it's very easy to lose sight of what you are doing. So, it's good that in between some hiccups come which help us ensure that we tighten any processes that we have left loose. Sonal Minhas: Sir, your origination, and collection team is the same, just trying to understand that from an operations perspective. Pankaj Poddar: So, we have a separate dedicated collection team. Sonal Minhas: So, separate origination and then collection team basically? Aseem Dhru: Yes, origination, credit collections, audit, fraud control, these are all separate teams. Sonal Minhas: And does it help to have some overlap between origination and the collection because you are industry veteran just trying to understand this from your perspective, how you do see this? Aseem Dhru: People have taken different routes. We all come from the stable of banks and in banks, traditionally we have believed that this risk should be kept separate. Because intermingling of risks leads to behavioral problems inadvertently. So, I mean, of course it pushes up your cost and when you keep your team separate. So, cost-wise, keeping teams separate is inefficient, but we believe in the longer run, it is better risk management, that's a point of view. I mean, somebody could argue it differently as well. I don't know. I mean, it's to whatever whoever thinks is right, they can follow that path. We have chosen the path of separating all risks. Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead. Lakshminarayanan: I think at start of the call you made an interesting statement saying that you are afraid for risk management and less of growth. Very apt and nice to hear that. A few questions. First is that you talked about you not giving loans to people who already have loans, but we also hear that once people take loans from you, they may end up taking more loans subsequently. Do you have a mechanism that actually raises some flags at your end? If so, how have you changed it? Do you see this? Because this is what we hear, that there is excess loan being taken subsequently after a loan is given. I just want to understand what your tracking mechanism there?

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Mahesh Dayani: Most of our customers, almost 85% of our customers are actually borrowing against the property for the first time, although they may have small loans, but the serious loan is something that they do with us for the first time. What also tends to happen is once we onboard the customer, there is a watch on the customer that if he goes and does some additional borrowing, an alert comes to us. So, we look at what is the intensity of the borrowing, the small and marginal borrowing or a wheel borrowing or something more than what he is borrowing. We try to go ahead and address it. If we can't address it, then we find ways to move out, considering that the leverage is beyond our thresholds that we set out. Lakshminarayanan

: Is this thing, incidents increasing in the last couple of months? Mahesh Dayani: Yes, so if you look at the opening remark that Aseem mentioned, that one of the key reasons for the rejections to inch up has largely also been on account of the leverage moving up. So, we see that trend emerging. And if you would have looked at the Bureau Scores or the Bureau Table which was published in March or in April, it also recommended the same that a lot of these CIBIL scores were deteriorating on account of higher loans and leverage. Lakshminarayanan: Second question is that one of the USPs of some of the NBFCs, especially in your segment, is the faster turnaround rate. That's in 24 hours or within 36 hours or 48 hours, you need to give a yes or no. Now, has that cycle time increased now? How is it? Are you still keeping those patch the same? Mahesh Dayani: In fact, I will be very worried if someone wants me to say a yes or no in 24 hours. So, by default, probably my answer is going to be no. So, we really don't want to lend up in a hurry and then take a long time collecting it. So, in secured, there are multiple things that go in before we decision it. While a financial decision is relatively easy provided he has all the documents together, but that seldom happens for an average 10 lakh customer. The second part that the time taking part is the property details, which is respect to legal or title. So, thereabout, we would take close to around 10 working days to 12 working days to finally decision and hand out the money to the customer. So, unlike unsecured, secured does go through a bit of detailing before we hand out the money to the customer. Lakshminarayanan: And finally, on the fee income, does it include insurance related premium as well as processing and foreclosures? What are the things that it includes? Mahesh Dayani: We don't have insurance. What we include in our fee component is the asset processing fee that we charge from the customers and some component of other things. Lakshminarayanan: Okay, but I was told that in several cases, NBFCs do insist on buying insurance, just to ensure that there is a safety net, if something happens to the borrower. Do you also insist on insurance and if so, do you actually have a premium commission that is coming to you?

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Mahesh Dayani: That's independent to the customer's choice, although we would prefer that the customers actually take insurance and it's obviously beneficial for them. But it's completely dependent upon the customer. So, if there are customers

who already have health insurance or a life cover, that's good enough for us, then obviously we really don't insist on anyone undertaking that. But really to push it through, the answer would be no. So, it's an independent call that the customers would have to take. Moderator: Thank you. The next question is from the line of Nidhesh Jain from Investec Capital Services. Please go ahead. Nidhesh Jain: The first question is on employee attrition. I think employee attrition has been pretty high at 50% for us and I think that is an industry phenomenon also. But do you see that this could be a hindrance to the scalability of our business model? And what are the steps we are taking to reduce employee attrition? Aseem Dhru: When you have a direct sales model, this unfortunately is a bugbear that you have to bear. Does it hurt? Yes, it hurts. What can we do about it? A lot, and a lot of measures are underway. Hopefully, we will see the results. And ultimately, it's about hiring and engaging people better. But it's hard work. You are going door to door to really seek business. And at the front end, when this is a little far for the course to some extent. But is there a scope of improvement? Yes. Are we working towards making this happen? Yes, we will have to wait for a couple of quarters to see how successful we are. But yes, it's a combination of what is the reality of our business. If

you are doing it through DSAs, your employee attrition goes down because then the attrition goes on to the DSAs books but if you are doing direct origination, then to some extent, this is a cross we have to bear. But yes, we are seeing how we can improve that. Nidhesh Jain: Secondly, on the BT out rate, how are the trends there and what is the BT out rate for the staff? Sanket Agrawal: Overall, the rundown is around 14%. 6% of this would be the EMI rundown and 6%-8% would be the BT out rate. Nidhesh Jain: On an annualized basis? Sanket Agrawal: On an annualized basis, yes. Nidhesh Jain: And the third, what is the share of gold loans in our overall AUM? Sanket Agrawal: It should be 16%. So, 84% is MSME and 16% is gold loan. Nidhesh Jain: And the last question is on any other products that you plan to add over next, let's say, 3 to 5 years. Any other lending products that you plan to add over the next 3 to 5 years?

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Aseem Dhru: Yes, at the moment, we'll stay focused with the two products that we are doing. We still have a lot of room of improvement of doing these two well. Once we get these two on the right track, where we want to see that, then ultimately the ambition is to reach out to the customer segment that we have chosen and offer more products to the customer. But until we have a right to win in a customer segment, we don't wish to enter. So, we will take it slowly. At this stage, we'll stay focused on the two products that we are doing. Moderator: Thank you. The next question is from the line of Chinmay from Prescient Capital. Please go ahead. Chinmay: So, a couple of questions from my side. Firstly, on the collateral, so could you give some color on, just trying to understand some specifics here. So, what kind of land ownership records do you look at? How much do you go back into the history of the ownership and in terms of valuation, do you look at the government rate in the area or what is your valuation process? Just trying to understand the nuts and bolts of underwriting in that aspect. Pankaj Poddar: Yes, so we get into the explanation it can take a whole day because the collateral subject if you look at in our country, it is very vast and while things are changing, but this right now is state level subject. So, what we have done as a process is we have state level policy processes which we have devised in detail. Largely we look at 13-year chain documents as a process and it is standard industry practice. And we have our empanel lawyers at state and location level who help us in ensuring that our collateral processes and the documentations are checked as part of the underwriting process. In terms of valuation, we have approved guidelines under which we operate. That in fact takes into account one regulatory and guideline rates and also the operating rates which are prevalent in each micro market for which we have expertise, specialized vendors, and partners whom we have empaneled. And based on the processes and guidelines, they provide us the valuation which also then later on is reviewed and verified at our underwriting level by credit managers. We also visit collateral as part of the process. So, we have detailed collateral assessment process, which also takes into account other factors in terms of verification, verifying other details as a process for us to onboard. And that's the reason Mahesh was saying that it takes time for us to ensure that the collateral process is intact before we go ahead and take a transaction. Chinmay: And do you also require additional guarantors? Pankaj Poddar: So, what we do as a process, we take at least one family member as co-applicant. And largely, if you look at it one of the female members in the family also comes in the loan structure. And 100% of the transaction, we will have one additional co-applicant as a process. All the property owners, we do take as part of loan structure. Chinmay: And secondly on the post disb

ursal mechanisms, I know you said that this is typically the first property-backed loan a typical customers of yours would be taking. To understand on the process

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side do you do regular bureau scrubs or is there a mechanism in place to check for over-leveraging? Pankaj Poddar: Yes, so we do regular bureau scrub. And since we are in retail business once you do scrub, based on our analysis, we find that we classify customers into various types of future risk and based on that we drive our cross-sell and collection strategies. Because we are in retail mortgage, you practically cannot recall your loans, but future actions in terms of upsell, cross-sell and collection is what we drive through that. Chinmay: And thirdly on the employee profile, could you give me some sense around, and where this question is coming from, I think in some of the unsecured businesses that we look at, one of the key challenges is the subjectivity in assessment of the employee income, which is the customer income, which is a big source of trouble, which only comes into light when all the over-leveraging has happened and when it's too late. Just trying to understand when you look at the customers that you lend to, what degree of subjectivity is involved in their income assessment? If you could give some sense around, what's the typical turnover of a customer? What percentage of your customers file ITR or have GST certificates? Just trying to understand your conservativeness in that aspect? Mahesh Dayani: So, you are asking me to give out a Coke formula literally, but I will probably try and address it. So, one of the key things what we do is that there is no subjectivity of the credit officers on the ground to assess, because then you will obviously not have a homogeneous form of underwriting. So, that's something that we avoid. We'd like to see something what is cited in terms of the income coming through. And currently in the form of UPI, I guess you can cite every little transaction that the entrepreneur

is making. So, from subjectivity, there is very little room for subjectivity. What we see, what we cite, is what we assess and based on that, the loan amount, the EMI, and serviceability of the customer is established and delivered. So, we have certain norms which are laid out depending upon the customer's profile, the size of the business based on which financial eligibility is arrived. Just to also calm your nerves with respect to the collaterals and the kind of collaterals that we take which I think was a part of your earlier question - all our associate partners, which are largely the legal and the valuation is the same set of vendors that ICICI uses who is our co-originating partner and obviously once they pass all the collaterals and it passes their master. So, just to give you a sense of comfort that the collaterals that pass through are something which is also acceptable at bank level and bank standards and which are among the top four banks in the country. Chinmay: And my last question is on the co-origination piece. So, could you give some sense around does the asset quality differ on your co-origination book versus the book which is sourced in house? And in extension to that, your co-origination partners, just trying to understand what is their incentive to partner with you? I mean, is it primarily driven by business growth or is it driven by they are looking for their exposure to priority sector lending? Just trying to understand what's the basis for this partnership.

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Mahesh Dayani: Yes, so I think post-COVID there has been a structural shift. If you would have noticed that a lot of NBFCs have found their moat in lending to small businesses which are away from the main metros. They seem to have done a better job there. And from the other side, you have moved towards prime customers and that's what they do a brilliant job there.

And both institutions co-exist and there might be a little bit of overlap here or there, but largely post-COVID you have a very formal structure of play for both kinds of institutions, whether it's the banking or the NBFCs. Now where do they complement each other? Obviously from a liquidity perspective, and someone was speaking about the borrowing question, almost 20% of our AUM is in the form of co-origination. So, it gives us a fresh lead of liquidity for NBFC, and especially extremely helpful in times where rates are inching up. And in time, the banks depend on these sectors. Also it helps them distribute the spread. So, it's a win-win for both, for both NBFCs and for banks and that's the reason you see a lot of emphasis on the co-origination that's coming. The only difference is that we are a part of co-origination 1 which effectively means that the disbursements happened on a live basis where 20% is retained by us and 80% is disbursed by the co-originating partner at the point of sale. Moderator: Thank you very much. Ladies and gentlemen, we'll take this as a last question. I would now like to hand over the conference to the management for closing comments. Sanket Agrawal: Thank you so much for joining the call. Thank you so much for all the questions. If there is anything left, you can reach out to us separately. Happy festive season. Thank you so much. Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jan 2025

SBFC Finance Limited

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Date: 30th January, 2025

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Phiroze Jeejeebhoy Towers,
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BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sir /Madam ,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on 27th January, 2025 .

The transcript of the earnings conference call is also being uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Investor Presentation – Call Transcripts'

You are requested to take the above on record.

Thanking you,

Yours faithfully,
For SBFC Finance Limited

Namrata Sajn ani
Company Secretary & Chief Compliance Officer

Encl: a s above

MANAGEMENT : MR. ASEEM DHURU – MD & CEO
MR. MAHESH DAYANI – CHIEF BUSINESS OFFICER
MR. NARAYAN BARASIA – CHIEF FINANCIAL OFFICER
MR. PANKAJ PODDAR – CHIEF RISK OFFICER
MR. SANKET AGRAWAL – CHIEF STRATEGY OFFICER
MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to SBFC Finance Limited Q3 FY '25 Earnings Conference Call, hosted by ICICI Securities Limited.

As a reminder, all participant lines will be in listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the "*", then "0" on your touch tone phone. I now hand the conference over to Mr. Renish Bhuvra from ICICI Securities Limited. Thank you and over to you, sir.

Renish Bhuvra: Yes. Thank you, Steve. Good morning, everyone. Welcome to SBFC Q3 FY '25 Earnings Call. On behalf of ICICI Securities, I would like to thank SBFC Management Team for giving us the opportunity to host this call.

Today we have with us the entire top Management Team of SBFC, represented by Mr. Aseem Dhru – Managing Director and CEO; Mr. Mahesh Dayani – Chief Business Officer; Mr. Narayan Barasia – Chief Financial Officer; Mr. Pankaj Poddar – Chief Risk Officer; and Mr. Sanket Agrawal – Chief Strategy Officer and Head IR.

I will now hand over the call to Mr. Aseem for "Opening Remarks" and then we will open the floor for Q&A. Over to you, sir.

Aseem Dhru: Good morning and thank you for your time this early morning. Since our road shows, and in every quarterly call thereafter our guidance has been growth at 5% to 7% quarter-on-quarter, cost reduction of 50 basis points year-on-year, and credit cost in the region of 80 to 100 basis points. If you compare our December '24 to that of December '23, because it is a long-ish period to give you a full idea, then I will talk about the quarter. December '24 to that of December '23, our AUM has grown by 30% year-on-year, while core operating profit has grown much faster by 38% year-on-year. This was aided by increased operating efficiency, because we have reduced our cost to income ratio from 45% to 40%. So, overall, against an indicated 50 basis point reduction for the year in nine months, we have delivered about 68 basis points. As we continue to invest in growth, our cost would be stable this quarter, and we will aim for a further reduction of 50 basis points in the coming year.

In a rising interest rate environment, our cost of funds has reduced by 3 basis points year-on-year, keeping our NIMs steady at 10.26%. The ROA has expanded from 4.31% to 4.49%, despite increase in leverage from 1.5 times debt-equity to 1.84 times debt-to-equity. Credit cost has inched up from 83 basis points to 97 basis points during the year. ROEs have expanded by a full 200 basis points from 10.77% to 12.77%.

In terms of quarter-on-quarter, we have grown within our guided range at 6% with core operating profit also growing at 6%. Quarter-on-quarter yields have further expanded by 12 basis points to 17.81%. And with the stable cost of funds, we have increased our spread to 8.43%. Credit cost is

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marginally down quarter-on-quarter to 97 basis points and a flat cost to income ratio quarter-on-quarter.

Bank finance is about 60% of our total liabilities. And as the year goes by, over the next financial year this number will come to under 50%. In April '24 call, we had called out that we would see the tides of the economy ebb, tightening liquidity and rising consumer leverage, and that the year is going to be a challenge on three fronts - Growth, NIMs and credit quality. The same was restated in the July and October calls, too. When we called it out, we were the canary in the coal mine, a lone voice. Now slowing consumption and elevated consumer leverage is common commentary

and coffee table discussions.

We are still a small company and to that extent the size of the economy and growth does not matter. We stay focused on exec

ution and navigating the currents we find ourselves in. A year back I had said that the industry is too optimistic, today I say it has become too pessimistic. The truth is always somewhere in the middle. We continue with our guidance of 5% to 7% quarter -on-quarter growth, annual reduction of operating cost by 50 basis points, and credit cost at the higher end of our guided range of 80 to 100 basis points.

As always, we remain cautiously optimistic. With that, I hand it over to Narayan.

Narayan Barasia: Thank you, Aseem. Hi, good morning everyone. Thank you, Aseem.

Our AUM for December '24 is Rs. 8,148 crores with a growth of 30% on a Y -o-Y basis and 6% on a Q -o-Q basis, with 99% of our book being secured by properties and gold. This growth is in line with our guidance given earlier. We added about five branches during this quarter and the total branch count now stands at 197 as of 31st December 2024.

Our borrowing cost has remained stable at 9.31% , given the stress in the liquidity in the market, this is a good achievement.

The yields and the spreads continue to remain stable at 17.81% and 8.5%, respectively, for the quarter. Our OPEX continued to reduce and is at 4.62% for the quarter due to improved operating leverage, which is again in line with our guidance of reducing OPEX as a percentage of AUM.

Our return on average AUM for the quarter is 4.49% with a return on average equity further improving to 12.75%.

In terms of asset quality, our GNPA remained stable on a Q -o-Q basis at 2.7%. Our 1+ DPD portfolio for secured MSME increased marginally to 6.52%. Our credit cost is at 0.97% for the quarter, again, in line with the guidance. We remain healthy at a PCR of 40.2% as of December 2024.

In terms of capital and return ratio, our capital adequacy ratio is at 38.4%. Tangible net worth is Rs. 2,820 crores as of December '24. We made profit of Rs. 88 crores for the quarter, therefore
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reporting a profit growth of 38% on Y -o-Y basis and 5% on Q -o-Q basis. Our nine -month profit for the year exceeded the 12 -month profit of FY '24.

With this, we open the floor for questions.

Moderator: Thank you very much. The first question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Hi, two, three questions from my side. One is, you kind of said that your yield on loans has gone up marginally, will be around 12 basis points quarter -on-quarter. So, just curious what is driving it, whether there is a change in the lending rates or the mix or what is it? And the second one is on gold loans, your book is sort of flattish or probably gone down a little bit this quarter despite the fact that there are a fair amount of tailwinds for the gold loan companies.

Mahesh Dayani: Hey, hi. Mahesh here. So, responding to your first question on the yield. So, in the mix, the M E yields have largely been stable. So, the bump up that you see in the yields is largely on account of gold which has come in. So, the yields on the gold portfolio have moved up, so at a consolidated level the 12, 13 basis points increase that you see is largely contributed from gold. That's one.

Second, I guess quarter three, the growth in gold was relatively lower, obviously it was coming off from a higher base in Q2 and Q1. But the run rate that's been there in Q3, we expect that the same momentum of that run rate is going to continue in quarter four without compromising on the yields.

Nischint Chawathe : Sure. Just extending the first question, what is your view on the pricing environment at this point of time? Do you see, with whatever is happening around, do you really see the rates going up? Or given the fact that we are kind of probably looking at a rate cut in the near future, would you kind of expect the rates to go down ? We have seen competition tightening rates a

little bit, so.

Mahesh Dayani: So, I do not think the rates, specifically on the gold, are going to go up from where they are. The range is anything between 18% to 21%, so I guess that's going to be extremely range bound. So, there's very limited room that's going to be available to increase the pricing there. Maybe on the lower end where probably the yields are in the range of 11%, 12% or 13 %-odd, maybe there's going to be some movement there. But the ones which are already priced in and fully priced in, I guess there's going to be very little headroom available.

Nischint Chawathe: On the MSME side?

Mahesh Dayani: The MSME side I guess will be largely stable. I do not think that there's opportunity to increase or inch it up beyond from what we are already charging.

Nischint Chawathe: And just one last one, if I can squeeze in. I believe you have been sort of tightening your screens, so do we see the process further continuing or do you think we are now done? And in that sense,
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maybe on a sequential or probably maybe on an annual basis we will start seeing disbursements growth kind of leaping up from here on.

Mahesh Dayani: So, you are right, we have further tightened the screens and as we reiterated in the last call, that obviously the login to disbursal numbers have been impacted because of it. But that's what we see on the ground where, on account of high leverage probably we are not able to underwrite as much as we could. We expect this to continue and probably we will be watchful for at least a quarter more before we slightly open the gate.

Nischint Chawathe: Sure. And sorry just last one, since you mentioned this, when you say higher leverage, how do you look at it, if you could kind of give some data point or a portfolio cut on how you have looked at high leverage?

Mahesh Dayani: Yes. So, Nischint, our customers largely borrow against their property. So, these are largely driven by institutions who lend to them against the property. But there are only one odd loan or probably at best two. What we meant is that the amount that they have already borrowed in addition to the secured loan is a little too high, which impacts their FOIR or their repayment capacity. So, if you are not very comfortable on the amount that an individual is seeking, then we try and stay away because we feel that he is not going to be in a position to probably service the loans in the near future. So, that's a cautious call, that's a pretty guarded call that we have taken. And this is something that probably we initiated almost three, four quarters back, and that probably also explains why the disbursals have been slowly inching up despite the opportunity still existing. So, we feel that we will probably wait for at least a quarter more before we actually go back and revisit the underwriting norms.

Nischint Chawathe: So, quantitatively it means that you brought down your FOIR or something?

Mahesh Dayani: Yes.

Moderator: Thank you. The next question is from the line of Renish Bhuvra from ICICI Securities. Please go ahead.

Renish Bhuvra: Sir my question is on like the current scenario in the small ticket LAP segment. So, of course you were the first one to highlight that there are some sort of stress building up or maybe customers are going through some sort of seasonal cash flow mismatch. So, sir, where do we stand in terms of that cycle? Do you feel that things have started improving? Or it's too early to call that we are at, let's say, peak of the cycle?

Aseem Dhru: See, these are economic winds. They move the way they move. It is not about that all customers are in trouble or that there is a major crisis. It is just that a certain segment of customers has got overfunded by the industry and those are the problems that are coming home to roost. So, at the very lower end of the spectrum we are seeing the problem

the highest. So, when you are going at

the lowest end of lending, that's when we are seeing the problem highest, which is why we have not gone below those ticket sizes of lending yet. And at the middle segment you have to be

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watchful. There is nothing dramatically that you are changing. We are financing bread and butter businesses, we are not financing manufacturing, we are not financing any exotic businesses. These are trade and services, basic B2C businesses.

So, you have to go borrower by borrower. So, there are equal number of good borrowers, but there are also some borrowers where it's a marginal increase that is actually what can cause a concern. So, I mean, in 100 if you make two mistakes it's okay, if you make five mistakes then that becomes a lot. So, those additional three is where the problem is. So, you just have to be watchful, nothing dramatically different. These cycles keep coming, one has seen many, many cycles come and go. You just have to do the right thing and watch the winds and play accordingly.

Renish Bhuvra: So, nothing alarming as of now, at least in terms of cycle?

Aseem Dhru: No. See, the problem is this only that we get either too enthusiastic or we get too pessimistic. This is our problem as a nation. We are emotional people. And also, three quarters back I had a problem telling anybody that there is a problem, nobody wanted to hear it. Now everybody has gone the other extreme, saying the whole world is coming to an end. So, there have been many such cycles come and gone, you have to keep playing your game. Some damage will come and you have to take that damage and move on. And then as long as you are delivering a profitable outcome, it's part of the course.

Renish Bhuvra: And maybe just a book keeping question. So, credit cost assumption , etc. will remain intact, right sir?

Aseem Dhru: We are not changing any guidance.

Moderator: Thank you. The next question is from the line of Mayank Mistry from JM Financial. Please go ahead.

Mayank Mistry: Sir, I wanted to know what would be our floating rate mix in the borrowing side? And secondly, would like to know, I mean, since you highlighted there are some of these stress building up in the small ticket SME segment, so I would like to know whether this is specific to few regions, few geographies, or this is like a pan -India situation that we are seeing?

Narayan Barasia: So, let me answer your first question. So, we do not take interest rate risk. On the asset side, we have all the assets which are variable, floating rate. So, on the liability side also 99% of our loans are on a floating rate basis.

Mayank Mistry: And related to the geographical, I mean, the stress, whether it is concentrated to few geographies or how is it, I mean, how are you seeing the trend?

Pankaj Poddar : So, there is no geographical concentration, some geographies here and there keep happening, but it's a general credit cycle we would say which we are watching and we manage it accordingly.

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Moderator: Thank you. The next question is from the line of Hrishikesh Thakker from Value Quest Investment Advisors. Please go ahead.

Aniruddh: Thanks for the opportunity. Aniruddh here from Value Quest. My first question was on the moderation in OPEX . So, obviously you have been achieving the OPEX moderation target that you called out earlier, but does that at some point have a correlation with growth? And do you believe that in the interim with the challenges that we are seeing, and this moderation in OPEX , growth could slow down in the medium term? Obviously next quarter you will retain your guidance, but medium term growth is based on implication of the OPEX slowdown?

Mahesh Dayani : So, I think as a company we started with a significantly higher OPEX , to begin with. And I think now is

the time where probably you see it sliding down. But I think a couple of quarters back the questions were as to why the OPEX was high. But thankfully, now the distribution is beginning to sweat and that's how you see the OPEX moving down. What we have always guided is, we will grow, we will consolidate, and we will grow again. Our guidance on adding 25 -odd branches in a year continues intact, irrespective of the market, irrespective of the cycle. And that we feel is going to give you a good risk adjusted return on an overall front. So, if our guidance is anywhere between 5% to 7% growth on AUM, and to deliver the required ROE, I feel a lot of those investments have already done in, and incrementally these investments will continue to trickle in.

The reason that you would not see the significant uptick in OPEX is largely because most of the heavy lifting on the high costs have already been done. And they were done in upfront because you were laying distribution across the country in each of those states, which is extremely expensive. Now the incremental investments are more to do in spokes , in smaller cities and in variable costs with respect to employees at the front end. So, you would not see significant OPEX getting added. So, on a marginal costing basis, I feel that it's going to be a lot more accretive. And that's the reason we said that we are more than confident of meeting our OPEX outcome without compromising on any of our AUM growth or credit cost outcomes.

Aniruddh: Second question related to this was, the new client addition in this quarter in particular seems to be slightly muted, anything to read into that number?

Mahesh Dayani : No. So, let me just put numbers and perspective. As we had mentioned earlier that we did tighten up our underwriting screens at the beginning of the year. So, just to give you a sense that earlier if I was originating close to around 100 -odd customers, 50 -odd customers would pass through the door. Now that number has dropped to roughly around 45 or below, and that's roughly a 5% -6% impact. We originate close to around 20,000 -odd customers, and out of which probably currently 7,500 pass through the door, which is less than 40%.

So, if you just put your numbers and say that if you were to go back to our original numbers of efficiency of going back to 5% or 6%, that's at 1,000 -odd customers and average ticket size of Rs. 10 lakhs is almost Rs. 100 crores delta that you would otherwise get in a quarter. This we feel is a result of what is consciously, by design, being implemented at SBFC. As and when we feel a little confident that the market's beginning to open up or probably the credit risk is beginning to get a

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lot better, we will accelerate. So, I think the good part for us is that we have all our ammunition

ready. We have the distribution, we have the people on the ground. It's on us to decide how much do we want to accelerate without compromising on any of our credit parameters.

Aniruddh: Final question was on this other income line item. So, other income slowdown is on account of this slowdown in disbursement growth or is there anything else?

Narayan Barasia: So, we have a business where we do servicing to institutions. There's been a slight slowdown in that income, so that is what we call a LMS fee income, a slight slowdown there. Other than that, as a percentage of disbursement, percentage of AUM, all other numbers remain the same.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: This actually pertains to the liability side. What we can see is that there is a little bit of an inch up on liquid investments on balance sheet over the last one quarter. Apart from that, what we can see is that the share of bank borrowings has actually been going up. Is it kind of some

reading that you

will probably be a little bit more cautious on liquidity at this point of time?

Narayan Barasia: Yes. So, I will take this question. So, Nischint, liquidity is certainly tight in the market, and the MCLR is also going up. The good thing is, we have been able to contain the cost of borrowing, right. So, we generally keep a liquidity buffer in a range. And so in September it was slightly lower, in December it was slightly higher, but it is in still the same range where we maintain the liquidity. So, liquidity is actually not very high. But yes, we continue to maintain a high liquidity given the tightness in the market.

To your next question, whether the bank borrowing is going up? Actually, no. So, we are diversifying a lot. For instance, if you compare the data versus March, you will actually realize the journey we are into in terms of diversification. We added a lot of money from NCD investors. We are now moving towards DFIs and you will very quickly hear that. So, there's a diversification happening. As we go along, more and more diversification will happen. But as of now, if you have to look at all the bank borrowings we have, it is almost about some 60 %-odd, including the FC NBs, etc., we borrowed from the banking system.

Aseem Dhru: Nischint, liquidity is the price of a good night's sleep.

Nischint Chawathe: That's true.

Aseem Dhru: Let us sleep in peace, do not object to liquidity.

Nischint Chawathe: Fair point. But you are not seeing any tightness by any of the banks?

Aseem Dhru: No. There's nothing sort of tightness per se, we are sitting on a large pipeline of approved credit. The problem is the rate of interest, so it takes longer to arrive at an acceptable rate of interest, rather than absolute amount of liquidity.

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Nischint Chawathe: And what would be the difference in you --

Aseem Dhru: You guys keep needling the bank saying your net interest margin is falling so then they keep needling us.

Nischint Chawathe: Sure. What is the difference in incremental and weighted average cost of funds as we speak?

Narayan Barasia: So, we are borrowing at the same average cost of borrowing what is there today. So, our cost of borrowing, incremental cost of borrowing, and the weighted average cost of borrowing remains the same. The challenge is to really hold this at this price. So, that's the reason you will see over the last three quarters, even though MCLR, etc. would have gone up, the cost of borrowing remained the same or slightly coming down. So, it's almost at the same level, incremental cost of borrowing is the same.

Aseem Dhru: But having said that, it's going to be tough to hold.

Nischint Chawathe: Okay. Because the MCLR is going up.

Aseem Dhru: Yes.

Moderator: The next question is from the line of Himanshu Taluja from Aditya Birla Sunlife. Please go ahead.

Himanshu Taluja: Thanks for the opportunity and congrats for the quarter and your elaborative commentary, and at least showed your cautiously optimistic stance as well. Sir, just a few questions, firstly, in this environment what growth do you envisage for FY '26? Where do you see that FY '26 can head towards from a growth standpoint?

Second, from the industry one question, any particular sweet spot in the ticket size where you are very comfortable to lend in the current environment? And which ticket size where you think that there's an increased delinquency or any customers segment which is showing the vulnerability?

Also, in this if you can add, although you do not do less than Rs. 5 lakhs ticket size loans category, but any particular read through for this ticket size, how that segment is behaving, less than Rs. 5 lakhs?

And last question is around, when you expect to reach the part of the 15% ROE, return on tangible equity by when one can expect? Thanks, these are all my questions.

Mahesh Dayan

i : So, from a growth perspective, I think we do not want to bore you, but nothing changes, we continue to maintain a 5% to 7% growth even for the coming year as well, irrespective of how the cycles move. And that's a growth that we feel is comfortable both on our financial capital and human capital and will give us the required outcomes in terms of profitability. I think your second question was related to the sweet spot on the ticket sizes. I think we lend out to customers where the pricing is anything between 12% to 21%. And that's a large range of customers that we cover. In the current context, I think it's more to do between 11% to 17% is what SBFC Finance Limited
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probably we are looking at. The lower end or the extreme low tickets is something that we are extremely watchful for. So, we have stopped peddling that particular segment. But as and when the market tends to open up, then probably we are going to start expanding there. But we have seen these cycles come in our professional careers over a longer period of time, and nothing lasts forever. So, I guess that it's a quarter or a couple of quarters before it seasons in. Himanshu Taluja: Sir, any particular read through for less than Rs. 5 lakhs ticket size, how that segment is behaving in the current times?

Mahesh Dayani : That, I do not think we will be able to comment. That's not our domain, so we would have very little commentary to talk about that particular market. And 15% RO E is what your question was.

So, what we are looking at is the last quarter of next financial year or the first quarter subsequent to that is where we will land at a 15% RO E or whereabouts.

Himanshu Taluja: Sorry, I missed out.

Mahesh Dayani : The last quarter of next financial year.

Moderator: Thank you. The next question is from the line of Shailesh Kanani from Centrum Broking. Please go ahead.

Shailesh Kanani: Sir, given the current situation and tightness in liquidity, how do you see evolving competitive landscape in MSME financing? Has it been lower? And since we are at a strong footing vis -a-vis our peers, are we thinking to push our growth more and increasing the market share? Anything on that front, sir?

Aseem Dhru: First of all, strategies do not change as per what the wind changes. So, we are doing nothing new, we are doing nothing different. We will keep doing what we are doing, the same ticket size, the same customer segment, and growing at the same pace of growth. So, there is enough for us to do right there. We have enough challenges. There is also going to be a challenge to both maintain the profitability as well as maintain the credit quality. We have enough challenges; we will try our best to meet to those challenges. There is nothing new that we would wish to do at this point of time. We just wish to keep steady, we have to deliver cost efficiencies. We still have a long road to get to where we wish to see the organization at. We are still an early -stage organization. We are not even seven years old. We have a long path and we have to work hard to get to that path. So, nothing, there is no game change. We will keep doing what we are doing and hopefully keep getting better at it with time.

Shailesh Kanani: And any color on competition? Has it kind of subsided? How is it?

Aseem Dhru: No, competition is always there. The shape and form keeps changing. Sometimes some players get active, sometimes some players cool off. So, competition in India is always there. And the segment that we are doing, technically in financial services, there is no moat in any segment. So, all players end up doing everything, it is just that, the beauty of financial services is that everybody

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does the same thing, but they do not get the same results. So, we have to just focus on our execution. And if we execute it right, we will

get the results. If you do not execute it right, we will

not get the results. Competition doesn't matter. We do not meet competition really in the field as much. It is more conceptual thinking on Excel sheet. The reality is that, we have to work hard to execute well on the ground. That's what our job is, and that's what we will stay focused on.

Shailesh Kanani: Fair enough. You, I think answered my second question but still, any plans to enter into another segment or increase the ticket size? As of now it doesn't seem like, right?

Aseem Dhru: Nope. There's nothing really exciting that we have to say. We would hope to continue on our boring journey.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Sir, I joined the call late, so sorry if I am being repetitive. But just one thing in terms of any of the segments wherein you would have made the credit filters slightly stronger, no doubt it's evolving based on the macro and the operating environment, but any changes either on the credit side, on the underwriting side, on the collection side that maybe you would have done over past three to

six months looking at the environment?

Pankaj Poddar : So, last two, three quarters actually we have been a little more cautious. Some underwriting parameters which we can specifically say are some underwriting parameters we have tightened around the eligibility and the onboarding. So that we can take care of some of the emerging aspects, including the leverage aspect. So, parameters around that we have become a little more cautious.

Kunal Shah: And should that reflect in terms of the overall approval rates what we are disbursing and the files which we are evaluating or logging in, so is it like very well reflective of that? And would it mean that maybe either we need to strive more to get a similar disbursement run rate or maybe we should be satisfied with a slightly lower growth?

Mahesh Dayani : So, I guess if I were to summarize the last three quarters, I think we did two, three things at the beginning of the financial year when we announced that we could probably see the orange light or the green turning into orange. One was largely on the credit filter that Pankaj articulated. Then there were certain geographies that we had paused in some of the markets where we saw that the overall delinquencies was moving up, independent of the SBFC's portfolio behaving. So, that's something that we paused. Third I guess we invested upfront a lot --

Kunal Shah: Sir, geographies would be?

Mahesh Dayani : There's one state in the east and one state in north. In some of these markets, we have decided to go a little slow. Also, in terms of our collections, infrastructure is something what we strengthened during the course of the year. So, these were the conscious investments that we made. What I can tell you is, from an overall login perspective, the logins obviously is a lot higher. As I had reiterated earlier, I am not too sure whether you were there in the call then, but I was just giving a perspective

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that obviously what we were logging in earlier and what is going through the door is probably 6% to 7% less. So, if we are originating close to around 20,000 applications in a quarter, 6% is roughly around say 1,200, around 1,000 to 1,200, so that's a delta of almost Rs. 100 crores to Rs. 120 crores in the quarter. That's something that we feel could have been accommodated, we could have done it, but given the market, we are trying to leave that on the table which is on account of either we feel the leverage is a little too high, or the pricing probably is not to the effect that we would want. These are the kind of cycles where we feel that we have seen that in the past come through. But it's just a matter of a couple of quarters here or there before it just comes back to

normal. What we

remain committed is that we remain committed to investing in the businesses, investing in the distribution. As far as the catch up to where probably the original metrics was is just a matter of time. Having said that, we are not changing any of the guidance. Our guidance for growth continues to be intact, irrespective of the cycles and irrespective of the outcome that you see.

Kunal Shah: And despite this, I think there are enough levers on the OPEX efficiency side, productivity side wherein we are not worried even in terms of OPEX. So, I think on the earlier question you answered that still you seem to be confident in terms of the cost ratios. So, when we are seeing these investments being slightly stringent, I would say like more volumes getting into the logins but not getting approved, still not impacting the cost ratios as such.

Mahesh Dayani : So, on a variable cost structure, part of that is funded. So, that's not so much going to have a bearing on the overall structure. As I also covered earlier in the call that most of the heavy fixed costs have already been accounted for, are already penciled in. Incremental costs are very, very marginal, which will literally have no bearing on the overall cost structure.

Kunal Shah: And proportion of fixed vis-a-vis variable in the overall cost would be?

Narayan Barasia: You are talking about OPEX ?

Kunal Shah: Yes, OPEX.

Narayan Barasia: So, largely, everything is fixed, right, because the rentals and the salaries etc. are fixed in nature, but also in a way it is variable because every front-end team gives us incremental business. So, for instance, when we added five branches, in a way the cost of five branches is variable to the extent that these five branches would give us more business, right. So, in a way, everything is fixed. But yes, it's variable because it's about productivity at the end of the day.

Moderator: Thank you. The next question is from the line of Shweta D from Elara. Please go ahead.

Shweta D: Sorry, even I joined late, so this might be a repeat question. Sir, you mentioned that the yields range now, at least in near to medium term, would be around 11% to 17% as against 20% plus on the higher side earlier. So, do we change our credit cost targets going forward? Like, now do you see the agreeable range could be closer to 1% or higher, one, in the near term given the glitches currently in the system; and two, across cycles? Thank you.

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Mahesh Dayani : So, what we have maintained on our credit cost outcomes has been 80 to 100 basis points . In the current cycle we have been guiding that it's going to be towards the high end, it could be probably 10 basis points here or there. But given the current cycle that we are in, we have adjusted our origination also accordingly. If we were not to adjust the origination accordingly, then probably these credit outcomes were difficult to achieve. When I maintained that our range is anything between 11% to 17% is what we are currently focusing on, but your credit cost is on your overall portfolio. So, currently what we originate, the color of that portfolio comes in only with a lag. So, it's a little difficult for us to juxtapose the credit cost in the next quarter versus what we are originating currently. But what we are currently doing will help us to be within a guided range of what we have been projecting of 80 to 100 basis points.

Moderator: Thank you. The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah: Congratulations on the quarter. Sir, as you mentioned sir, we have tightened the underwriting standards at the beginning of the year. So, probably would there be a case of relaxing the same and how far that would be as of now? What could be the triggers for relaxing those standards? So, any thoughts there?

Mahesh Dayani : I

think a little too early for us to say that we are going to be relaxing any of those parameters. The current trend what we are seeing does not seem to suggest that it's time as yet. So, what we are going to be doing is going to be watching for another quarter before we revisit any of those filters that we have implemented.

Chintan Shah: Sure. So, the main parameter would be the consumer leverage sir, so if that probably cools down a little bit, then there could be some relaxation, is that correct or not?

Mahesh Dayani : Yes, I think there are multiple things, you could have a customer where the CIBIL score is upwards of 700, but we feel that the leverage is high, the inquiries are high. The LTV is probably not to the acceptable level that we would want. I mean, there are multiple variables that go in before we actually take a call on the customer. So, currently, we would like to hold on to whatever filters that we have done. Maybe at the end of or probably the next quarter call we can give you an update as to how comfortable we are, but currently the status quo remains.

Chintan Shah: Sir secondly, as you told the market opens up, probably we could further accelerate on the growth momentum. So, could there be a case also for an 8% to 10% Q -o-Q growth for some quarters or we would expect ourselves to 5% to 7%?

Mahesh Dayani : We will, as of now, commit ourselves to 5% to 7%. We will see how probably the market opens up, probably at that point of time we can be in a better position to comment on it. But as of now, as what we see, our guidance remains the same.

Chintan Shah: But in case the market opens up, so probably one, two quarters down the line if we relax also on underwriting front, so there could be a case for even higher growth than the guided one, right?

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Mahesh Dayani : Could be. But I am not going to fall in for that as of now.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to the management for their closing comments.

Sanket Agrawal : Thank you. That's it from our side.

Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: May 2025

SBFC Finance Limited

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Date: 2nd May , 202 5

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BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sir /Madam ,

Pursuant to applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the earnings conference call which was held on 28th April , 2025.

The transcript of the earnings conference call is also being uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Investor Presentation – Call Transcripts' You are requested to take the above on record .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For SBFC Finance Limited

Namrata Sajnani
Company Secretary & Chief Compliance Officer

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"SBFC Finance Limited
Q4 FY25 Earnings Conference Call"
April 28, 202 5

MANAGEMENT : MR. ASEEM DHURU – MD & CEO
MR. MAHESH DAYANI – EXECUTIVE DIRECTOR
MR. NARAYAN BARASIA – CHIEF FINANCIAL OFFICER
MR. PANKAJ PODDAR – CHIEF RISK OFFICER
MR. SANKET AGRAWAL – CHIEF STRATEGY OFFICER

MODERATOR : MR. RENISH BHUVA – ICICI SECURITIES

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Moderator:

Renish Bhuvra:

Aseem Dhru: Ladies and gentlemen, good day, and welcome to the SBFC Finance Limited Q4 FY '25 Earnings Conference Call hosted by ICICI Securities. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Renish Bhuvra from ICICI Securities. Thank you, and over to you, sir.

Yes. Thank you, Sejal. Hi, good morning everyone, and welcome to SBFC Finance Q4 FY '25 Earnings Call. On behalf of ICICI Securities, I would like to thank SBFC Finance management team for giving us the opportunity to host this call.

Today, we have with us the entire top management team of SBFC Finance represented by Mr. Aseem Dhru, Managing Director and CEO; Mr. Mahesh Dayani, Executive Director; Mr. Narayan Barasia, Chief Finance Officer; Mr. Pankaj Poddar, Chief Risk Officer; and Mr. Sanket Agrawal, Chief Strategy Officer and IR Head.

I will now hand over the call to Mr. Aseem for his opening remarks, and then we'll open the floor for Q&A. Over to you, sir.

Thank you, Renish, and good morning, everyone. Thank you for being on this call. This is our 30th quarter result since start of SBFC and the eighth post listing. The amazing thing about being a financial services company is that being a proxy of the economy, we are affected by every breeze that blows in every sector. From the macros like fiscal and trade deficits, interest rates, liquidity situation, GDP growth, money moving digitally, currency movements to the micros like the economy shifting to being more organized, individual balance sheets moving up and down, velocity of money in small businesses, working capital cycles, everything. There are multiple forces at play right now.

Finance is a derived demand, and to understand its strength, we have to look at the primary demand in the economy. Economic growth in India chugs along, albeit at a slower pace. What we have seen is that all the consumer staple companies have reported flattish quarter. So whether it is HUL, Nestle, Dabur, etcetera, at 2% growth, it's anemic.

But look, what's happening to the discretionary. So when you're looking at airlines, hotels, you are able to see that where spending is going. So spending is changing. We'll have to change our lens of focus to arrive at where the consumer spending is heading. So no longer looking at consumer staples may be a right barometer to look at.

Inflation is in the tolerance zone and the regulator has shifted its lens on growth. Two rate cuts have been delivered in rapid succession. And looking at the inflationary trajectory and softening of the USD, more rate cuts look to be on the menu. Durable liquidity has been promised and is being delivered. Banks have begun to cut savings rate.

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Deposit rates have been able to soften after peaking in March. It looks like MCLR reductions are around the corner. Banks are the wealth from where the NBFC fields are irrigated, and so it's great to see them well hydrated versus the challenge last year.

On product design of gold loans, there was ambiguity and interpretation issues. The new draft circular provides immense clarity and the regulatory risk on the business continuity, which was a concern all of last year, is now off the table. The draft co-lending circular may make CLM2 on which the industry is operating challenging. We are probably the only lender operating on CLM1. So we should be fine, and that is our current understanding.

DeepSeek has done a number on ChatGPT. One of the

most difficult things to achieve is the

balance between technology and cost. Achieving frugal tech scale is a challenge we have taken. We have built some very effective tech stacks on cloud using vendors and self-development mix and built over 200 APIs to draw from the best. The benefits of these have begun to roll.

We have just gone live with a paperless gold loan. When a customer visits our branch today, just with their iris scan, we have e-KYC, e-signed done and money is in the customer's account and agreement on their WhatsApp. That's it. No documents, no friction. The challenge now is that the transaction is over before the customer's tea arrives. So we have a problem of a different kind.

We have rolled out account aggregator and are seeing increasing adoption, helping us speed up decisioning time, as well as end-use monitoring. We have been working on a project with Amazon Web Services. It's a generative AI-assisted credit assessment. The virtual credit underwriter should roll in this year. We've been piloting it softly, and we'll roll it once we see

the results.

Our assumptions for the year ahead are as follows: one, we will endeavor to grow at 5% to 7% quarter-on-quarter. There will be quarters like the quarter 4 where we will surprise ourselves, but this continues to be our guidance. Two, we have been guiding a 50 bps reduction in operating cost year-on-year due to the design of taking a fully loaded opex of 16 states to listing and then benefiting from scale and efficiency. Three, last year, against the guidance, we have delivered a 69 basis point reduction. In the coming year, we will endeavor to deliver another 50 basis points cost reduction. Four, we will put out 20 to 25 branches this year as well. Five, we are not penciling in any reduction in cost of funds. If it happens, we will take it as a bonus. Usually, what happens is that on Excel sheets, we take the good news in, but bad news always arrives from where you can't see. So we'll keep this path aside. Six, co-origination will remain at 20% of our incremental origination, nothing changes there. Gold will remain 15% to 17% of our book, no change. Eight, we will be holding on to our view of closely watching our credit cost, and it should move in the 1% plus/minus 10 basis points range.

It's funny how humans think in terms of adding zeros to scale. When you start the company, the milestones you think of tend to be INR 100 crores, INR 1,000 crores. This year we are looking forward to us crossing INR 10,000 crores of an AUM number. While one knows that the top line is vanity, bottom line is sanity, and cash flow is reality, the ultimate measure of an NBFC will always be scale, profitability and governance, and we will strive towards that.

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So to conclude, we have put ourselves in a position, where good things can happen to us. But we know that while that is a good condition precedent to have, it is only through disciplined execution that we can get to where we want. So help us god.

And now over to Narayan for more detailed comments.

Narayan Barasia: Thank you, Aseem. Good morning, everyone. Our AUM for March 2025 is INR 8,747 crores with a growth of 28% on a Y-o-Y basis and 7% on a Q-o-Q basis, with 100% of our AUM now secured by properties and gold. Our MSME AUM, which is 83% of our AUM grew by 27% Y-o-Y and 7% Q-o-Q to INR 7,249 crores. We added 22 branch during the year, 8 branch during the last quarter. The total branch count now stands at 205, as of 31st March '25.

In terms of yield, spreads and opex, the yields and spreads continue to remain stable at 17.88% and 8.53%, respectively, for the quarter. Our borrowing cost has reduced 5 basis points Y-o-Y and is at 9.33% for the full year in spite of continuous increase in MCLR during the year. Our opex is flat compared to previous quarter and is at 4.62% for the quarter,

but improved by 39

basis points from Q4 of previous year due to operating leverage increase in the organization.

This is in spite of a consistent increase in the branch network.

In terms of asset quality, our GNPA is range bound in Q4 to 2.74% with PCR increasing to 45.69%. Our credit cost is 1% for the quarter, which is in the range of our guidance. In terms of capital and return ratios, our capital adequacy ratio is 36.1% with tangible net worth of INR2,900 crores, as of March '25. Our return on average AUM for the quarter is 4.52%, with return on average tangible equity further improving to 13.14% for the quarter.

We made PAT of INR 94 crores for the quarter, thereby reporting a growth of 29% on a Y-o-Y basis and 7% on a Q-o-Q basis. And the PAT for the full year is at INR 345 crores, which has grown at 46% on a Y-o-Y basis.

With this, we open the floor for question-and-answer.

Moderator: Thank you very much. The first question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: It was just a little bit qualitative. As eem you mentioned that we are a little bit more cautious in the current environment. Now is it just kind of a fear of unknown, unknown? Or is it something that you're tangibly able to see at the ground?

Aseem Dhru: So see, Nischint, you are the only man who's Nischint, all of us have a lot of chinta. So that was on a lighter note. But basically, see, the way we see it is that if you look at the last few years, there has been a lot of volatility that has happened. One -- some came from liquidity events, some came from nature like COVID, some came from man-made events and crisis, and some came from regulatory pressures that built, and some have come from on-ground issues that what we have seen in Karnataka and now what we are seeing in Tamil Nadu. So there have been a series of events that have happened. And every year, there has been something that has disturbed the flow. So one needs to be careful, and one needs to be watchful. We don't know what the future entails.

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And the fact is that when we are lending to a customer segment, which is a higher risk segment, and therefore, we have to be a lot more watchful always. So I don't think our commentary will ever change whichever year you will hear the call in because it is easy to -- see, it's a difficult business apart from one player, there has not been anybody who's been able to build scale in this business over time.

So it's a difficult business. We recognize that. And we know that we have to be watchful. It's a slippery slope. We will have to be watchful. Nothing that there is an event right now, but every year, some event seems to be coming that we can't see.

Nischint Chawathe: Got it. Just a little bit of -- again, a little bit of quantitative maybe. On the asset side, with rates coming down, how fast do you think you need to transmit? And any specific reason why you said that you don't want to put down any cost of benefit this year?

Aseem Dhru: So see we -- it takes time to transmit, -- while the rate cuts happen, incremental borrowing costs have already begun to come down. But the book doesn't reprice until MCLR moves et cetera, which will take time. I mean, there is a pressure on banks also on net interest margin, maintenance, etcetera.

So I don't see that transmission of rate cuts and durable liquidity is going to immediately come to us. So it may come by the second half of the year. And it may come in small spurts, so 5 basis points here, 7 basis points there. We don't see a material reduction in cost this financial year is the base case. If it comes, we'll take it with both hands.

And the transmission only happens when our cost of fund moves, and our other parameters move. So transmission -- so there will be a delay and a lag between transmiss

ion of what happens

with the regulator and what happens at the banks. Similar, there will be a lag at what happens to us and what will ultimately get transferred to the customer. So I don't see any rate reduction possibility for customers this financial year at least.

Nischint Chawathe: Sure. Because between '22 and '24 when rates were rising, you actually did see a spread expansion. So I'm just trying to understand the behaviour?

Aseem Dhru: So see, what happens is the rise was very sudden then. It was at one stroke, you had a 250 basis point increase. It was a very abnormal rise. So everyone had to react and respond to something that was an abnormal event. This year, I mean, nobody -- there's nobody's case that we are looking at that kind of a rate reduction. So when it is big, the shock and the reaction is instant. When it is in small spurts, it takes time to transmit through.

Nischint Chawathe: Got it. Any change in outlook for gold business after the draft regulation from RBI?

Mahesh Dayani: Hi, Nischint. So there's nothing materially changing for us. In fact, we'd like to welcome the draft circular, which is in circulation as of now. So nothing changes for us. So for last year, on an average, while there was volume growth of 15%, the price movement of almost close to 24% - 25% took our average growth to 40% in gold. So clearly, nothing changes for us either operationally or otherwise.

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Nischint Chawathe: Got it. And just one tiny one last one, if I can squeeze. On the co-origination side, I think as rates go down, do you kind of tend to benefit? I mean, I'm just curious how the pricing is -- evolve for you?

Aseem Dhru: See effectively, it's a zero-sum game because the rates are linked to repo both ways.

Nischint Chawathe: Both ways. Ok got it. Thank you very much.

Moderator: The next question is from the line of Renish Bhuva from ICICI Securities.

Renish Bhuva: On 2 things. So one, on this 1 + DPD trend, right? So we have been witnessing a steady increase in 1+, but at the same time, of course, we've been also able to contain 90+. I mean that's what our gross NPA suggest. So just wanted to get a sense, which geography or pocket is sort of driving this higher flows into early buckets. And do you see any risk to the pace of outflows from 1+ to 90+ in coming quarters maybe because of this change or any other macro events that can play?

Pankaj Poddar: Yes. So on the 0+, basically that we have seen impact of Karnataka portfolio because of certain events. And due to that, we are seeing that impact on 0+. We are not seeing any material movement at this point in time due to the same. So forward-looking for full year, we are not changing our forecast.

Renish Bhuva: Okay. Got it. So incremental flows to early buckets is mainly because of Karnataka issue.

Pankaj Poddar: Basically 50 basis points is due to that thing.

Sanket Agrawal: So Renish, all other states have been constant in the quarter and the only impact that has come in is coming from Karnataka. We have a material portfolio there and therefore, that in the bucket 1 has got impacted and therefore, 0+ is bloated to that extent. But in all other states, we've been

able to contain the flow.

Renish Bhuvra: Okay. And maybe if you can just share the ground feedback currently. I mean, things have stabilized in terms of flows? Or how is it?

Mahesh Dayani: So obviously, this started somewhere at the beginning of the last quarter. And all I can mention is that sequentially, we're seeing improvement month-on-month. So Feb was better than Jan and March was obviously better than Feb. So obviously, sequentially, we're seeing it better.

Renish Bhuvra: Got it. Okay. And maybe slightly related to that also is on the disbursement side. So on a full year basis, we saw our disbursement in secured SME is actually down. And now sort of when

w

e are saying sort of we will be able to maintain or sustain this 5% to 10% sequential growth. If I just calculate the numbers, the ask rate for quarterly disbursement would be roughly INR 850-plus crores. So are we confident of sustaining or achieving those numbers with the new issue in T N?

Mahesh Dayani: Yes. So probably I'll just break up the numbers for you. So what you see on a full year basis is largely because of a 1 quarter impact, which was the Q1 impact, where the total numbers had dropped closer to INR 550 crores. And then thereafter, there was a sequential uptick in it. If you

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were to just pencil in a number of anything between 4% to 5%-odd, you would continue to grow upwards of 20% in disbursements, closer to 25% of disbursements. And also, in terms of your AUM growth, it's going to be more than 25% and that clearly mirrors our 5% to 7%.

We were averaging close to around INR 255-odd crores a month last quarter, and that's going to take us to more than INR 300 crores or closer to INR 300 crores by the end of the year. So that's not a very large ask that we have before us. So if we were to go with your number seems to be largely within our range.

Moderator: The next question is from the line of Devesh Kayal from Monarch AIF.

Devesh Kayal: Just one question. So our growth in the Western region has been kind of muted at around 12%? So if you can give some color on this?

Mahesh Dayani: It is a soft pocket for us and some part of it is by design. Some of the states we had last year consciously had slowed down because we weren't very comfortable on the numbers that were coming up from the industry perspective. The numbers seem to be looking a lot better. So moving forward, we would see an accelerated ramp-up, and that's where the opportunity for us to hit our required ask on the disbursement also comes through.

Moderator: Does that answer your question? The next question is from the line of Shreya Shivani from CLSA. Please go ahead.

Shreya Shivani: I just wanted to understand you talked about opening 20 to 25 branches in the coming year. How do you decide on which geographies to expand in? Is it district-by-district expansion? Can you talk a little bit on that? And there was a media article yesterday, which talked about certain regulation coming in, in Tamil Nadu, which may try to formulate rules around collections. I see you have lesser number of branches in Tamil Nadu than Karnataka, so I can understand the impact could be restricted. But if you can help us understand what are the stress -- if there is any stress in that state going ahead?

Mahesh Dayani: Yes. So answering your first question with respect to branches. So if you would have looked at our number of states, we're not adding any state. What we've been constantly maintaining is that we're going to get deeper into every state, depending upon the experience that we have on origination, on underwriting, and on the profitability for those states.

And the way it works for us is that we get deeper at a district level, as we move into each of these states. So our existing states are going to get stronger. You would see better outcomes coming in from the states where we are already present. Some of them, we are the flag bearers in those particular states, where we have a significant market share, and we will continue to strive deeper in those particular markets.

Answering your second question in terms of the Tamil Nadu exposure, we have a 3% overall exposure. We'll be a little watchful as to how the situation unfolds in this particular quarter before deciding to significantly ramp-up.

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Shreya Shivani: Got it. And sir, one thing that I wanted to understand, you mentioned how the environment in the country has been volatile in the past so many years. So within the segment, how

do you

manoeuvre around sub-segments? I'm not talking in terms of if you're doing secured MSME, not in terms of one state has more stress, so I move to other states, that is understandable. But do you choose the kind of MSMEs that you are lending to, or you move that around also? And are there any subsegments of MSME, where you feel there is bigger stress right now?

Mahesh Dayani : So in our previous commentary, we've said that our decision to lend or go slow is a function of multiple things. It's not really related to an event, probably something what happened in Karnataka, Tamil Nadu is probably a situation which is solving for excesses, but our decision is largely more credit-driven and how is the market being driven in those particular states. So a couple of states we had slowed down last month. That was largely driven because of the delinquencies going up in that particular segment, not necessarily with us.

And also, the entire efficiency of log-in to approvals to disbursal ratios, if that's not really favorable, then it's a high cost impact for us. So independent of these particular spurt of events because these will ultimately settle down. But our decisions to grow, accelerate is dependent upon a lot of other functions, which also mirrors up your question saying that what is it that we look at the segment.

So when we look at segments, we look at how are the big tickets doing, how are the mid-tickets doing, how the low ticket doing, how is the 0+ moving, how is the 90+ transition happening, how are the disbursals moving. So a lot of those considerations come into play before we decide what the plan for the quarter and the full year is going to be.

Moderator: The next question is from the line of Kamal Mulchandani from Investec Capital Services.

Kamal Mulchandani: My first question is like with respect to the increase in 1+ DPD in the recent quarters, have we put in some incremental credit filters? And what are we doing extra in terms of improving our collection efficiencies?

Pankaj Poddar : So 1+, as we articulated earlier in the question that is we have seen the impact of Karnataka coming in 1+ in last quarter, and that has impacted our 0+ by 50 basis points. We are seeing this to stabilize in coming quarters, and for full year, we are not expecting any material impact of the same.

From a credit side, we continue to watch the space and internally we have been strengthening our collection processes in past couple of years. So this is the same. We are not changing any guidance for full year.

Kamal Mulchandani: Okay. Okay. Secondly, for your gold finance book, if you could just highlight the number of branches from where we are sourcing this book? And incrementally, are we seeing some growth in the tonnage as well? Or it is purely related to the increase in gold prices?

Mahesh Dayani : So in terms of the tonnage, we saw -- so in terms of volume growth, the split is 15% is largely driven because of volume and 25% is the benefit that we got in terms of the price increase -- average price increase. And that's how it sums up your 40% growth in the gold business.

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Kamal Mulchandani: Okay. And branches from where we are sourcing the gold loan, if you could just tell the number?

Mahesh Dayani : 165 branches.

Moderator: The next question is from the line of Kunal Shah from Citi group.

Kunal Shah : So firstly, with respect to the overall ECL provisioning and particularly on Stage 1, so that has got reduced by almost like 20-odd basis points. While we have seen the coverage increasing both for Stage 3 as well as Stage 2, so not very sure in terms of what is leading to change.

Obviously, you also indicated that the environment is uncertain, then this would be on a back pull, but still do we plan to increase the coverage or something? And what could be the reason for this decline?

Aseem

Aseem Dhru: No, no. So see, we refreshed our ECL model, and this has come out of that model. I mean, probably we were overproviding. Even now we are providing higher than anybody else. So this is just when the bots come out, we have completely automated our ECL provisioning. So there is no manual intervention. We do management overlays over and above this wherever we deem fit, but this number that has come out of the model and even after reduction, it is still highest compared to anybody else you would see.

Kunal Shah : Okay. And management overlay, what would be that number today, if there is any? Yes.

Pankaj Poddar: Around INR 4 crores.

Kunal Shah : INR 4 crores. Okay. Okay. And secondly, when you indicated with respect to the cost of funds remaining stable, so that comment is only on cost of funds. It's not, say, with respect to spreads.

So looking at maybe the overall funding cost environment, there could be some lag, but we should have that advantage. And given that the proportion of credit more than 700 customers is also rising, okay, would there be further pressure on yields and margins could come off? Would that be the case?

Aseem Dhru: You have seen us over 8 quarters, even in increasing cost of funds, our spreads have only gone

up.

Kunal Shah : Okay. So still maybe even though funding cost remains similar, then not much pressure on spreads would be there, that's what the indication is?

Aseem Dhru: No. as already laid out in the guidance, nothing changes. Everything remains what we had said in the run-up to the roadshow.

Moderator: The next question is from the line of Satish Kumar from Mirae Asset Capital. Please go ahead.

Satish Kumar: So 2 questions from my side. First one is related to the cost-to-income ratio. As the cost-to-income ratio is to around 40% and the company has adequately invested over the past few fiscal.

So would we expect the same trend going forward on the cost ratio front? And the second one is the MSME segment. So what is the growth guidance for the MSME credit growth given the competition is rising for these segments?

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Mahesh Dayani : So with respect to the MSME segment, I think the overall market, if you look at it, that's close to around INR 3.5 lakh crores in the category of INR 5 lakhs to INR 30-odd lakhs. And that's growing in the range of 20 %-odd. So with a lower base, if we are projecting 5% to 7% on a quarter-on-quarter basis, that is something which is achievable, and that's something that we've been maintaining for the last couple of years. We don't see any of those variables changing.

We've invested in our distribution across the country. So some spurt here or some event here or there is not going to probably change the guidance in any form. So clearly, while the competition could be getting intense, but I guess the market is also growing enough and there is adequate and enough and more opportunity for most of the players to grow.

Satish Kumar: Okay. And on cost-to-income ratio front, sir?

Mahesh Dayani : Opex side, I think what we always guided is that we will reduce our opex by largely 50 basis points as the distribution tends to spread. Last year, our opex went down by almost 70 basis points. Our next year guidance also remains the same that we will reduce it by 50 basis points.

So it is going to be a downward sloping curve that you would see on our opex to AUM or the cost-to-income, whichever way you derive that.

Moderator: The next question is from the line of Mayank Mistry from JM Financial. Please go ahead.

Mayank Mistry : Sir, I have 2 questions. First is basis on the gold draft that has come in. So do we have any consumption-led loans in our portfolio? And if yes, then how should we see the growth going forward given that it is said that the growth is going to be impacted for gold loans going forward. So although we are at the high

end of our guidance, should we see this move below 15% going forward?

And secondly, what would be our Tamil Nadu exposure because again, the same regulations, same ordinance has been passed by Tamil Nadu as well, which has been passed in Karnataka. So these are my 2 questions.

Mahesh Dayani : So with respect to the Tamil Nadu exposure, it's close to around 3% of our AUM. So the exposure is not very large, significant. As I had maintained earlier in the call that we will be a little watchful, as how the events turn out and then depending upon those, we will decide our acquisition in that particular state. So as of now, it's not a very large material event for us, which will impact our overall momentum.

Your question on gold with respect to consumption, I think let me break this into 2 parts - What you see consumption-driven loans are largely small ticket loans in gold. What we typically see is more than -- our average ticket size is slightly more than INR 1 lakh, closer to probably INR 110,000 to INR 120,000 -odd. These are largely business owners are used for business purposes. So the impact drawing towards consumption-driven loans is also going to be limited.

Mayank Mistry : So what would be the currently mix of income generation and consumption loans in our book then?

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Pankaj Poddar : It will be mostly consumption. So like basically loans for which we would be offering in gold loan.

Aseem Dhru: See gold is a very small portion of our book. We are an MSME lender. That's our focus. Gold will remain at this 15% -17%, no change.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer : Sir, my question is on, would give us some idea on how the bounce rate has been like in the current quarter? And I mean, with your initial commentary on some elevated risk in a few states, how do you see -- I mean, how do you think it will pan out in next 2 or 3 quarters?

Sanket Agrawal : We usually track 0 + as a metric in the segment and bounce rate for the last 1 year has remained flatish from our portfolio perspective. 0 + has been one of the tracking points that we are looking at, and that's where our collections have been driven.

Vignesh Iyer : Okay. And sir, what is -- I mean, what do we have as an internal estimate for a steady -state ROA on our AUM?

Sanket Agrawal : So ROA has been ranging around 4.5% from the last 6 -odd quarters. And as we lever up, there will be some compression on the ROA, but we would want to hold it on for the next 1 year between 4% to 4.5%.

Moderator: The next question is from the line of Harshit Toshniwal from Premji Investments.

Harshit Toshniwal: Am I audible?

Moderator: Sir, I would request you to please use your handset.

Harshit Toshniwal: Hello. Is it better? Yes. Sir, the question was on the gold loan piece itself. I think specifically on these 2 that how is our structure of the gold loan in terms of bullet repayment or principal EMI?

And with the LTV norms changing, how should we look at that piece itself, maybe for you and also for the sectors, if you can help us, right?

And the second is from the increasing intensity of requiring to document the purpose, etcetera., how should that be looked at?

Mahesh Dayani : So from an LTV perspective, our overall LTV on the gold portfolio is close to around 60%-odd.

So at a portfolio level, obviously, we have a required margin of safety , so that's not an issue.

With respect to the new draft circular, which has come into play, we are already following that circular. So for us, there is no material change that we see with respect to the LTVs, which is in play. What was your third question?

Harshit Toshniwal: On the increase in documentation fees, sir. So I think you said more -- given most of our loans are income generation, but do we now need to put in some additional efforts

in terms of

documenting the end purpose of loans so practically, how is that possible?

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Mahesh Dayani : So I think that was a soft nudge, which was always there from the regulator to monitor the end use for the gold loans for a particular ticket sizes and above. So that was already into play. We will just have to see that whether it is for the entire spectrum or is it for certain ticket sizes. If it's for certain ticket sizes and above, then there is no change for us.

In case it is for the entire spectrum, that's the only incremental or marginal effort that will be required from our side. But on an overall impact basis, we really won't have to turn the entire tumbler up and down on this one. Whatever changes are going to be there are going to be marginal and not really extremely -- it's not going to impact our cost in any way.

Harshit Toshniwal: Okay. Sir, one last question that our repayment structure in the gold loan, is it a bullet -based repayment?

Mahesh Dayani : See, if you look at the circular, what it tends to say is that if you have a ballooning structure, where you balloon all your interest and everything is rear ended, there could be an event risk in case the gold price falls, and that's rightfully done in. Thankfully, we are largely on a monthly servicing that we do it on an EMI basis.

So again, to that particular portfolios that have been mentioned in, we don't have a share in that particular bucket or that particular product in our overall portfolio. So again, the impact assessment on that particular point is also minimal for us.

Moderator: As there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Sanket Agrawal : Thank you. That's it from our side.

Moderator: Thank you. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2025

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31st July, 2025

National Stock Exchange of India Limited ,
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NSE Symbol: SBFC BSE Limited,
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BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sir /Madam ,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call which was held on Saturday , 26th July, 2025.

The transcript of the Earnings Conference Call is also being uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Investor Presentation – Call Transcripts' .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For SBFC Finance Limited

Namrata Sajnani
Company Secretary & Chief Compliance Officer

Page 1 of 15 "SBFC Finance Limited Q1 FY '26 Earnings Conference Call" July 26, 2025 MANAGEMENT: MR. ASEEM DHRU – MD & CEO MR. MAHESH DAYANI – EXECUTIVE DIRECTOR MR. NARAYAN BARASIA – CHIEF FINANCE OFFICER MR. SANKET AGRAWAL – CHIEF STRATEGY OFFICER MR. RAJIV THAKKER – CHIEF RISK OFFICER MODERATOR: MR. RENISH – ICICI SECURITIES LIMITED Moderator: Ladies and gentlemen, good day, and welcome to the SBFC Finance Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

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I now hand the conference over to Mr. Renish from ICICI Securities. Thank you, and over to you, sir. Renish: Thank you, Shruti. Good afternoon everyone, and welcome to SBFC Finance Q1 FY '26 Earnings Call. On behalf of ICICI Securities, I would like to thank SBFC management team for giving us the opportunity to host this call. Today, we have with us the entire top management team of SBFC represented by Mr. Aseem Dhru, Managing Director and CEO; Mr. Mahesh Dayani, Executive Director; Mr. Narayan Barasia, CFO; Mr. Sanket Agrawal, Chief Strategy Officer; and Mr. Rajiv Thakker, Chief Risk Officer. I will now hand over the call to Mr. Aseem for his opening remarks, and then we'll open the floor for Q&A. Over to you, sir. Aseem Dhru: Thank you, Renish. So good afternoon, ladies and gentlemen, and thank you for taking the time out to be on our earnings call. For those listening to this call, it's just a number, INR 101 crores of profit after tax this quarter. But for all of us on this side of the call, it is the validation of a dream coming true. A number that sat on our Excel sheets, as we submitted our projections to investors, banks. As you know, every number is achievable on Excel, but to see it actually on a quarterly P&L, our heart is filled with gratitude. It is a culmination of human effort, the trust of our investors and lenders and divine

grace. I still remember how it felt to see INR 100 crores of profit in a year, then in half year and now in a quarter. On a long journey to infinity, it's reassuring to see milestones go by. At least you know you are well on your path and headed in the right direction. If you look at the economy right now, it tells us that there are 4 good things that have been enablers to what tailwinds we are seeing. One is that there has been extremely good monsoons. I mean, if you see the last almost 2 to 3 years, it's been a continuous good cycle of both Rabi and Kharif and even this time, the Kharif sowing has been very good. It's been a slightly early onset of monsoons. So we have had good monsoons. No income tax on income up to INR 12 lakhs, reduction in borrowing rates and falling inflation. These are enablers which are increasing disposable income. On the other side, there are headwinds of stagnating income, job creation falling, both are leading to weak urban consumption. Banks, IT Services, the large employers are in a cost of mode and educated unemployment is a concerning trend. And it is not just that this is a trend only in India. Across the world, educated unemployment is a huge trend. Reasons are different - Somewhere it is because of AI, somewhere it is because of a slowing economy, somewhere it is because of uncertainty on tariffs. Reasons are different, but everywhere, this is a trend that one sees. So we have a situation that while rural consumption is showing growth, the urban ones are accelerating. I would venture to say that India is growing outside of its metros.

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In the last quarter, I was on the road through states of Karnataka, Andhra, Telangana, Maharashtra, Uttar Pradesh, Bihar and can validate that semi-urban and rural does seem to be doing better than urban. That's where the government focus was and it should come as no surprise. But due to low purchasing power of these customers compared to the urban ones, the growth in sales of all discretionary consumption companies has been anemic. So now if you look at it, the weak consumption plus poor private investment, plus maxed out government investment and spends, plus the rising imports, plus uncertainty on exports with the current drama around tariff is a drag on our GDP growth. If you look at the current GDP growth number at 7.4%, the last print that we saw, there's been a slowdown in private consumption by 2% over last quarter and private consumption is about 60% of our GDP. So there is a slowdown a

bout 2% over last quarter. Exports are down by 4%. But investments are sharply up 9%. So government seems to have done a lot of spending in the last quarter. Global growth and shifting wins, thanks to AI, is casting a long shadow on our services export, especially in tech. The monetary policy that was tightened by RBI by 250 basis points increase, plus liquidity was kept tight. The objective of such a policy is to slow down growth, I mean that is exactly what this policy is aimed to do, because, I mean, to slow down inflation, you want to slow down growth, and both have been achieved. Now we are in an easing cycle. Sales -- I mean if you look at the economy on a narrow basis, sales on online e-commerce websites, plus D2C websites, quick commerce, food and medicine delivery apps, organized retail stores from groceries, electronics, clothes, spectacles, medicine, jewellery are taking business away from the neighbourhood Solanki Chemist, Siyaram General Provision Store, Kantabai vegetable vendor, Shantaram fruit vendor, some fish stall, A-1 Chicken center, street fast food retail shops, Mahalakshmi Jewellers and their ilk. So Wall Street and Dalal Street are eating real street's lunch in urban markets. We could see this coming, when we were setting up SBFC, we could see the trend coming and we decided from the start to focus on small businesses in small towns and stay away from metros because this was the concern. It is playing out what we had envisaged. The taps of credit were turned in a risk on mode, fuelling the bottom of the pyramid growth until RBI rightly saw bubble forming and pricked unsecured and microfinance lending. As lenders recoiled in a cautious mode, readjusting their risk models, the velocity of money dropped and this always has unintended consequences impinging on other borrowers, who are getting their money from these. We saw political risk play out in Karnataka, where the ordinance, which had nothing to do with us, brought our collection numbers down sharply in the last quarter of the last fiscal. And while damage takes a quarter, its repair takes away the other 4. NBFCs have moved from a go-go demand and restrained supply of money with rising rates till FY '24 to the supply taps opening up and costs dropping, but a more restrained demand.

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The need for finance has gone up but the demand defined as need plus ability to pay the EMI has reduced. A mixture of tightening credit that we did in February '24 and a stretched borrower on the ground has increased our rejection rates by 10%. We are building an institution and any financial institution needs 3 things: governance and profitability at scale. Storms and earthquakes will come, it is our job to build the firm anti-fragile. We have signalled last April, and if you see all my calls since last April, we were seeing incipient stress due to overleverage of individual balance sheets. Lending near the bottom of the pyramid has always had this pattern that for a long time, things hold, and then an event like the one we saw in Karnataka in quarter 4 of last fiscal kind of shakes the tree. These customers, once they move forward, it takes 4 quarters to repair the damage of 1 quarter. We are cognizant that rewards of a high yield do not come without attendant risk and to that extent, we must fortify our balance sheet over profit and loss account. So we are at all points of time, and that has been our strategy from day one that the balance sheet has to be protected, profit and loss account can wait. If you recollect the first quarter since our listing 2 years ago, we have stopped accruing interest on NPAs, and we have been raising our PCR to the double of regulatory minimum. As recently as last quarter, we increased our PCR to the higher end of the mid-40s. We also sit in almost 2x more liquidity than the regulatory minimum. These are price we will happily pay for a good night's sleep. Considering the

current environment, we will be increasing provisioning, which will increase our credit cost going forward. There are 4 tailwinds and 1 headwind where we stand. Cost of credit is a headwind, we will battle, but the tailwinds we have are: one, the regulatory risks have moderated; two, liquidity flow is ample; three, the cost of incremental funding is dropping much faster, while the transmission through MCLR usually takes its time to find its way down to us, but the incremental funding is certainly dropping; and four, cost of operations will likely continue its downward trajectory around our guided path. This will enable us to be on a continued path of profitability and on track to deliver the ROE we had built SBFC for. Right now, at a debt-equity of just 1.87x and a cost-to-income ratio of 39%, we have delivered an ROE of 13.5%. We are targeting business as usual growth of our AUM by a 5% to 7% quarter-on-quarter growth. We are on track for a 50 basis point reduction in cost of operations

down the year. Our cost of credit that may inch up by about 15 to 20 basis points from here. On growth, profitability and ROE, we are on our guided path. We thank each one of you for the faith that you repose in us. We are very happy now how far we have come, but as Dhirubhai Ambani once said, our dreams have to be bigger, our ambitions higher, our commitment deeper and our efforts greater. With that, I hand over the call to Narayan to take us through a little bit more about the company numbers.

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Narayan Barasia: Thank you, Aseem. Good evening, investors. So our AUM as of June '25 is INR 9,351 crores, with a growth of 30% on a Y-o-Y basis, 7% on a Q-o-Q basis and with our book secured by properties and gold. During the quarter, we added 10 branches with the total branch at 215 as of June '25. In terms of yield spreads and opex, the yields and spreads both saw a marginal rise during the quarter. The yields improved by 11 bps over the quarter, the cost of borrowing came down by 3 bps over the quarter, thereby increasing the spread by 14 bps during the quarter. The yield as of now for the quarter is 17.99%, with a spread of 8.67% for the quarter. Our borrowing costs also reduced by 3 bps during the quarter, which is at 9.32% for the quarter. Our opex also reduced by 3 bps during the quarter in spite of increments, et cetera, and is at 4.59% for the quarter. Opex improvement is 25 bps from Q1 of the previous financial year due to operating leverage. This is in spite of our consistent increase in branch network which we are doing over a period of time. In terms of asset quality, our GNPA is range bound during the quarter to 2.78%, with PCR at 44.4%. Our credit cost is 1.11% for the quarter, which is in line with our guidance. In terms of capital and return ratios, our capital adequacy remains strong at 34.3%, with a tangible net worth of INR 3,039 crores as of June '25. Our return on average AUM for the quarter is 4.5%, with a return on average tangible equity, improving to 13.53%. The PAT for the quarter reported is INR 101 crores with a Y-o-Y growth of 28% and Q-o-Q growth of 7%. With this, we'll open the floor for further questions and answers. Sanket Agrawal: Yes, we open the floor for questions and answers, please. Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Raghav from Ambit Capital. Raghav: I have a few questions. One is when I look at the business per branch or per employee, that's been increasing consistently for last 3-4 quarters, yet when I look at the opex to assets side, that's down only 6 bps Y-o-Y and I think that's mainly because of the other opex line item, which is going up. So what is driving that? Where will this other opex line item settle? And when should you start seeing meaningful scale economies? Yes, so that's my first question. Should I ask my other questions also? Or should we take

one by one? Mahesh Dayani: No, I think we'll answer your question. So I think you rightly pointed out that yes, the productivity at a branch or at an employee level is gradually inching up. But what's also happening is that we've been consistently adding these branches. So if you look at our entire distribution network, you'll always find close to around 15% to 20%-odd of our branches, which are less than 12 months. And what we'd like to do is that we'd like to front-load a lot of these new branches in the first half of the year.

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So what we've been guiding is that you might see probably an elevated cost upfronting in the initial quarter, but on an annualized basis, we feel that the overall cost reduction is going to be 50 basis points for the full year. This is what we had guided last year and that's what we had achieved, and our guidance remains unchanged for the current year as well. Raghav: Understood. And one more question. See, you gave your volume number, right, for the MSME bit and then when I look at that -- when I divide that by employees, I'm able to get a high productivity number, that's inching close to where you were before you called out stress, I think, in April 2024, right, and then you said you've tightened your underwriting rejection rates are 10% higher. So what I want to understand is, despite the rejection rates still being 10% higher, you're getting back to older levels of productivity levels. Is that the right way to understand this? Mahesh Dayani: That's one right way to understand. The other point that I'd just like to add is that the volume number that you see is largely related to the ME business, it does not include gold, whereas you are taking the total employees, which are mentioned probably in the second or the third executive summary slide. So if you were to add both, probably you will have a much favorable outcome than what you're currently getting. Raghav: Understood. Third question is what has led to this higher yield on a quarter-on-quarter basis? Why has that happened? Mahesh Dayani: So I think our gold business as we are beginning to add new branches, most of these branches are having gold. And the increase in yields are largely on account of gold. The ME business has largely remained stable. So most of the increases that you see in the yields are on account of gold. Raghav: But see, when I look at Q-on-Q AUM accretion, right, it's pretty similar in both, in the sense that the ME business is around 7%, and then even the gold business is up 7% quarter-on-quarter. Mahesh Dayani: Correct. But -- so let me put it the other way. So you have gold, which is contributing close to around 13%, 14% on your total portfolio, and if the yield variance is close to around say, 3% to 4% between ME and gold, that's where the majority of the variants come. Raghav: Understood. Sure, sure. Fair enough. Do I have time for one more question? Sanket Agrawal: Yes, go on, please. Raghav: Sure. So see, you partly alluded to this thing that the ability to repay EMI has reduced a bit, I think if I heard it correctly. When I look at your 1+ DPDs, we've been inching up. Collection efficiency has dropped. One of the larger NBFCs also recently indicated some pain in MSMEs. What are your thoughts on this bit? You said you will increase the credit cost by 15, 20 bps this year. But just very qualitatively, what are the challenges that you are seeing? Why are these MSMEs not able to repay? Just some granular color qualitatively on that will really help.

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Aseem Dhru: So see, I did try to cover that in the opening statement if you had caught that. There is a political risk that has emerged this year, which is not a normal thing that happens for the industry. I mean microfinance has faced political risk before, but for the rest of the industry, it is a new normal that we saw this time. And there are phases. Money i

s linked - You cannot segment money into products. So ultimately, if the velocity of money drops, if lenders pull their hands away from unsecured lending, from microfinance lending, ultimately somebody's expense is somebody's income. So if

somebody is cutting down something, ultimately that same fellow will go to a small grocery shop and buy something, and if his income has gone down or his ability to get cash has gone down, then the consumption also is going to get affected, and that consumption is somebody's income. So it is linked. We have seen an increase in 1+ flow, and that has built a pressure. These are cycles that come that one has to navigate. And it's very clear that it is linked to ticket sizes more than anything else. So it is not about geography so much, it is not about a particular kind of borrower, it is more about ticket sizes that what it is telling you is that the prime credit Indians are doing extremely well, they are pulling it away. But as we go down the ticket sizes, there is a stagnation of income, and a pressure on the ability to pay. So that is broadly what's happening. Moderator: The next question is from the line of Nidhesh Jain from Investec. Nidhesh Jain: Sir, one question is that in the current environment where we are seeing stress, over leverage, 1+ DPD inching up. So what is giving us confidence to grow and to disburse, showing 30% plus disbursement growth? And what are the changes in the underwriting filters that we have done, which is giving us confidence to grow? Mahesh Dayani: So as Aseem pointed out, what we are beginning to see is that there is some bit of stress in some pockets of the country. The stress is more towards the smaller ticket sizes, and we have seen a deterioration in their bureau scores. So that leads us to tighten our credit filters further for a particular category of borrowers, till the time we see the environment stabilizing or even our buckets stabilizing. So you would probably see the ticket sizes marginally moving up because we would get a little cautious on some of the ticket sizes in some of the geographies. But having said that, our distribution is so large, and we've got 215-odd branches, and even if we were to say out of that 80% of the branches contribute and there are some small tickets that we move that away, that's not going to actually take the wind away from the disbursements. Just to put numbers in perspective, we did close to around INR 800 crores this quarter. Even if we were to assume that we maintain the current momentum, that takes us to INR 3,200-odd crores against INR 2,600 crores last year. And that's roughly around a 20% growth in disbursement translating to 25% in terms of the AUM growth.

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This is after we introduced fresh filters on underwriting, going slow on the smaller ticket sizes and really focusing on the sectors and the customers who are demonstrating proper track in terms of repayments, or where we feel confident with respect to the credit outcomes.

Nidhesh Jain: Sure, sir. And secondly, sir, can you share what percentage of customers will have, let's say, more than 3 loans, et cetera? Because what we understand is that is one big driver of the stress.

There are customers who are having higher number of loans, those customers the stress levels are much higher versus customers who are unique or have only 1 or 2 loans.

Sanket Agrawal : So the ME customers would not have significant loans outside SBFC, so there are hardly 1 or 2 unsecured personal loans that we see from the Bureau watch. The gold customer will have a more unsecured borrowing outside SBFC.

Rajiv Thakker: And we track the customers based on the Bureau score wherein our bulk of the customers, which is 87 %-odd is above a cut-off of 700.

Nidhesh Jain: Sure. And last question is on credit cost guidance. So this quarter, we have done around 1.1% credit cost, and in the opening comment, you mentioned credit c

ost will be 15 basis -- 10, 15

basis points higher. So should we build the 1.25% to 1.3% credit cost for the full year or 1.1% is right number?

Aseem Dhru: No. So see, you can't see the full 18- hole golf course, you play it a hole at a time. So at the moment, what we are seeing moving forward, it appears that a 15 to 20 basis point is what should be penciled in. That's what we are penciling in. We'll, of course, try to do a better job than this, but that is what it appears, looking at the numbers right now because even if you look at the CIBIL data, what it tells you is very clear that if you look at MSME loans across the industry between March '24 and March '25, you will see that above INR 50 lakhs, from INR 50 lakhs to INR 50 crore s, all buckets have seen an improvement, a reduction in NPAs, all buckets. From INR 10 lakhs to INR 50 lakhs, there is a slight 10 basis point deterioration in NPAs. But in less than INR 10 lakhs, the deterioration has been 70 basis points. So from 5.1%, the industry has gone to 5.8%. So there is a linkage of what is happening at the bottom of the pyramid and we will be fine -tuning our business in light of this data.

Nidhesh Jain: Sure. So the base credit cost is Q1 credit cost, on that, we should expect higher credit cost for the full year?

Aseem Dhru: That's right.

Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital.

Shubhranshu Mishra: So do we do any industry analysis of our MSME exposure? If so, what would be these industries which have these specific issues of stress? And what is the curing rate for 0 to 30 DPD today versus, say, a year ago?

And in terms of understanding the hand loans of the MSME customers, the CIBIL bureau score would possibly give the credit lines, which they have from other lenders. But during our PDs,

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do we get an understanding of the hand loans that these customers have, are they honest enough to speak about it? Or is our process acute enough to understand what is the hand loans that these customers might have?

The second question is around gold loans. How are we looking at gold loan growth, how do we

select the branch? Do we have specialized branches for gold loans or we have branches which are merged with the MSME branches? And what is our outlook on gold loan branch expansion? Are we going to do it stand-alone or it will be for cost benefits we will have both products together in locations?

Mahesh Dayani : So let me -- I guess there were just too many questions under the wrap of one, but probably we'll try and answer one by one. Answering your question on gold, so out of 215 -odd branches, 175 branches do gold. Whenever you select a location, you have data available with respect to what is the market size available in that particular market. The intent is, obviously, if there is an opportunity for both the businesses to do in that particular location. So the first preference and the first choice is to have both the businesses together because obviously, economies of scale and the cost come in.

Our plan for gold, clearly, it's a high opex business, so we are a little watchful. So if you look at our overall gold in terms of the AUM per branch and the moment your AUM per branch is more than INR 7.5 crores to INR 8-odd crores, it is a highly profitable product for us to pursue. So you will see increase in our branches on a consistent basis, and the increase in gold branches we'll continue to do because they obviously are a yield enhancer for us on an overall portfolio, and obviously, the credit cost related to that product is also to the bare minimum.

Rajiv Thakker: On the hand loans, which you are asking, see, during the PD, so one is that we do 100% personal discussions for all the transactions, and whenever the credit manager visits the customer, he or she tries to understand that whatever assets he has create

d, whatever working capital he has

invested in the business, what is the source, what is the end use of the loans which he has borrowed. So based on the PD, he is able to gauge whether there are any hand loans or not because these are intricacies wherein you meet the customer and understand. So if there are any hand loans through the personal discussion is something which the credit manager understands.

Mahesh Dayani : And answering your question with respect to the industry analysis, so average ticket size of INR 10 lakhs, these are your mom-and-pop stores in your neighbourhood. So typically, your industrial analysis is more on cluster-driven businesses, which have slightly higher ticket sizes, so where you can probably derive the trend as to how the trends are moving, how the receivables are aging or how the inventory is aging. These are largely cash denominated businesses which you deal in. What you can actually build is the kind of businesses that you have, if it's a grocery store or a salon or what size and what scale of those businesses at what PIN code and what is the range of ticket sizes, which typically are borrowed by these businesses. That's a relative range that comes in, but obviously, you triangulate that further with your personal discussion with the customer and the other financial covenants that come along with it.

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Shubhranshu Mishra: Right. So can we split this into, say, trading and manufacturing, if that makes sense? Mahesh Dayani:

Yes. So the entire book largely is on the services side. So you have very little manufacturing where the ticket sizes are sub INR 40-50-odd lakhs, except largely the converters. But you won't have really pure manufacturers in this particular category of segment because clearly the investment in plant machinery is going to be significantly higher for them to fall into our category.

Shubhranshu Mishra: Right. And how many -- what percentage of our MSME customers have a hand loan? Do we have data on that? Sanket Agrawal: So, we would not know how many hand loans they would have, but what happens is generally when our collection team goes to collect, some bit of flavor we get that they also had a separate loan, which was not there in the record. So we would not get the entire hand loans at a portfolio level how many customers would have. Shubhranshu Mishra:

So it's fair to say that, that's possibly a grey area for the entire industry, if I have to pan out for the entire industry, the hand loan part of it? Aseem Dhru: Yes, so absolutely. Moderator: The next question is from the line of Nischint from Kotak.

Nischint: Just curious where do we see ourselves or probably the sectors in the cycle? 1+ DPD has gone up and kind of gone up quite meaningfully, I would guess a part of it may be seasonal. But again, you have kind of raised credit cost guidance as well. So is it something that you probably see the sheer delinquencies or flow outs increasing further or is it -- whatever has

flown up is something that probably you need to provide for? Aseem Dhru: No, see obviously, when you see a flow, there are 2 things that happen - One is that you provide for the worst outcome, but you bat for the best. So obviously, you would want that these flows be pushed back, and that is the attempt that we would be making. But when you are giving a guidance, obviously, you want to ensure that -- because at this moment, it is just flown so I mean, we also don't have a full answer to what's happening. See, you have to realize that while you may think that the operator who's doing the business is fully in control and he's always aware of everything, the reality of our business is that you are also responding to an economy that is at play. Our customers are across geographies, they are across ticket sizes, they are across businesses, et cetera. and you see a certain thing happen and it is very typical for a small ticket business to

behave this way. That for a long time, things are steady, and then one quarter something shakes it. So this time, it was Karnataka, something shakes it, and then when it shakes it, when our customers do not have an ability to pay multiples EMIs, so when a customer moves forward to bring the customer -- stabilization is a little easier, rollback is where the challenge comes. So that's the challenge that we have braced for. We will pull it. But since you want to model in your cost, which is helping you with an outcome. Nischint: The reason why I was asking this is because you're probably one of the first or maybe the first BFSI to kind of tighten screens around 15 months back, if I recollect rightly, and I think you've

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done it twice or thrice in the 15 months. But we have seen this increase. So is it something that kind of has happened suddenly, and it was like there are some trends that we could not read? Or is it something that there has still been a gradual flow despite the tightening? Mahesh Dayani: So I think, Nischint, obviously, when we were tightening the screens, we were tightening the screens for certain PIN code, certain states. Some developments, which probably happened in the last quarter was obviously outside the radar, and that obviously has some multiplier effect, and that's reflected in most of the results as well. So you wouldn't want to pencil in, but then what you can do is you can probably stay away from certain PIN codes and bring down the exposure till the time the tide settles. What we're only trying to say is that while the flows have happened and these flows will stabilize, it will take us a quarter or so to stabilize before we nurse it back. But we aren't really too alarmed with the situation because certain pockets where the flows have happened, we have a limited exposure in some of these areas. So clearly, there's nothing to be too worried or we need to pencil in any more costs than what we've already stated. Nischint: But you don't seem to be calling it transitional either. You would say that you're probably just trying to drive it a little more cautiously or do you think it's transitional? Aseem Dhru: Nischint, you have been in the industry long enough. The second half will be better, is transitory, are hope. So we do not deal in hope, we'll deal with reality as we face it. So we are -- as I said, we are prepared for the worst and battling for the best, so that's all we can do. But who knows? I mean, what is happening on the economy on the ground across the country, who is in a position to command and say for sure that this is transitional, this will pass? In the long run, everything is transitional. So if you take a very long view, everything is transitional. But reality is that you have to bat for the ball you're getting. And right now, the ball that's coming on to the pitch is bouncing uneven. Nischint: Sure. Just one -- maybe 2 tiny questions. One was on the co-lending -- sorry, co-originated AUM, which kind of has probably grown very marginally this quarter. Is there anything to read in it? Or is it just that these things probably even out over quarters? Mahesh Dayani: No, no. So these even out in a quarter. So even last year, in this quarter, the numbers were lower in the co-origination. Second quarter probably is going to be significantly better but that's been the trend, and that's been the cycle. Nischint: Sure. And just one final one. If you could give some sense or schedule or guidance in terms of how do you see credit cost coming off maybe over the next 2, 3 quarters? Sorry, I'm sorry. How do you see the cost of borrowing coming off over the next 2, 3 quarters? My bad. Narayan Barasia: Yes. So Nischint, so there are 2 very positive things which is happening. One is the repo has already slid by 100 basis points, and also there's ample liquidity in the system. So both are positives. Our cost of borrowing has also started

inching down, and so obviously, over the quarter-on-quarter, the cost of borrowing numbers will look obviously much better. It is very

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hard to put a number to it, but what happens is the transmission from repo to MCLR takes a little bit of time and so as the transmission happens, obviously, we'll get the benefit of the transmission. Aseem Dhru: See, if you want to see it differently, look at what I said in my opening comments, that there is going to be a 15-20 basis point increase in credit costs, but our entire earnings remain the same. So you will be able to work backwards to see what we are saying. Because see, also, we don't want to pencil in all the good news. Let it come. So I mean, there is good news on cost of borrowing side, so let it come. At the moment, we are penciling in a flat cost of borrowing as our worst-case scenario. Let the good news come because, I mean, we are quick to taking good news into Excel, but the bad news always comes from where we can't see it. Moderator: The next question is from the line of Mayank Mistry from JM Financial. Mayank Mistry: Sir, my question is mainly on the mix. As you have already guided you will try to manage around 15% in gold loans. But given the current scenario where the stress is piling up in a LAP book and also considering that even RBI is giving us a little relaxation in terms of LTV in gold loans, so isn't this the right time to maybe shift our mix slightly more towards gold loans, I mean, given the current scenario and probably get it back once the situation calms down? And my second question is on the PCR. Given that in this quarter, we had 1.1% of credit cost, despite this, our PCR has also declined. So I mean even if we do 15-20 bps more of credit costs, how do we see the PCR? I mean, at what level do you plan to keep the PCR ratio also on the overall cover on our book? Those are my 2 questions. Sanket Agrawal: On the PCR front, 1+ is usually not always going to 90 plus, it's sitting in the bucket 1 and 2 as well. So PCR is calculated on the NPA books that has marginally come down. It is in that range of 44 - 45%. So nothing too deep, to look into it. Narayan Barasia: So on the PCR also note that if you look at June '24 and you look at June '25, you'll see an increase in PCR, isn't it? So quarter-on-quarter, some movements may happen here and there, but if you see gradually, we have taken the PCR up over a period of time. Mayank Mistry: Okay, sir. And on the mix, sir? Mahesh Dayani: Yes. So I think on the mix side, probably if you look at our entire last 12 months and even on a quarter-on-quarter basis, you'll see our gold moving up by almost 40%-odd. This quarter is also closer to 8%-odd. Year-on-year, it should be close to around 37%, 38%-odd. We've been conscious enough and we've been investing in these branches in states where we are comfortable. I think gold, there is no underwriting or there's no credit risk. I think the largest risk is the operating risk. So it's not that you open 100 branches and 200 branches and you feel that the gold price is favourable and you can actually derive those particular results. I think the way we approach it is slightly different - If we are comfortable about a particular state or a geography where our returns and the operating metrics is in line with our expectations that we wouldn't

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mind going ahead and expanding. So to answer your question, we will remain invested in incremental branches coming through, and most of the branches are going to have gold with it. And coming to the MSME business, I guess all of us at SBFC have spent probably more than 2 decades in this particular business. We've seen enough cycles going up, going down. And I think the entire approach is that how do you address those particular cycles, there's a particular method to the madness in which you address them. You would want to probab

ly go a little slow in terms of disbursements in some pockets, you might want to accelerate your momentum in some category and some pockets. But you will have to balance, you just can't vacate a particular geography or you can't completely vacate a particular segment because of an event which has happened in a month or in a particular quarter if you are there for the long haul. What we are looking at it is probably a temporary space for which we have taken proactive actions in the last quarter. You will see some mix and colour changing from this quarter onwards as we speak, but this is largely for the long haul. And that's what we keep committed to the fact saying that irrespective of the seasons and the colour changing, our guidance of 5% to 7% in terms of growth momentum is going to remain unchanged. Mayank Mistry: Sure, sir. And also the mix, right, because I think that current branch expansion going faster in gold as compared to MSMEs, automatically your gold mix will start moving up. That's my actually question mainly? Mahesh Dayani: Yes, mix is largely going to remain the same. Mayank Mistry: Okay. And just can you give us some light on the ROA tree? Or maybe if you can give us segmentally, I mean what is the ROA differential in both the businesses? Narayan Barasia: So see, we are very profit and ROE-focused organization. The difference in the 2 businesses are fundamentally very different because the gold comes with a higher opex, the secured MSME comes with a low yield and low opex, right? So in a way, the ROEs are the similar numbers, and we steer to look at a 15% ROE over a period of time. So ROE today is about 13.5%. If you look at ROE every quarter, it has been moving up. Last year quarter 1 of 2024, we were at 12.3% and now it's at 13.5%. So over the period of time, I think we will see volatility. Sometimes the delinquencies are high, sometimes the gold business takes a knock, but I think both the businesses, we are steering towards 15% ROE. Moderator: The next question is from the line of Shubhranshu Mishra from PhillipCapital. Shubhranshu Mishra: There was one question which was unanswered. What is the 0 to 30 curing this quarter versus, say, a year ago? Mahesh Dayani: So we don't call out on that particular number. And largely, all I can tell you is that the trend is not going to be very different, although we've seen the 1+ moving up, but that's again for this particular quarter. But in terms of curing, and stabilizing, the percentages, we've not seen that very, very different.

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Shubhranshu Mishra: So largely, it's similar? Mahesh Dayani: Yes. Shubhranshu Mishra: And that is largely to do with our collection efforts, the curing remains similar on a Y-o-Y basis because what you alluded to is that the customer segment and certain ticket size is coming off, so it's more to do with our collection efforts in that case? Mahesh Dayani: It's not to do only with the collection effort. So in terms of our collection infrastructure, I think what we've done is we've invested in the collection infrastructure. We've got more than 550-odd people across our 215-odd branches. So I think the distribution is reasonably set. Answering your question in respect to curing, now curing has 2 parts - One, you either stabilize or you roll back. So my answer was that as long as you are able to stabilize first and then you can cure for it in terms of rollback. So as far as the stabilization are concerned, the percentages are largely similar. Shubhranshu Mishra: Sure. And if you can give out the number of loans that we do in MSME on a quarterly basis or a monthly run rate? Mahesh Dayani: So we do close to around 2,700, 2,800-odd loans on a monthly basis. Shubhranshu Mishra: Right. This run rate remains similar in the upcoming quarters as well? Mahesh Dayani: Yes. Moderator: The next question is from the line of Rahil from Crown Capital. Rahil: Sir, just one question - Any outlook or gu

idance on the return on assets? Sanket Agrawal: So we have seen stable ROAs since last couple of years. I think even when the leverage has gone up, we have managed to have our ROAs in the range of 4.5% to 4.6%. As we lever up, there might be slight compression, and we may, over a period of next 2 years go down to 4.2% to 4.25%, at which time your leverage from 3 will go up to 4. So this ROA, along with the leverage, we'll end up giving the desired ROE of around 15%. Rahil: Okay. So ROAs will see some compression over time? Sanket Agrawal: Yes. Rahil: So by when do you feel they can go back to current levels and more? Narayan Barasia: So Rahil, so see, the way it works is as the leverage improves, the ROAs tend to go down, right? It's only a function of leverage, isn't it? We are at a low leverage today and the leverage should improve from here. The good thing is and the most important thing is to see ROE, which whether the ROEs are improving or not.

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So whatever happens to ROA basis leverage, we should see the ROEs improving. So if you see the ROEs have been constantly improving quarter-by-quarter. It has been at 12.3% quarter 1 of last financial year, it is at 13.5% now. The question is whether the ROEs will move to 15% as we go on, and that's what we are aiming at. With increasing leverage, ROAs generally tend to slightly come off over a period of time. But what we are looking for is obviously a good spread as we go along. As we guided, the opex should as a percentage be coming down. The only thing is the leverage which will improve, which is good from an ROE point of view. Moderator: Thank you. As there are no further questions, I'd now like to hand the conference over to the management for the closing comments. Sanket Agrawal: Thank you so much for joining the call. Since we have done the call on the same day of the results, if there are any further questions, please do reach out to me. Thank you so much. Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

SBFC Finance Limited

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NSE Symbol: SBFC BSE Limited,
Phiroze Jeejeebhoy Towers,
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BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sir/Madam,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, please find attached the transcript of the Earnings Conference Call which was held on Saturday, 1st November, 2025.

The transcript of the earnings conference call is also being uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Investor Presentation – Call Transcripts'.

You are requested to take the above on record. Thanking you,

Yours faithfully,
For SBFC Finance Limited

Namrata Sajnani
Company Secretary & Chief Compliance Officer

Encl: as above

Page 1 of 14 "SBFC Finance Limited Q2 & H1 FY'26 Earnings Conference Call" November 01, 2025 MANAGEMENT: MR. ASEEM DHURU – MD & CEO MR. MAHESH DAYANI – EXECUTIVE DIRECTOR MR. NARAYAN BARASIA – CHIEF FINANCE OFFICER MR. SANKET AGRAWAL - CHIEF STRATEGY OFFICER MR. RAJIV THAKKER - CHIEF RISK OFFICER MODERATOR: MR. RENISH BHUVA - ICICI SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to SBFC Finance Limited Q2 & H1 FY'26 Earnings Conference Call Hosted by ICICI Securities Limited. As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Renish from ICICI Securities Limited. Thank you and over to you, sir. Renish: Thank you, Iqra. Hi, good afternoon, everyone. Welcome to SBFC Finance Q2 FY'26 Earnings Call. On behalf of ICICI Securities, I would like to thank SBFC Management Team for giving us the opportunity to host this call. Today, we have with us the entire top Management Team of SBFC represented by Mr. Aseem Dhru – Managing Director and CEO; Mr. Mahesh Dayani – Executive Director; Mr. Narayan – CFO; Mr. Sanket Agrawal – Chief Strategy Officer and Mr. Rajiv Thakker – Chief Risk Officer. I will now hand over the call to Mr. Aseem for his opening remarks and then we'll open the floor for Q&A. Over to you, sir. Aseem Dhru: Thank you. Thank you, Renish, and good afternoon, everyone. The challenge of any business built is that while one is building for the decades, one is accounting for in quarters. If I ask you what is your plan for the evening today, you are likely to be very specific. I am going to watch a movie, a play, go to a party. If I ask you about next week, you have something a little more general. The next quarter, details start to blur. The next year, you will probably say more directional thing. And the next decade, and we get into the territory of hope. Similar challenge a company faces when it looks ahead, a quarter, a decade, and a century. The challenge for any management is to get both, the next decade and the next

quarter right. At SBFC, when we look at how the most abused word in startup decks, you know, called the total addressable market, the TAM stands, we feel very bullish about the future. The total MSME book of loans between Rs. 500,000 to Rs. 3 million, which is our target segment, the total book, which includes banks, NBFCs, all kinds of lenders, between Rs. 500,000 to Rs. 3 million is about Rs. 4 trillion as we speak, and this has been growing at a CAGR of 24%, meaning it's doubling every three years. The best thing is, as far back as I look, these numbers have held, which means through peaks and drops, through interest rates and delinquency cycles, the market growth has

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neither accelerated nor decelerated. And when one looks at the decade ahead, one can safely presume that the market will grow at the CAGR of 20%, which means it will double in about four years. So, from 4 trillion that it is right now, it will go to probably 8 trillion by 4 years from today. Now, as we know, growth cycles are produced by interest rate cycles. India right now has one of the lowest inflation volatility in the world. This produces a low interest rate volatility, which feeds into lower growth volatility. Even if you don't want to get too technical, let's just know this – It is not the quantum of the move, but the volatility that kills you. So, low growth volatility is a really good place to be. On top of this, India, in my view, has a long-term trend of low real interest rates. We have decidedly entered a cycle of low real interest rates. A low inflation interest rate growth volatility, and a low real interest rate trend is music to a banker's ear. The long-term trend for India is very clear – It is up. In business, as in life, it is very critical to get the long-term trend right. While you may get the decade right, it would be posthumously for the management unless they get the quarters right. So, when we look

at the more immediate, we shift from the telescope to the microscope, and there is never any beauty one can find under a microscope. The near-term view is a chaotic bazaar with so much noise and cacophony that it gets very difficult to preserve your enthusiasm. To those of you who have followed our earnings call over the years, at the risk of becoming a I-told-you-so expert, we had seen and called out a shorter-term trough in April '24. Post-COVID, Indian lenders had kept the bar open for too long, and alcohol and money both have unlimited demand if they are easy to get on credit. RBI was watching this too, and in the second half of Fiscal '25, it read out the riot act on the unsecured lenders first, and then the microfinance sector next. We are in the business of lending loans that will need to get repaid every month over a long period of time. The business segment we lend to has uneven cash flows and operates in an undisciplined way. A few days back, the screen in our office displayed our live loan book rising in real-time as we saw loans getting disbursed across 220 branches. I usually see this excitement when an important cricket final is underway to a nail-biting finish. A loud cheer and applause broke out as we crossed Rs. 10,000 crores of AUM. Now, on a lighter note, I know the knife that came out to cut the cake that's been wheeled in is on my throat too, for we can truly celebrate only when the money has come back. We are the only business that expects sales returns to happen. These high-yielding loans price-in the incipient risk in them. Our job and raison d'etre is to price and manage this risk. Last quarter, in line with peers, we too had a large flow in our 1+ portfolio, in the previous June quarter. This quarter, while the tide hasn't fully stemmed, the intensity of the flow has calmed, and we are still very watchful, for we need to first stem the flow and then try to reverse it. There are a lot of numbers when a finance company puts out its results, but a first amongst equals, or

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the moral of the story, is return on equity. What is the return made by the shareholders who trusted us managing their money? We had constructed an ROE tree on the DuPont curve. The power plants step up the voltage for long-distance transmission and step it down to substations, and finally delivering it to your home, and when you flick a switch, the bulb comes on. Reporting this ROE of 14% this quarter for all of us at SBFC is how Edison would have felt when his bulb came on in 1879. "This damn thing is working!" moment. In finance, it is never so easy – we could arrive at this ROE by using a high leverage, and that isn't the ideal solution. So, one has to ideally reach it on a very low leverage, which means that you need to deliver a high ROA. At north of 4.5%, we are achieving 14% ROE at a debt/equity of under 2. I was looking at our first earnings call in September '23, where we had delivered an ROA of 3.8 and an ROE of 10.4. So, happy to see that we have doubled our quarterly profits since then, that was just after our listing. We have ample capital, and as we build to reasonable leverage, it should have a salutary effect on our ROEs going forward. We have two tailwinds powering our climb – Incremental borrowing cost is down 80 basis points over the book cost at the beginning of this fiscal. Over time, this will keep feeding into the P&L. Cost of operations has come down 112 basis points since our IPO, and incremental benefits will keep feeding into the P&L. But as we make investments for growth at a reduced pace of reduction, I would also like to draw your attention to the headwind we face – Tough credit environment, credit cost has gone up to 1.29%. Our PCR is at 46%, well above our stated intent to keep it north of 40% and we do not take into account the interest on NPAs and we do not upfront any income through DA or any co-origination to reduce our future earnings

volatility. I would want investors to know that while we are doing the best we can, we are solving a difficult problem, and the risks are evenly balanced. The yields on our business fairly compensate us for the elevated risk, and we won't sleep easy till the flow into 1+ is fully stemmed. What has changed over the years are the two risks that did not exist to this level earlier, political risk and climate risk. Karnataka is a classic case in point where a superb portfolio till January '25 got rudely shaken up in two months, and this now is going to take several quarters to fix once it starts to flow. We remain cautiously optimistic about delivering a 5% to 7% quarter-on-quarter growth. Credit cost could, from this point, inch up 10 to 15 basis points before they peaked out. We have further tightened our credit screens, stopped lending below 7 lakhs and raised the gate of entry to a CIBIL of 700 at a minimum level. And we now watch out for banking behavior and over-levered customers in a more tighter way than we did before. We thank you for your trust, and with this I hand you over to Narayan, who understands numbers far better than I ever will. Narayan Barasia: Thank you, Aseem. Hi, good afternoon. Our AUM as of September is Rs. 9,938 crore, and as Aseem said, we achieved Rs. 10,000 crore now, and this is with a growth of 29% on a YOY basis and 6% on a QOQ basis. With 100% of our books secured by properties and gold, we have

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a very minor unsecured book left, which is hardly in terms of percentage. Our MSME AUM, which is 82% of our AUM, grew by 29% on a YOY basis and 6% on a QOQ basis. We have added five branches during the quarter, with the total branch count at 220 as of September 2025. In terms of yield spreads and OPEX, the yield for the quarter is 18.01%, with an improvement of 2 basis points on a QOQ basis and 32 basis points on a YOY basis. Our cost of borrowing is at 8.96% for the quarter, with a reduction of 36 basis points on a YOY basis and also on a QOQ basis. Consequently, the spread for the quarter is 9.05%, with an improvement of 38 basis points on a QOQ basis and 68 basis points on a YOY basis. Our OPEX continued to improve due to enhanced operating leverage and has improved again by 19 basis points on a QOQ basis and 20 basis points on a YOY basis. This is in spite of a consistent increase in our branch network. In terms of asset quality, our GNPA is range-bound in Q2 at 2.77%, with PCR at 46.17%, with credit cost at 1.29% for the quarter. In terms of capital and return ratio, our capital adequacy ratio is 34.05%, with a tangible net worth of Rs. 3,174 crore as of September 2025. Our Return on Average AUM for the quarter is 4.56%, with Return on Average Tangible Equity further improving from 13.53% in Q1 to 14.09% in Q2. We made a PAT of Rs. 109 crore for the quarter, thereby reporting a growth of 30% on a YOY basis and 8% on a QOQ basis. With this, I open the floor for question and answer. Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Gulati from Gulati Wealth. Please go ahead. Abhishek Gulati: Hi, sir. Actually, the number was great. Sir, I want to ask what is the future outlook? Actually, I missed the opening remarks if you have said so. Aseem Dhru: I mean, I gave a fairly long monologue on what the outlook is. For us, the outlook continues to be what we had guided, no change in guidance. We hope to continue to grow at 5% to 7% AUM quarter-on-quarter. And we hope that the credit cost here will start getting range-bound, but may increase another 10-15 basis points from here. Apart from that, it is business as usual. We have crossed 14% ROE, and as more things go our way, in terms of what has been said as operating leverage, hopefully, it will have the effect on ROE. Abhishek Gulati: Understood. And in terms of are we focusing on higher ticket size loan, because most o

f the NBFCs currently are focusing on higher ticket size loan because of the NPA risk. We are also witnessing the same thing? Mahesh Dayani: So, higher ticket sizes are typically range-bound and they are, from 5 to 30 lakhs is a sweet spot. What we had mentioned in our last call for last quarter was that we will move away from the lower ticket size where we feel that the stress is building up, which is the sub 7 lakhs. So, if you look at our average ticket size for this particular quarter, that's moved up marginally from closer

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to 9 lakhs to 10.2 lakhs for this quarter, and that's largely also because of a higher co-origination with ICICI. So, to answer your question, our large tickets, the way we define is more between 10 and 30 odd lakhs. Abhishek Gulati: Understood. And one more thing, in terms of the NPAs, that's still the credit cost we are also guiding could interrupt. So, we are seeing a stress in a particular type of loan, particular customer behavior that we have found in which we are seeing more risk? Mahesh Dayani: So, let me break this into two parts. So, one is a segment, and one is geography. If I were to look at a segment, the segment that we had called out not last quarter, but probably a year back, is that we are seeing stress building up on the lower ticket size. So, that call out holds and that's something that we've shied away from doing it. So, as a result, you see our volumes also dropping in Quarter 2 compared to the previous quarter. To call out specific geographies, as Aseem mentioned out a specific state in South, where we mentioned that due to an ordinance issue, clearly the portfolio color hasn't been what it was till about January and March. So, it's a combination of both, and that's the reason we said that we're not out of the woods as yet. We will see some bit of pain continuing before we see the trend reversing. Abhishek Gulati: Understood. And just last thing, how long we are seeing the trend to be continued in the rising NPAs? Anything that this is your experience that you can see? Mahesh Dayani: It's very difficult to, I mean, if we could see the sunset and if we could time it, it would have been perfect, I would have given you that answer. But all that we can tell you is that quarter two was slightly better than quarter one. Is it going to end in Quarter 3 or in Quarter 4? That's going to be a wild guess so, we wouldn't want to commit to that. But all that we can do is if you are in that kind of an environment, you'll be a little watchful, you'll tighten your credit filters. You can't really avoid the credit cost completely, but you can obviously soften the blow. Abhishek Gulati: Understood. That's it from my end. Thank you. Moderator: Thank you. The next question is from the line of Nitesh from Investec. Please go ahead. Nitesh: Thanks for the opportunity and congratulations for a good set of numbers. So, first question is on the asset quality stress that we are seeing. Is it only Karnataka specific or are we witnessing stress in other geographies as well? Mahesh Dayani: So, in terms of our portfolio, we have Karnataka where we hold close to around 11%-12% odd. Although we have gone a little slow, but obviously, there's a legacy book or a large portion of the book there. The trends in the remaining two states, which is Andhra, Telangana are pretty much holding on. But I think Karnataka is one state where we'll be a little watchful. We are present in Tamil Nadu, but the portfolio is not very large.

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Nitesh: Sure. And how are you seeing trends on the customer leverage? As we have again started seeing very sharp growth in the unsecured segment, which has been a bit weak for one year, but again, in this quarter, we have seen a lot of lenders growing unsecured book pretty sharply. So, how are we seeing customer leverage trend specifically in your customer base? Mahesh Dayani: Yes. S

o, I think what we are now trying to do, probably if you look at our investor slides, you'll see our CIBIL scores, which were more than 700, that's inching up by almost 200 basis points. We were close to around 86% on the portfolio that's moved to almost 88%. If I were to talk about the new disbursal, almost I think 95%-96% of the customers onboarded are more than 700 and some of them more than 725. Now, typically, what we look out or what we call out are those set of prime customers within the affordable category, where the number of loans, at least at the time of boarding, is relatively less. So, what we're trying to do is trying to filter out over-leveraged customers. It has an impact on our volumes. So, you see our volumes down by almost

6%, but I guess that's the right thing for us to do. And even after we put out those filters, our overall growth projections do not change. We are disbursing close to around Rs. 800 crores in a quarter. If we were to just stay where we are, that's Rs. 3,200 crores in a year. That will still be 20% than the previous year. So, I think we're pretty much comfortable where we are despite tightening our underwriting filters for prime customers in the affordable space. Nitesh: So, we have tightened the underwriting filters last year. We have further tightened them in this quarter or? Mahesh Dayani: Yes, we have further tightened them in this quarter. Rajiv Thakker So, this is a continuous process because the way we did some triggers last quarter also we had tightened some of the norms and even this quarter we have tightened some norms. So, there is a continuous process and of course, whatever learning we get from the portfolio, we just try to plug it. Nitesh: Sure. And last question is from a medium-term perspective, do you have plans to add more products apart from MSME and gold loans? Mahesh Dayani: No, I think within the ticket sizes, that's a pretty long range. So, when we say that we have anything between 5 and 30, so a 30 lakh customer or somewhere about gives you a yield which is slightly lower and as you keep nearing between 8 and 10 lakhs, the yields are a lot different. So, these are different segments, different products within which what we play and it's a combination of geographies. I think there's enough and more for us to do in the distribution that we've laid across these 15-16 states. So, I don't think from a medium-term we will add any more products, but yes, our investment in the distribution will continue to be there because we still feel that a lot of states are underserved and our distribution in some of the geographies are yet to sweat in.

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Nitesh: That's it from my side. Thank you. Moderator: Thank you. The next question is from the line of Prithviraj Patil from Investec. Please go ahead. Prithviraj Patil: So, thanks for the opportunity. Just one question on the micro-LAP portfolio that you mentioned that we stopped doing under 7 lakhs. I just wanted to know how do we look at the write-backs or recoveries from the small ticket portfolio? What is the tenure when we can expect a write-back or is it just a write-off that we see?

Mahesh Dayani: No. So, I think it's going to be a little unfair to say that your LGD on that is almost 100%. That doesn't work that way. It goes through its process, but yes, the time that it takes for the small ticket portfolio, which is sub-7 lakhs, is fairly longer. I would probably just give you some sense that if I am doing something under SARFAESI at a scale of one, then probably if it's a smaller ticket, which is sub 7, sub 6 lakhs, then the timeline is almost twice of what probably you would have on a SARFAESI side. But yes, there is time value of money that you would probably consider, and that's the enhanced credit cost that comes along with it, but that also gets compensated with a higher yield. Having said that, our percentage portfolio on the overall book that we have is fairly small

I. So, we really aren't too concerned as to what is the amount of credit cost that's going to come from that portfolio. Rajiv Thakker: Just to add the covers in this segment particularly, so our LGDs would be sub 50. So, that also helps us down the line. Prithviraj Patil: Okay. Thank you. And just one more question. What are the number of branches through which we're doing gold loans and how do we plan to scale it in the future? Mahesh Dayani: So, we are currently closer to 185-odd branches out of 220 branches where we offer gold. Incrementally, you would see more number of branches coming in for gold. My sense is that in the next two quarters, we should add close to around 15 branches for gold. Prithviraj Patil: Thank you. Moderator: Thank you. The next question is from the line of Prakhal Goyal from Anived Securities. Please go ahead. Prakhal Goyal: Hi, everyone. Thanks for taking my questions. I have three questions. First is to Aseem. Aseem, we saw in the PID disclosures that your personal holdings came down meaningfully over the last quarter. Could you please share some context? Was it mainly a personal diversification or a liquidity decision? And should we expect any further such transactions? Aseem Dhru: Since eight years, all the money that I have ever made is in this stock, and the purpose is to create liquidity for myself.

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Prakhal Goyal: Got it. Fair. Second, on asset quality, while GNPA has stabilized on a QOQ basis, the 1+ DPD bucket has been inching up for about 10-11 quarters. What level of 1+ do you consider healthy for this kind of portfolio mix? Aseem Dhru: Well, there is no absolute level. As I said in my opening commentary that this is a level that we are concerned with and watching it, the velocity of the fall has come down, but it is still not stemmed out completely. So, we are hopeful that we should see improvement in that, but clearly, it's not a level that is something that we are comfortable with and we have to manage it, handle it, and bring it down. So, there are certain specific things that have added to it. Some we couldn't control, the Karnataka portfolio that I mentioned, and then some which we think we can control through better credit buying, which we will do, which is something that we've been doing every quarter. We will keep tightening the credit screens until we get to a more comfortable position. Prakhal Goyal: Understood. Just one, last question on excellent improvement on cost-income ratio. We are growing revenues and profits at about 30%, but employee count seems to be up only about 10% YOY. Is there any timing or lag effect here or should we read this as a structural operating leverage coming through? Mahesh Dayani: So, I think what we've been doing is there has been a distribution that's been laid. There's been an investment in employees that we've been doing. And what we've always called out that we will not be in a hurry to add branches unless and until my existing set of distribution starts to sweat. Just to probably take my point further, if you look at probably slide 15 or slide 16, where we give a split of our distribution, you'll see that now over a period of time, almost 60% of our branches are more than three years with an average AUM of more than Rs. 60-65 odd crores. And just to give you a sense that the moment the branches are more than 40 odd crores, they cross an ROE of close to around 15% and beyond. You have a set of branches, close to almost 25% of the branches, which are between 1 to 3 years, where we feel that there's still a lot of work to be done and that's more like Rs. 25 crores per branch. But that's also a significant ROE of close to 10%-11% odd. And then you have the balance 15%, which are less than 12 months. So, I think the whole idea is that there is a period where we feel that we'd like to consolidate and see that how are the branches performing, how are we sweating this distribution, is the cost r

eally making it up? Because one thing what we started, which was contrary to our segment, is that we started with an extremely high OPEX, and while we had promised that over a period of time it's going to keep coming off, but we were

conscious that, you know, the unit economics at a branch level clearly needs to deliver and that's how it needs to sum up. Now, I think with every passing quarter, as the distribution is beginning to sweat, as the numbers keep on growing, there's more confidence for us that this model is working, the unit economics at a branch level is beginning to throw up the required income that was projected and gives us the confidence to invest further in our franchise. And that's how, in the opening commentary, we mentioned that our OPEX, what we have guided that we will try and bring it down every year, is something that we're living up to.

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Prakhal Goyal: Got it. Thanks. That's it from my side. Moderator: Thank you. The next question is from the line of Harshit Toshniwal from Premji Investment. Please go ahead. Harshit Toshniwal: Hi, sir. Congratulations for a great set again. Sir, two questions. One is that if I look at our employee base, if you can also help us that, how much would that be for gold loan business amongst them? That is one question. And the second was on the operating leverage piece that, so the operating leverage improvement, which we have seen, how much also would you want to ascribe towards gold loan being there in now more branches and the efficiency which is coming up with the, in general, the price increase in the AUM increase. So, that was one and probably just one to it and the continuation of the last question that the branch addition target, which we should look at from here on to achieve that 5% to 7% Q-o-Q growth. I had one more question if time permits. Mahesh Dayani: I think one of the probably the dumbest thing that probably we'd like to follow is that keep increasing the number of people and the number of branches to chase growth. I think the idea is that there has to be some bit of efficiency that needs to come in for us to deliver a superior, you know, at least at a PPoP level, it has to be a lot better. So, if my AUM is growing or my income is growing at an 'x' level, my PPoP should probably be better of that, and that's where the operating efficiency has come in. Having said that, I think what we have guided is that we would probably add 20 or 25 branches in a year. That's something that we are comfortable with in select states where we seem to be getting our businesses right at the right deals and at the right cost. Coming to answer your question on gold, we have close to around 185 odd branches. There are close to around 8 to 10 people in a branch that comes in. So, roughly around 1500 to 1600 odd employees, including the front end and the back end would be on the gold side. Harshit Toshniwal: Understood, sir. And one more thing if I can ask that probably this might have been answered in previous calls, but just pardon me the naivety, but when we look at the disbursement growth, we saw four quarters of probably a mathematical slowdown, but I think there was some change in the way the recognition happened. And last two quarters, since the base is again normalized, so we are seeing a better growth. So, when we look at the 20% YOY growth, is there anything in the accounting that does not make it like-to-like, if you can just help clear this basic question? Mahesh Dayani: No. I think what you're referring is to the disbursements for last year where it was in the range of 675 to 700. There was a dip in the last year first quarter, which is June 24th, where there was a circular, which mentioned that you would disburse based on the actual receipt in the customer's account, so, there was one reset which happened and then subsequent numbers started to inch up over a period. That was also unfortunately a period where we said

d that we are beginning to see early signs of stress coming in for a smaller segment, and that's the reason you didn't really see a big bump up coming up in the subsequent quarter. So, you would probably at best see a bit

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of a straight line that came in. And there was some bit of an uptick, which probably happened between Quarter 3 and Quarter 4. And then you saw a tick in quarter one and that's what we intend to do. What we mentioned earlier, I don't think we're in a hurry for really capturing a high market share in a segment where probably we'll spend a lot of time trying to get our money back. I think the whole idea was that at a current run rate of disbursement, we need to be very comfortable that we don't really break any operating risk or a credit risk or a human capital risk. As long as we are adhering to all three at a comfortable pace, we should be okay. But just to answer your question, there's nothing that has changed in the way we were accounting, everything is like-to-like compared to last year versus this year. Also, to give you further comfort, I think our distribution, what we have is good enough to generate anything closer to Rs. 300 crores a month. That's almost Rs. 900 odd crores. I think it's by design that we've decided to walk away from some parts of geography where we aren't originating or some category of customers that we are not comfortable onboarding. Harshit Toshniwal: Okay. One thing, and this is not related to the numbers, but in general, as an industry, do you think that the SARFAESI advantage, which is there for HFCs, do you envisage a situation where that can come for NBFCs? Or should we look at that being a very big advantage in terms of the way we operate? I think currently it's 20 lakh loan value above which we'll be able to get. But do you think that this is one aspect where government or the regulator is also looking? Aseem Dhru: I can't comment on what the regulator is doing, but I can certainly say that it is a level playing field that NBFCs deserve to be on. And there is a regulatory arbitrage against the NBFC, and I hope that it gets recognized and removed. Harshit Toshniwal: Understood. It will be a meaningful difference because it is that regulatory arbitrage is actually a reasonable arbitrage. Aseem Dhru: Yes. It's a very meaningful one. The time frame of resolution can be more than 3x to 3.5x of SARFAESI. Harshit Toshniwal: Got it. Perfect. Thanks a lot, sir. All the best. Moderator: Thank you. The next question is from the line of Mayank Mistry from JM Financial. Please go ahead. Mayank Mistry: Hi, sir. Thanks for the opportunity. So, my question is mainly on the MSME disbursement. So, largely it has remained stable during this quarter given that you have tightened your underwriting a little, which has led to a little lower growth in disbursement. But when I bake in, only if I bake in 3% to 4% sequential growth in this disbursement, I have been able to gain 5.5% sequential growth for next two quarters. So, I am just trying to decode, I mean, will the run rate move up from here or with the tightened disbursement, will the run rate remain stable over the near term?

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Mahesh Dayani: I think the disbursement outlook is going to be a function about how the 0+ is behaving and how are the credit parameters behaving. I think, as I mentioned earlier, we have a capacity, whether it's in terms of number of people or number of branches, to really ramp it up, but I don't think we are yet in a position to go ahead and do that. As I mentioned earlier that we've already gone ahead and tightened the filters. All I can tell you is that that's almost a 10% drop from our run rate, so if

we're actually disbursing 800, all I can tell you that we're leaving almost 10% on the table if we were to filter out all the underwriting norms that we've left behind. So, I don't think we are chasing growth at the co

st of credit or at the cost of an operating risk that may come along with it. So, if that means that probably we will marginally probably come off in terms of our ME growth, but our guidance on the 5% to 7% or a 25% to 30% will still continue to hold up.

Mayank Mistry: How much has it impacted our rejection rates in the last quarter? Mahesh Dayani: So, earlier our rejections, in fact, let me swing it the other way. I think our approval rates earlier used to be in the range of 45% to 50% odd. That's

probably gone down to below 40% odd. Rajiv Thakker: And this is in spite of the fact that the login filter itself is tighter. So, it is plus plus, because we don't allow logins beyond a cutoff. Mayank Mistry: Okay. sir. Thanks a lot and all the best. Moderator:

Thank you. The next question is from the line of Abhishek Gulati from Abhishek Wealth. Please go ahead. Abhishek Gulati:

Hi, sir. So, actually my question is how much leverage we are planning to go to? Currently, as I can see, we are 3x leverage.

So, what is our leverage target for at least 2 or 3 years down the line that we're targeting? Narayan Barasia: So, our debt-to-equity is sub 2, while asset-to-equity is 3, but debt-to-equity is sub 2. From a banking covenant point of view, we are

permitted to go to debt equity of 5. But what we believe is anywhere between 3 and 4 is somewhere we will go to the market and start raising equity capital. So, as of now, we are sub 2, at least we'd like to reach to 3 and then revisit this. Abhishek

Gulati: Understood. And eventually, the ROE target that we are targeting? Aseem Dhru: We'll let it come as an outcome.

We're not targeting any ROE. We had guided a 15% ROE. Let us first build to that and then we will talk about plans ahead. At the moment, the guidance continues to be 15%. Abhishek Gulati: All right. One more thing in terms of during the tough time

also, we are able to manage to grow like around 6% QOQ and 30% YOY. So, during this time, the companies that used to guide the same growth are also not able to do the same. So, what we are doing differently, just I want to

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try to understand what we are doing differently that we are able to deliver in the tough environment as well. Aseem Dhru:

Nothing different. We are trying to do the same boring thing and improve at it. We are making our mistakes, correcting, learning and we are at it. Nothing is for sure, but we are trying our best. God has been kind. We have the best team in the

business and they are sometimes surprising us also with what they are able to do that as we keep cutting and keep increasing our credit screens, they are still managing to get in more and do the numbers. So, I would give the full credit to the

team, both business and credit, which is making it happen. Abhishek Gulati: Understood. Great work. Thanks to the entire

team. Moderator: Thank you. The next question is from the line of Prithviraj Patil from Investec. Please go ahead. Prithviraj

Patil: Sorry for coming back in the queue. I just wanted to know how do we think of the borrowing? So, what percentage of the borrowings is fixed rate borrowings and what percentage of our advances is fixed rate? And then how much of the repo

benefit have we seen on the borrowing side? Narayan Barasia: Okay. So, we have matched the asset and liability pretty well.

On the asset side, first, the entire secured MSME portfolio is on a floating rate. Gold business is a very short tenure business ranging from 6 to 12 months and is a fixed interest rate, but since the tenure is small, it hardly matters. From a liability side,

we tend to keep everything floating just to match the asset side well, so virtually almost about 90% of the loan will be on the

floating side. To your other question on to how much has been passed on, so 100 basis point repo reduction has led to almost about 80 basis point reduction on MCLR by private sector bank and public sector bank is yet to follow,

there has been a very minor reduction there. So, to that extent, the flow is still happening, the transmission is still happening.

We have baked in and captured certain reduction in the repo already in the financials and we believe that we will capture certain more part of the reduction as we go along to future. Prithviraj Patil: Okay. Thank you. Moderator: Thank you. The next

question is from the line of Manav Shah, an individual investor. Please go ahead. Manav Shah: Sir, continuing on the

previous participant question. Sir, he told regarding the spreads and the margin. So, what will be your outlook? So, it can improve from here on as well? Aseem Dhru: No, we are already above our guided range and do not anticipate any further

increases from here. Manav Shah: So, it will be stable around this level, right? Around 9% of spread for FY'26?

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Aseem Dhru: Yes. Manav Shah: Okay, sir. Thank you. Moderator: Thank you. The next question is from the line of Aakash

Jha from Five-Star. Please go ahead. Aakash Jha: Hi, sir. Congratulations for a great set of numbers. So, I wanted to

understand the Karnataka issue. Several unsecured lenders have mentioned that conditions are improving for them on the ground. So, what are our expectations going forward? Mahesh Dayani: No, I cannot comment on the unsecured lenders as

such. All I can tell you is that what are we seeing on the ground with respect to the secured on the smaller tickets. If I were to actually flesh it out further, I would say that the smaller tickets are not showing sign of improvement as yet. Yes, there is some

bit of improvement and stabilization on the slightly larger tickets, but that is what it is. And what we had mentioned, the

positive is that it is not worsening. But we are yet to see that a lot of customers who had flown actually get back to current. So, we are able to stabilize them, but we are not able to get them back to current. And that is the reason we said that we will be

cautious in those markets. Aakash Jha: Okay. And what is the total exposure in Karnataka? Mahesh Dayani: Around 12%

odd. Aakash Jha: Okay. And one last question sir. Is there further scope for the gold loan mix from current levels in a total

AUM? Mahesh Dayani: It would move up a percentage here or there. Aakash Jha: Okay. Thank you. Moderator: Thank you.

As there are no further questions from the participants, I now hand the conference over to the management for closing

comments. Sanket Agrawal: Thank you for joining the call. If there are any further questions, please do reach out to me.

Thank you. Moderator: On behalf of SBFC Finance Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Jan 2026

SBFC Finance Limited

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31st January , 202 6

National Stock Exchange of India Limited ,
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Phiroze Jeejeebhoy Towers,
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Mumbai – 400001.
BSE Equity Scrip Code: 543959

Sub: Transcript of Earnings Conference Call

Dear Sir /Madam ,

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the Earnings Conference Call which was held on Saturday , 24th January , 2026.

The transcript of the Earnings Conference Call is also being uploaded on the website of the Company at <https://www.sbfc.com/investors> under the section 'Investor Presentation – Call Transcripts' .

Kindly take the same on your records.

Thanking you,

Yours faithfully,
For SBFC Finance Limited

Namrata Sajnani
Company Secretary & Chief Compliance Officer

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"SBFC Finance Limited
Q3 FY '26 Earnings Conference Call "
January 24, 202 6

MANAGEMENT : MR. ASEEM DHURU – MD & CEO
MR. MAHESH DAYANI – EXECUTIVE DIRECTOR
MR. NARAYAN BARASIA – CHIEF FINANC E OFFICER
MR. SANKET AGRAWAL – CHIEF STRATEGY OFFICER
MR. RAJIV THAKKER – CHIEF RISK OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to SBFC Limited Q3 FY '26 Earnings Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Chintan Shah from ICICI Securities Limited. Thank you, and over to you, sir.

Chintan Shah: Yes. Thank you, I sir. Good evening, everyone, and welcome to the Q3 FY '26 Results Conference Call of SBFC Finance Limited. I would like to thank the management for giving us the opportunity to host the call. We have from the senior management, Mr. Aseem Dhru, Managing Director and Chief Executive Officer; Mr. Mahesh Dayani, Executive Director; Mr. Narayan Barasia, Chief Finance Officer; Mr. Sanket Agarwal, Chief Strategy Officer; and Mr. Rajiv Thakker, Chief Risk Officer. For the call, we will have an opening remarks from the MD sir, post which, we will open the floor for questions.

So now without much ado, I will transfer over the call to MD sir. Thank you, and over to you, sir.

Aseem Dhru: Thank you, Chintan. Good afternoon to everyone. and I'm sorry, I have a bad throat, so I may sound even worse than usual. On the horizon, I see the following four things play out:

One, Ben Bernanke had said and now all countries across the world have been spraying money from helicopters. The central banks are finding that the link between their interest rate and market interest rates has broken. U.S. and India, if you see 125 basis point reduction in repo rate happened and the G-Sec yields have firmed up by 50 basis points. In U.S., the same thing is happening. Next year, it looks like the Indian government between the state and center will have to borrow over INR30 trillion on G-Secs. Considering all of this, I see that next year, the interest rates are actually beginning to harden more than soften that we are seeing right now. So, there is a change in season that I see playing out ahead. Banks also still haven't passed on their rates, I mean, if you look at nationalized banks, their MCLR has come down by not more than about 30 basis points. So, while repo rate has gone down, the transmission of these interest rates down the line is not happening. They also have their own constraints on the fight on deposits. RBI has its own challenge in terms of managing the velocity of currency, and this year we will continuously see the circus of defending the rupee fall, sucking out rupee liquidity and then injecting that through market instruments, injecting the liquidity back. This ensures that the rate of interest this year is likely to either remain same or harden and unlikely to soften going forward.

Second, the latest financial stability report of RBI has some concerns flagged. Household debt is increasing at double the rate of financial asset creation. Between 2019 and 2025, the report says that the household debt doubled to INR15.7 trillion, while the asset additions dropped from 12% to 10.8% of GDP, and liability went up from 3.9% to 4.7% of GDP.

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Now, if you look at the end use, generally if retail money is going towards home loans, that is a good place for it to go, and which is positive. Unfortunately, what is happening in India is that 36% of the money is actually going towards asset creation, and end-use consumption is 46%. So, no asset is getting created for 46% of money. That means half the loans that people are taking are, in a sense, fiscal deficit of their own that they are financing. If you look at asset creation, about 3

6% of the loan goes towards that. For productive purposes, which includes things like agriculture, business and education, etcetera, it's about 18%. So, we are seeing weakening individual balance sheets, and which means that the loan growth will slow next year.

The third thing, which is a positive is that the year before, stock markets did very well, so the wealth effect was felt by the rich. But this time, gold has done brilliantly, so for the first time, there is a wealth effect that is being felt at the bottom of the pyramid. As of now we have about 35,000 tons of gold. So effectively, what's happening is that the value of this is beating our stock market handsomely. There's a wealth effect that is playing out at the bottom of the pyramid, which is a very positive factor.

The fourth positive factor is that oil is likely to remain well behaved, and that's a good tailwind

for India generally . It takes a lot to keep something boringly consistent, especially when everything around us keeps moving. We have to move the boat steady and headed in the right direction at the right speed despite all the crosswinds and currents that we meet.

I'm happy to report one more nothing -to-report quarter at SBFC. I would like to take you back to our JFM of last year, where we mentioned that Karnataka ordinance has disturbed our steady portfolio. If you remember in the last April call, we had said that the damage of a quarter takes 3 quarters to repair and another 3 to 4 quarters to restore. We are now 3 quarters down since the damage , and we are seeing that the flow is now contained, but it will still take more quarters to start pulling back to earlier levels. So, we continue to guide with caution and there is no change in our stance that we have declared so far.

We are on track to end this fiscal year FY '26 with an AUM growth of 5% to 7% quarter -on-quarter, a 50 basis points reduction in operating cost and credit cost where it is right now with a 5 to 10 basis point variation that can happen.

Now to end this commentary right now , there is never a right time to do anything , but sometimes you feel it is that time. It is a season of change at SBFC, where I hand over the baton to Mahesh Dayani. It is also a season of continuity as I move into the role as a Non -Executive Vice Chairman. I hope I can continue to add value to SBFC as a coach from being a player.

Thank you so much , and with this, I hand over the call to Narayan, who will take us through the numbers.

Narayan Barasia: Thank you, Aseem. Good evening, everyone. The AUM as of 31st December '25 is at INR10,478 crores with a growth of 29% on a Y - o-Y basis and 5% on a Q -o-Q basis, with almost 100% of our book secured by properties and gold. The MSME AUM is INR8,497 crores , which is almost 81% of our total AUM, which has grown by 25% on a Y -o-Y basis and 4% on a Q -o-Q basis.

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The loan against gold is INR1,954 crores , which is 19% of our total AUM, have grown by 48% on a Y -o-Y basis and 14% on a Q -o-Q basis.

We have added 10 branches during this quarter with a total branch count at 230 as of December 2025. The yield for the quarter is at 17.78%, with a reduction of 23 basis point on a Q -o-Q basis and 3 basis point on a Y -o-Y basis. The cost of borrowing is at 8.74% for the quarter with a reduction of 22 basis point on a Q -o-Q basis and 57 basis point on a Y -o-Y basis. Consequently, the spread for the quarter is 9.04%, which is at the same level on a Q -o-Q basis and has improved by 54 basis point on a Y -o-Y basis.

The opex continued to improve due to enhanced operating leverage in spite of our consistent investment in our branch network. The GNPA is range bound at 2.71% with PCR at 46.2% and a credit cost of 1.29% for the quarter.

The capital adequacy ratio is sufficient at 31.7% with a tangible net worth of INR3,306 crores

as of

December '25. The return on average AUM for the quarter is at 4.67%, with return on average tangible equity further improving from 14.09% in Q2 to 14.56% in Q3. The PAT is at INR118 crores for the quarter, thereby reporting a growth of 34% on a Y -o-Y and 8% on a Q -o-Q basis.

With this, we open the floor for question and answers.

Moderator: The first question is from the line of Raghav from Ambit Capital.

Raghav: Hey, thanks for the opportunity and congrats on the numbers. I have two questions. One, why have the disbursement volumes declined? At first, I would have assumed that it's because of higher stress , but when I look at the absolute slippage number or even the GNPA numbers, the stress situation seems to be largely stable, no major spike and even early buckets are also stable. So, if stress formation is stable, is it competition which has impacted the disbursement volumes? Just wanted some color there. And then I have another question.

Mahesh Dayani: Hi, this is Mahesh here. On a lighter note, to begin, I think it's important to review your past stupidity so that you are less likely to repeat them. When we got into quarter 3, the outlook way back then wasn't too great. Also, we had called out a little early that this quarter or quarter 3 is going to be a lot more cautious.

Even while we are speaking of the color of the portfolio quality, South in particular, if you look up the bureau scores are yet to be steady. So, they are still flashing amber and are not green , whereas West and North markets comparatively are a lot better. So, most of the impact that actually happened with respect to our disbursal growth came in from the Southern and the Eastern markets and what we did was that we had tightened our filters with respect to bureau scores and also paused some disbursement in some of our key markets and that's where the big impact is. As you rightly mentioned that November, December seems to be a lot better than probably what we thought and the numbers for November, December seem to be encouraging, and we are looking at quarter 4 to get our disbursals back. But as Aseem articulated in his opening remarks,

our mood is still very cautious because the bureau numbers are still flashing amber and it's not green as yet.

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Raghav: Understood. See, your employee base has also been coming down, right? And I would assume that's largely because your outlook has been a little cautious with respect to generating business or doing disbursements. So, once you get the confidence on disbursements and on growing the business, is it fair to assume that your employee hiring will also step up?

Mahesh Dayani: Yes. If you look at our employee count, our employee count hasn't dropped. Our employee count over the last quarter, in fact, has gone up. The comforting factor is that my distribution and my people are there. The outcome with respect to the disbursement momentum is more internal that we've done it on ourselves.

As the market tends to improve and as the outlook tends to improve, getting back to the disbursements is not going to be a challenge. Just to give you a sense that last year, if you probably just go beyond a quarter, last year, our disbursements were close to around INR2,600 -odd crores. In the first 3 quarters, even if I were to add the current run rate, we'll be comfortably at between INR3,000 crores to INR3,100 -odd crores. So, our disbursement run rate will always be at between 18% to 20 -odd percent. I don't think we are too bogged down with the momentum for quarter 3 because quarter 3 was more conscious of stabilizing our flows and I think that's what we kept reiterating. Looking at the quarter 3 numbers, we are in a lot more confident position, both on our 0+ and 90+, which gives us the confidence to speak out that quarter 4 is going to be significantly better in terms of momentum compared to quarter 3.

mpared to quarter 3.

Raghav: Understood. My bad, I stand corrected, your employee number has gone up in Q3, so sorry for misreading that. The other question I have is that your Chief Collection Officer has also resigned.

Can you give me some color on who will step into his place and steer this collection ship? Also, can you give me some color on the team strength and maybe the hierarchy in the collections vertical from which we can draw some comfort that despite this resignation, the collections will not be impacted?

Aseem Dhru : No. See, it's a slightly largish collection setup that we have all through, both for early buckets as well as matured and NPA buckets. There are about 550+ people in collections team on the ground. The new collection officer will be joining by the end of March, and in the first week of April, he should be there.

Down the line, because we have a metric structure, there's a zonal head, there's a regional head, there's a full setup below, we don't anticipate any disturbance because of that. We wish him all the very best. He's been with us for a good period of time, he's seen the entire COVID period and he has done a good job with us. We wish him the very best for his next move. But for SBFC, it will be business as usual.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh: Thanks for the opportunity. Sir, first question is on ARC sale. I noticed that we have done some ARC sale in this quarter. Is it in gold or SME business?

Narayan Barasia: This is on MSME business.

Nidhesh: So, our 1+ DPD number also gets deflated because of ARC sale, right?

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Narayan Barasia: The assets which are sold to ARC are NPA. But yes, since 1+ also includes NPA to that extent, yes, what you're saying is right.

Nidhesh: Sure. Secondly, can you quantify the impact of labor code? And I noticed that our opex has reduced in absolute numbers on a Q-on-Q basis, so what is driving that? And are there any one-offs in opex?

Narayan Barasia: The impact because of the new wage code is INR2.24 crores for this quarter. That's a one-time impact. Obviously, there were some excess provisions which were no longer required and so those were reversed. It is just a routine expenditure reversal, no one-time in a way, but obviously, a routine expenditure, which we thought will be there, but no longer was required.

Aseem Dhru : As we are seeing the environment, ultimately, we have to get efficient, and the efficiency comes of 3 things :

One is getting your cost of funds down, getting your cost of operations down and getting your cost of credit down. And in the current market environment, we believe that at this point in time, we won't be able to reduce our cost of credit immediately. So the first job was to contain it, which we have.

The second thing is that efficiency has to be brought in by both reducing the cost of funds, which we have, and the market environment has facilitated to some extent and the cost of operations. Now, we have been moving a lot of things to ensure that we deliver that 50 basis point reduction in operating cost. We are adding branches all the time. So, it is not that as an organization we are mature or we are pausing growth. In fact, this quarter, we've added 10 branches. We had a INR2.3 crores extra provisioning because of the labor code and despite that, we've been able to manage this reduction.

Now, it may be a one-time higher number, but that 50-basis point reduction through the year that we had promised, we should be able to deliver. We are working on what we should do to bring it down further next year. So ultimately, it is just about ensuring that the company becomes efficient, uses technology better, automates things that it can, uses AI where it can, agent call centers, etcetera.

So, there are lots of measures being

done in the company to ensure that the operating cost keeps

coming down. We now have moved to a cost-to-income ratio of 35%. So this is slightly nice cost-to-income ratio to have, but we believe we can do a lot better than this. So, we will be squeezing cost even as we are eking out faster growth.

Nidhesh: Sure. And next year also, we should expect 50 basis point cost to opex?

Aseem Dhru : No, no, next year, we'll guide in April, but it will not be so much. So we have delivered this 3 years. So, after IPO, this is the third year, and initially, we had guided it for the year 1, we extended it by year 2, we extended it by year 3, so now by the end of this year, we would have reduced it by 150 basis points. At 35% cost-to-income ratio, you would agree that we are not so inefficient. But yes, there is scope. We will try to do better than this, but exact numbers we will

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guide when we do our strategic numbers by the end of this month. So we will guide you the numbers in April.

Nidhesh: Sure. And I also noticed that yield has declined by 20 basis points roughly sequentially. So have we passed on the benefit of rate cut to the back book? Or is it something else?

Narayan Barasia: So, no, as of now, there's no rate reduction per se. But yes, we have cut down small ticket LAP, as Mahesh was explaining earlier, we have increased the bureau scores, so that is all leading to a slight drop in the yield at an overall level. So, this is more like a hygiene, you don't want to take the riskier customer and therefore the yield has slightly dropped.

Nidhesh: Sure, sir. And last question is on the opening comments that Aseem mentioned that household debt is increasing at double the rate of financial assets. So, how do you see this ending up, let's say, next 3 to 5 years? Because if this rate continues, and what we see that all the NBFCs and banks are rushing towards retail lending, how do you see this ending up for our economy and for the sector?

Aseem Dhru : It will be beyond my pay grade to comment on this. But what I can safely say is that the quality of applications we are getting - we are not very happy with it. So, we actually said that below 700 CIBIL, we don't even want to look at a case. When we did that, our logins dropped. Now logically, it should tell you that your approval rate should be better because you're not taking in cases that you shouldn't, but even after that, our approval rate has continued to drop. So, when we look at the leverage of the customer, when we look at trade lines, when we look at the recent borrowing behavior, it tells you that the lenders have been a little fast and loose with lending, and we will have to be careful and protect our interest in what is not a very comfortable market and which is why I keep guiding that I'm not yet seeing comfort while we are at a place where all the numbers, including NPAs across the system are looking at its possible lowest level. But this kind of a sharp increase in debt usually leads to problems later and experience has taught us each time, and each time we believe that it will be different this time. But unfortunately, in stock market, it may be, but in lending, it never is.

Moderator: The next question is from the line of Harshit from Premji Invest.

Harshit: Sir, the question was related to the, so obviously, this quarter, when we look at the numbers, disbursements were a bit more contained. And should we read that the reduction in opex to assets is also to do with the fact that a lot of the variable payouts linked to disbursements automatically come down for us, even though AUM buildup continues? So, to that extent, if you can help that, I mean, what part of the cost to asset reduction should be linked to more variable cost coming down? And the second point was, if you can help us with the gold loan branches and the gold

loan employees.

Mahesh Dayani : So, picking your first question, I think we have a 100% direct model. So clearly, there's very limited variable that is linked, and if the variable is linked with disbursement, then optically only it's

going to come down, but it's a marginal impact. In fact, the total headcount has moved up in line with the number of branches that we've added, which tells your distribution is in place, and your
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staffing is in place. We've consciously tried to tone down our momentum, and as and when we feel confident, we can get it back or we can ramp it back.

So, our guidance for our overall year-end number at INR3,000 crores against INR2,500 crores, INR2,600 crores hold. So that's just to calm the nerves on the disbursement for the full year compared to where we've ended on for the first 9 months. With respect to our gold, our gold AUM per branch is close to around INR10 crores now. We've closed Q3 at INR1,954 crores, almost close to INR2,000 crores, and the number of gold branches is closer to 200.

Harshit: And sir, the number of employees attributed to gold loan would be how much roughly?

Mahesh Dayani: So, we would have roughly around 8-odd employees per branch. So that's roughly around 1,600-odd employees.

Harshit: Understood. Got it. Sir, one last question was on the, not this quarter specifically, but if I take our average ticket size and the sort of disbursement per employee, roughly it comes at around 2 files per sales employee in terms of disbursement productivity. Now, if we look at the business in general and all the efforts on automation, etcetera, is this 2 right now limited because of the fact of the quality of files which we are getting? Or I mean, practically, is this a limit beyond which the economics norm probably don't allow, or how should we look at this number improving over time? Because I think our cost to asset reduction journey is also now at a very optimal level. So from here on, unless we improve the disbursement productivity, our loan growth will gradually start gravitating towards the disbursement growth number?

Mahesh Dayani: Yes. So, right point. So, I think our count is not 2. The count is more leaning towards 1.5 and that's largely because the login to disbursement ratio has come off and that percentage has dropped by almost 5% to 6-odd percent before we entered this financial year. This also goes on to show that despite a higher bureau score, the rejections are still high, which effectively means that the leverage at an individual level or at a business level seems to be elevated and hence, the conversions are not as high as what they used to be last year. That's one.

Second, as you rightly mentioned, obviously, we need to be efficient, efficient with respect to our logins and ensuring the e-signs which happen with respect to documentation, which shaves off a significant time and effort and is going to ensure that the front end probably is able to deliver a lot more. But that is subject to the kind of filters that we apply and the kind of eligible customer base that comes through or the position of leverage improves moving forward.

So, what we are clearly looking at is, if you look at our entire ecosystem that we've created right from staffing of the distribution to making the front end enabled customer onboarding through an entire digital journey is in place. As we move along, I think we have the capability to improve from here, subject to, obviously, the ecosystem also being supportive and improving.

Moderator: The next question is from the line of Sucrit Patil from Eyesight Fintech Private Limited.

Sucrit Patil: I have just one question. With strong capital adequacy and steady cash flow, how do you plan to sustain net interest margins while managing funding costs and credit risk? From a financial process point of view, how

will you structure liability diversification, working capital cycles and

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hedging mechanisms to ensure ROE remains strong and balance sheet continues to grow in the coming quarters?

Narayan Barasia: So, coming to your first question on NIM. So, as the leverage increases in our business, NIM obviously tends to go down, right? But I think the most important element here is to look at the spread. So, if you look at the spread over the last 3 years or 4 years when the market interest rates were going up and the interest rate now coming off, we have been able to continuously look at a superior spread while also making sure that we are able to manage the credit cost. So, I think what is important from our point of view is to ensure that we maintain the spread as we go along into the future, and we tighten the belt wherever we are able to from a credit quality perspective.

Coming to your second question on ROE. Opex, as you have seen over the last 3 years, the opex has improved, and we further would like to continuously look at it and see whether operating leverages can further be improved. So, ROEs from here, we have now achieved a 14.5% ROE, the first milestone is to achieve a 15% ROE. So, while we maintain spread with the improved leverage and slightly better opex, ROEs should actually go up from here.

The last question which you have is on the debt and the mix. The mix has always been improving. Our bank borrowing total is about 50% or so. We have increased our borrowing from NCD market. We have DFIs now, we have now signed with 2 DFIs over the last year. So, gradually, we are moving towards a much -diversified portfolio. We have now raised money from ECB market. So, diversification is going to be key. As we scale from here, we will actually look at diversifying into much more new sources as we go along in the future. Our debt/equity is still very low. It is around two. Capital adequacy is pretty high. Raising debt is not a problem. Liquidity is abundant and quite available. So diversification, yes, will be the course of action as we go along.

Moderator: The next question is from the line of Prithviraj Patil from Investec.

Prithviraj Patil: So I had a couple of questions. So the first one is on, do we target any AUM mix for our gold loan business and because the mix of gold loan has gone up by 200 basis. And I just wanted to know, is that leading to the operating efficiency that we are seeing in our opex to AUM?

Mahesh Dayani: So, if you were to probably look back a couple of quarters, you would have seen probably 83 - odd percent, 17% and 1%. The 1% was largely unsecured, which was a legacy book, which we had discontinued. So, that obviously has moved in favor of gold. Gold traditionally has actually been a high opex business. In fact, contrary to the belief that it would have been accretive on the opex side. But yes, this quarter, because of the gold price support, you've seen a gold AUM increase in line with most of the peers who have reported those numbers. So, one is, obviously, it's profitable, yields are looking good and costs as such are in line, and I think a lot of our existing ME branches which did not have gold, have also started doing gold now so there is some bit of saving there, which is coming to our advantage but I think the gold trajectory will continue to build in from here.

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If you look at two, three parameters, we are at INR10 crores per branch. If you look at mid-sized companies who have probably 500, 600 -odd branches, you would have an AUM of anything between INR13 crores to INR14 crores per branch. So, even on our existing distribution, if we probably didn't have to add any further branches, you could see an upside of 30% plus and that's the efficiency that we'll kick in with our existing

distribution on gold.

Moderator: The next question is from the line of Shreya Shivani from Nomura.

Shreya Shivani: I hope I'm audible. My first question is on the asset quality trend. I want to understand your provision coverage for Stage 3 has, I mean, on Y-o-Y basis, it's been up, sequentially, it's been flat. Can you help me understand if there is any management overlay that we've built into or is it just a number, purely a mathematical number that the model throws up?

My second question is on the login detail that you gave that you are seeing even in a profile with a higher than 700 CIBIL, there is over-leveraging and probably more loans which are not towards asset-creating activities. So, is that an implication that probably more personal loan where the end use is not defined is visible to you in the kind of files that you are receiving? Also, is it in certain categories of your customer, like because your customers are all MSME borrowers, is it more among the trading community or the servicing community where you see a higher chunk of personal loan, maybe I'm just guessing that. Or any color around that, if you can share with us?

Narayan Barasia: So, coming to your first question on PCR and whether the management overlay increases the PCR. So, management overlay has been made, but it has been made on Stage 2 assets, has not been made on Stage 3 assets. So, to that extent, the management overlay, whatever we have made has not increased the PCR. PCR has generally got increased looking at the way the portfolio is moving, etcetera, the PCR numbers are improving. That's all it is. We have not made any special provision so far as PCR is concerned.

Rajiv Thakker: On your second question, see, yes, most of our customers would be small time traders. The thing is that most of these customers' end use would be towards the working capital. Now, when Aseem was talking about the consumption, I think he was talking about overall as an economy and the numbers which is published by report. But our customers, most of the end use which we come across during the personal discussion is towards the business and working capital apart from the BTs, which is around 15 -odd percent of our book, wherein the loans are taken over, and of course, apart from that 15%, there is also a part wherein we fund customers for taking out loans. Not much of our customers post our loans would have a significant unsecured borrowing per se. Some of the things because of this increased indebtedness, what we have also done is that we have tightened some of the filters in some of the ticket sizes, which are high risk from FOIR perspective so as to curtail the lending which we do to these customers.

Shreya Shivani: Sure. And just a follow-up over there. You mentioned that most of your customers after your loan may not be taking a lot of unsecured. So, your collection team probably is checking the

CIBIL score , I mean, that must be a part of your business process, right, on a regular basis to manage that , the outlook that you're sharing, right?

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Rajiv Thakker : Not collection team per se, but at the risk level, we keep on tracking our customers on intervals where we see their behavior and specifically customers which are borrowing outside and are delinquent. These are the risk angles which we look at on a periodic basis.

Also, from the foreclosure requests coming in, we rate these customers as a red flag so that when the foreclosure requests come or enhancement request comes, these are flagged so that we don't enhance these customers.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Securities .

Nischint Chawathe: This is Nischint from Kotak Securities. I just wanted to ask Aseem, if he'll be associated with SBFC in any specific role hereinafter?

Aseem Dhru : Yes. So , Nischint, the thi

nking is this that while building the business out has its own pressure points and its own immediate deliverables. I think somewhere the culture of the company; we can do a lot better than what we have done. So , I want to focus now some time building on that part. Also, whatever I was doing in terms of ensuring governance , risk control, compliances, etcetera, all those roles also I would be hand ling over. The intention is that the biggest challenge for any CEO is succes sion, and that is where a lot of CEOs, even much better and much greater CEOs have struggled with post their departure.

The real test of my innings will be 1 year from today. And the idea is to ensure that without any hiccup, the entire transition happens and to the best of what I can, I would be hoping to contribute to SBFC in the role now as a non -executive Vice Chairman. So , on a lighter note, salary stops, but work doesn't.

Moderator: The next question is from the line of Subhanu from 3Head Capital .

Subhanu : Sir, one clarification question from my side. Sir, you mentioned, our gold loan mix can go up to 30% or so?

Mahesh Dayani : Loan mix on what?

Subhanu: Gold loan.

Mahesh Dayani : No, so, what we said is that the gold loan currently is 19% , and we said that given the current spurt in terms of the gold prices and the resulting growth, you could see a couple of basis points moving up here and there, but not a 30 -70 ratio.

Aseem Dhru : See, our guidance for gold loan has been that it will be under 20%, continues to be that. A few basis points here, there can happen . Now, if gold rallies and doubles from here also, who knows.

So, that's not in our control. But even co -origination, we have said that it will be about 20% of our origination, and that's what we have kept it at. So , the intention is to keep it around 20%.

Subhanu: Okay. Sir, my second question...

Mahesh Dayani : 30% was on the growth of gold.

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Subhanu: Okay. Sir, what is th e average ticket size in the SME segment this quarter?

Mahesh Dayani : INR10 lakhs.

Subhanu: My last question is how much customers are in the SME segment come from Tier 2 and Tier 3 segment?

Mahesh Dayani : I think almost , most of them would be Tier 2, Tier 3 . If I was to hazard a guess, it would be more than 85 -90%.

Moderator: The next question is from the line of Chintan Shah from ICICI Securities Limited.

Chintan Shah: Yes. So I just had a question on growth. So in our earlier remarks, we mentioned the leverage levels are relatively increasing and the household debt is increasing, but so not is the asset creation. So , in this context, how do we see our growth going ahead? Will it be at the lower end of the guidance or probably even we could taper our growth further from there , if there is some more leverage happening and if there is a situation of a relatively slow growth of prices or assets?

Aseem Dhru : No, there is no crisis or situation. As I said in the opening of the call, we continue to guide that we will be in the same range, 5% to 7%, see 1 % to 2% can be here or there , I mean , too much shouldn't be read into it. So , 5% to 7% quarter -on-quarter growth is what we continue to guide from what we are seeing right now. If we see that the deal is differently, then we will let you know. At this moment, we maintain what we've been saying.

Chintan Shah: Sure. Got it. Yes, in terms of our management change, so are we now expecting any other addition at the CXO level in the management or no, for Mr. Mahesh's role?

Aseem Dhru : No, there is internal , I mean there are internal talent that we have there. So , some elevations may happen within that.

Moderator: The next question is from the line of Ruvitash Arora , an Individual Investor .

Ruvitash Arora : Sir, my question has already been answered.

Rajiv Thakker : Thank you.

Moderator: The next question is

from the line of Ashish Sharma from Oaklane Capital.

Ashish Sharma: Hope I'm audible, sir.

Rajiv Thakker : Yes, yes.

Ashish Sharma: Yes. Sir, just wanted some perspective on the credit cost. So credit cost, which has sort of increased given the environment, would it be possible for you to sort of give any outlook on credit cost for FY '27? I mean you expect credit costs to remain in the similar range?

Sanket Agrawal : So, at the moment, we are guiding for the next quarter, which is in the range of 5 to 10 basis point up or down. For the next financial year, we'll guide in the month of April. By then, we'll

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also see the color on what is happening in the South book, etcetera , so we'll have more knowledge. We'll give you the entire year's guidance in the concall of April.

Moderator: Ladies and gentlemen, we'll take this as the last question for today. I now hand the conference over to the management for closing comments. Thank you, and over to the management.

Sanket Agrawal : Thank you for taking the time in reading our results, investor deck and the questions. Thank you so much.

Moderator: Thank you very much. On behalf of ICICI Securities Limited, that concludes this conference.

Thank you all for joining us today, and you may now disconnect your lines.

Call: May 2026

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